

VSME Digital Template and XBRL Taxonomy

Explanatory Note

February 2026



This document represents an updated version of the document released in October 2025 reflecting the new release from February 2026.

Disclaimer

The VSME Digital Template and VSME XBRL Taxonomy have been developed by the EFRAG Secretariat to support micro, small and medium sized enterprises (SMEs) – with less than 250 employees - in implementing the Voluntary Sustainability Reporting Standard for non-listed SMEs (VSME). Any opinion expressed in this document does not necessarily represent the opinions of the EFRAG SR TEG and SRB members.

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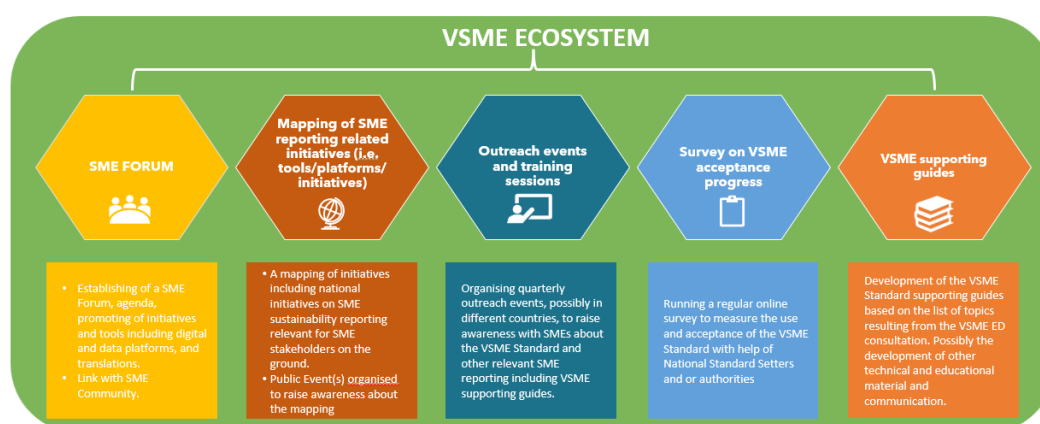
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1. Introduction & Background

1. On 17 December 2024, EFRAG issued the Voluntary Sustainability Reporting Standard for non-listed SMEs (VSME). EFRAG's work on this voluntary Standard for non-listed SMEs falls outside the scope of Corporate Sustainability Reporting Directive (CSRD). It stems from the market's need to have a common point of reference to be used by SMEs to respond to growing sustainability data requests from business partners and to lower entry barriers to sustainability reporting by non-listed SMEs. The primary ambition is for the VSME to become the basis for lenders, investors and corporate counterparts in the value chain when defining their ESG data requests for SMEs. In concrete terms this means that, based on market acceptance, the VSME is expected to limit de facto current multiple ESG data requests (a significant cost of preparation for SMEs) by replacing the various uncoordinated ESG questionnaires.
2. Following EFRAG's technical advice on the VSME to the European Commission, EFRAG has been working on the roll-out of the VSME Ecosystem which includes complementary initiatives aimed at promoting market acceptance of the VSME as a standardised tool for small medium-sized enterprises (below 250 employees) to report and provide data to counterparts, in order to fully realize the benefits of the standard. The ecosystem will span until November 2025. Please note that the VSME Standard has been developed for use by non-listed SMEs including micro-enterprises and has not been tested for use by other larger and more complex companies (above 250 employees). The work of the VSME Ecosystem, including the VSME Digital Template and XBRL Taxonomy, will support the application of the VSME Standard by companies with less than 250 employees standardizing the custom questionnaires many companies are faced with today. EFRAG's support for the VSME Ecosystem has been extended for 2026, as such, EFRAG Secretariat will continue to work and maintain the VSME Digital Template, Taxonomy and Excel to XBRL Converter at least until the end of 2026. This document replaces the older versions published in May and November 2025.



3. The VSME Digital Template and XBRL Taxonomy fall within the fifth deliverable “VSME Support Guides” as they were requested by preparers and users during the public consultation of the VSME Exposure Draft that took place from the 22 January to 21 May

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2024. The EFRAG Secretariat consulted, in April 2025, the SME Forum members on the VSME Digital Template and the Digital Reporting Consultative Forum on the XBRL taxonomy before releasing the first version in May 2025 (see Annex I for more information on the consultation).

4. As the European Commission has released on the 30 of July 2025 the [VSME Recommendation](#), the EFRAG Secretariat has updated the VSME Digital Template and XBRL taxonomy to incorporate the minor changes that the European Commission has done in the VSME Recommendation compared to the technical advice that EFRAG sent in December 2024. In comparison to the version from May 2025 the Digital Template as well as the taxonomy labels are now provided in different EU languages to facilitate the usage of the template among all EU member states.
5. Compared to the previous version released on 27 November 2025, two additional languages have been added. Now the VSME Digital Template as well as the taxonomy labels are provided in 11 languages (Danish, Dutch, English, French, German, Irish, Italian, Lithuanian, Polish, Portuguese, and Spanish). In addition, compared to the previous EFRAG Secretariat made some improvements to the VSME Digital Template and introduced a more user-friendly feature to identify classified or sensitive information. Lastly, a data migration tool has been developed by EFRAG Secretariat in order to migrate data automatically from previous VSME Digital Template versions to the latest one if the undertaking wants to. Please refer to the section below for further explanations and to Annex I for an overview of the VSME Digital Template, XBRL Taxonomy, Converter and Explanatory Note previous versions.

2. Objective of the VSME Digital Template and XBRL Taxonomy

6. The primary purpose of the VSME Digital Template and converter is to illustrate a technical reporting solution and provide educational materials.
7. The purpose of the VSME Digital Template is not to be competing with commercial providers, therefore:
 - All materials are be provided for free;
 - The template has basic but solid functionality;
 - The priority is simplicity and user-friendliness.
8. All materials developed by the EFRAG Secretariat are released for free and as open source (MIT license), which will enable any stakeholder to further enhance them and integrate them into commercial solutions. However, respecting the license conditions, the reference to EFRAG must be mentioned by the providers of those commercial solutions.
9. The digital VSME XBRL Taxonomy maintained by EFRAG ensures that the data structure and data point definitions stay unchanged and reflect the VSME text. However, EFRAG intends to provide illustrations of how the XBRL taxonomy and VSME Digital Template can be extended in order to enable entity or bank-specific additional disclosures.

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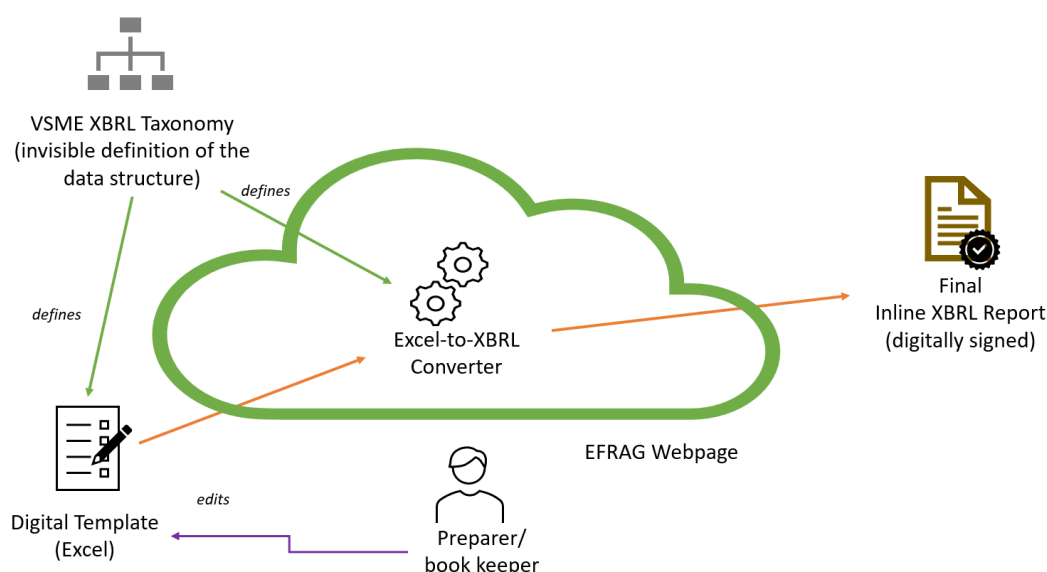
10. The VSME Digital Template will enable user-friendly data-entry, including:
 - Auto-calculation of totals, Validations and consistency checks using formulae and data validation;
 - Drop-downs and checkboxes for semi-narrative disclosures;
 - Links to the VSME Text (paragraph level) for each cell/column;
 - Color-coding and tool tips for different categories of datapoints (e.g. Basic/Comprehensive Module, *If Applicable*).
11. The VSME XBRL Taxonomy enables digitization of VSME disclosures by:
 - Providing a tool-independent data model of the VSME disclosures, enabling reporting in various technical formats (Inline XBRL, XBRL-XML, XBRL-JSON, XBRL-CSV);
 - Facilitating data exchange and import to databases with a structured, license-free and open format, standardizing the custom questionnaires many companies are faced with today;
 - In contrast to ESRS Set 1, which often requires a “tagging” of the human-readable disclosures, the VSME XBRL Taxonomy can be used as a template, making digital tagging obsolete. It acts as the invisible datapoint definition, maintained by EFRAG.
12. The EFRAG Secretariat has developed a Digital Template to XBRL Converter, in order to enable the conversion of the VSME Digital Template into a digital human- and machine-readable XBRL report. It is available on a web platform, developed in Python and hosted online on the EFRAG webpage¹, enabling the conversion of the Excel file into a tagged Inline XBRL report (human- and machine-readable), including full XBRL validation. The source code developed is shared as open-source software (MIT license)², in order to support the

¹ <https://xbrl.efrag.org/convert/>

² <https://github.com/EFRAG-EU/Digital-Template-to-XBRL-Converter>

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market to integrate and enable digital reporting with the corresponding platforms as well.



13. Going forward, EFRAG intends to maintain all three items - the Digital Template, the XBRL Taxonomy, and the Digital Template to XBRL Converter - for a certain period (at least till end of 2026) by resolving issues and introducing improvements and an updated VSME standard. However, this does not include any guaranteed maintenance and support for individual users of the tools. The converter software (including the Digital Template) is provided "as is", without warranty of any kind, express or implied, including but not limited to the warranties of merchantability, fitness for a particular purpose and noninfringement. In no event shall the authors or copyright holders be liable for any claim, damages or other liability, whether in an action of contract, tort or otherwise, arising from, out of or in connection with the software or the use or other dealings in the software.
14. EFRAG does not intend to compete with the market by offering a comprehensive reporting solution through the Digital Template and XBRL converter. Instead, the purpose is to provide guidance and a starting point to the market, encouraging the development of more stable, maintained, user-friendly, and comprehensive solutions. The Digital Template and XBRL Converter have the following limitations and known disadvantages (see the chapter below for more technical details):
- The Digital Template and converter do not support reporting of comparative information as required by the VSME, so they may only be suitable for first-time reporting. More comprehensive solutions should support roll-forward across reporting periods.
 - Using the Digital Template with Microsoft Excel involves several technical limitations that reduce user-friendliness (accessibility, dropdowns, open lists, etc.). The EFRAG Secretariat acknowledges that dedicated web forms and digital software applications would be better suited for this purpose.

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- The ability to modify the Digital Template in Excel increases the risk of corrupting the file and causing errors during XBRL conversion.
 - Relying on Microsoft Excel format (despite being an open ISO standardized format³) for the Digital Template is not ideal in terms of independencies from proprietary (US) software solutions. Therefore, the EFRAG Secretariat encourages the market to adopt the license-free and open XBRL format to enable the development of alternative Digital Templates without relying on proprietary technology.
 - In general, the Digital Template does not support with the collection and calculation of the data needed for the disclosures. The Digital Template does not include a greenhouse gas (GHG) emission calculator.
 - EFRAG does not provide end-user support (e.g., hotline or warranty). SMEs could rely on commercial providers for technical assistance.
 - The formatting and design of the human-readable Inline XBRL report generated by the converter cannot be customized.
15. Future updates of the Digital Template are planned when EFRAG Secretariat will receive reviewed translations by the National Standard Setters (please see section below on translations). In addition, EFRAG Secretariat will update the VSME Digital Template, XBRL Taxonomy and Converter when the future voluntary delegated act based on VSME will be released by the European Commission.
16. While the XBRL taxonomy itself, representing a vendor-independent data model and template should be supported and maintained long-term, ensuring standardized data exchange, the maintenance of the Digital Template and converter depends on the resources available and is not planned to be provided on a long-term basis.
17. Additional features and improvements, that could potentially be implemented in 2026 (depending on the funding received) by the EFRAG Secretariat are:
- Implementing the validation rules that are currently part of the Digital Template as well in the XBRL taxonomy (introducing a Formula linkbase). This will ensure that incomplete disclosures will cause ERROR messages in any software validating the digital VSME disclosures in XBRL.
 - Enabling digital signatures as part of the XBRL report, in order to enable receivers of disclosures to identify the entity and map the data to the right entity.
 - Providing guidance on how filing repositories and platforms can be connected, which would enable pulling/distributing a digital VSME report if the preparer wishes so.
 - Enhancing the code base of the XBRL converter to allow easier integration in 3rd party applications and using other data source than the Digital Template (e.g. databases)

³ Office Open XML Workbook Format (XLSX), <https://www.iso.org/standard/71691.html>

18. Adding support and guidelines for extensions of the XBRL taxonomy, which could enable banks and jurisdictions to introduce additional disclosure requirements. During the first month of having the Digital Template and XBRL Converter in production, a number of questions have been raised from SMEs to EFRAG. One very important point is the question, how the digital VSME disclosures can be send or transferred to banks and other interested parties. The EFRAG secretariat considers implementing a distribution mechanism, that could help making the digital reports available to interested report repositories. A new project may be launched to conduct research on the business and technical requirements in 2026.

3. Description of the VSME Digital Template

19. The purpose of this VSME Digital Template is to illustrate how VSME reporting can be implemented in an MS Excel format.
20. The VSME Digital Template released in February 2026, which is implemented as an MS Excel workbook, reflects the [VSME Recommendation](#) (Commission Recommendation (EU) 2025/1710) published by the European Commission on 30 July 2025.
21. This VSME Digital Template can be used for data entry and validation. Thanks to the XBRL Converter, published on EFRAG's website, the template filled with data can be converted into an XBRL report, into a free and open data format. [Excel-named ranges](#) are used to identify the disclosures in value cells of the template. The names of the ranges are consistent with the XBRL element names of the XBRL taxonomy, facilitating the conversion into an XBRL report. Value cells that are empty and do not have any value (neither text nor a number) or have a “-” dash only will not be considered as reported and will not be included in the XBRL report when using the converter.

Paragraph Reference	Paragraph Guidance Reference								
1									
2									
3									
4									
5									
6									
7									
8									
9									
10									
11									
12									
13									
14									

Figure 1: A named range has been introduced for cell G12 (in the left upper corner), using the XBRL taxonomy element names, which facilitates the conversion of this cell value into an XBRL report fact.

22. While MS Excel naturally provides a number of limitations, the EFRAG Secretariat considered it as an appropriate format to design a guidance material with relatively small effort and the possibility to be used by preparers easily. One particular limitation of Excel is that it does not allow multiple-choice dropdowns⁴. Therefore, the EFRAG Secretariat used

⁴ Multiple-choice dropdown menus can be implemented with VBA code. However, the EFRAG Secretariat avoided the use of custom code in the Excel workbook, since it triggers security warnings in many environments.

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multiple checkboxes to reflect a single multi-choice dropdown, which are not ideal solutions. It is expected that VSME reporting solution providers can implement multi-choice dropdowns instead.

23. In terms of accessibility, while developing the VSME Digital Template, EFRAG Secretariat has considered the '[Accessibility best practices with Excel Spreadsheets](#)' provided by Microsoft. While the EFRAG Secretariat acknowledges that an Excel file might not be the optimal way of producing an accessible tool, it might still provide a viable option for many users. Due to the technical limitations of Microsoft Excel, increased accessibility might only be achieved with more sophisticated technologies, like a web-form. The EFRAG Secretariat would like to emphasize, that a structured and machine-readable XBRL report increases accessibility, and that the XBRL taxonomy represents a vendor-independent template, that can be integrated by any solution provider that offers more sophisticated and accessible tooling.
24. In terms of structure, the EFRAG Secretariat has regrouped a number of datapoint by type of disclosure (general information, environmental, social, governance) rather than following the Basic and Comprehensive Module structure of VSME in order to increase the user friendliness of the template. During the testing period that occurred in April 2025, this was confirmed by the large majority of SME Forum members.
25. The VSME standard requires disclosures of a number of open lists, e.g. list of sites. In order to reflect this in the VSME Digital Template, the EFRAG Secretariat included a number of empty sample rows. Those rows are hidden by default (grouped) and need to be expanded by the user by clicking the plus icon on the left side. If reporting entities want to report more rows, they can insert rows within the boundaries of the first and last row with value cells.
26. A few drop-down selection menus in the VSME have more than 100 entries (e.g. the NACE codes under B1, the list of pollutants under B4, the list of wastes under B7). In order to search in the list, users can simply start typing search keywords in the cell.
27. While the VSME standard requires separate negative or positive confirmation (Boolean or checkbox/dropdown, indicated by the word “whether”) for the B2 disclosures about practices, policies, future initiatives and targets according to paragraph 26, it was decided not to implement the subparagraphs a-c and to aggregate the disclosures. This will not allow preparers to differentiate between practices, policies, and/or future initiatives, neither in the Digital Template nor in the XBRL report using the XBRL taxonomy. However, it is a closer implementation in comparison to the guidance table provided in paragraph 78. Paragraph 26d has been implemented as a single Boolean checkbox, in contrast to the guidance in paragraph 78 which indicates one per sustainability issue. Additionally, the Digital Template (and correspondingly the XBRL taxonomy) deviates from the VSME guidance in relation to C2 in paragraph 213. Instead of having separate narrative descriptions of policies, practices and future initiatives, the disclosure is aggregated in a single text cell.

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28. This VSME Digital Template enables reporting for one reporting period only. Therefore, it might be used for reporting in the first year only. It is expected that reporting solutions will enable the roll-forward of reporting periods, which would automatically provide the necessary comparative information. Similarly, it does now allow reporting of multiple entities in one report, e.g. a consolidated report and one for the individual entity. Instead, two reports would need to be created by filling in the template twice.
29. When preparing the VSME Digital Template, it is essential that preparers start by reading the Introduction sheet where all the information concerning the usage of the template and the different cell colors are described. It is important to mention that during the consultation period that EFRAG Secretariat conducted in the month of April 2025, all SME Forum members agreed that the colors are useful within the template. In addition, following the consultation responses, it was amended to ensure that no information is available through color only, to support color-blind users. *Figure 2* shows the different background colors for each cell.

Cell background color index:	
General Principles	Indicates that the disclosure is from the general principles of the VSME.
Basic Module	Indicates that the disclosure is from the VSME Basic Module.
Comprehensive Module	Indicates that the disclosure is from the VSME Comprehensive Module.
	Indicates that the cell is automatically calculated and that no data entry is required.
	Indicates that the datapoint (often a condition) will not be included in the VSME and digital XBRL report. These cells are provided to facilitate the completion of the disclosure as they either trigger the applicability of the disclosure or they enable the automatic calculation of the disclosure. If the yellow cells are not being used to calculate a value, the total that is to be reported can be entered manually overwriting by the formula.
	Indicates that no data entry is required unless certain logics are selected in the disclosure itself. When one of these logics is selected, then this cell will turn white.
Validation MISSING VALUE/ERROR/VALUE INCONSISTENCY/INVALID URL	Indicates that either data entry is incorrect in terms of format or that certain information is missing in order to correctly report on the disclosure.
Validation OK	Indicates that data entry is OK and the undertaking can proceed to the next disclosure.
Validation CLASSIFIED OR SENSITIVE INFORMATION	Indicates that the undertaking has omitted the data entry as it is deemed to be classified or sensitive information.
	No value can be entered in the cell.
[*]	Lists can be expanded using the plus [+] button on the left. If the number of rows is not sufficient, additional rows can be added by right clicking the second row and selecting "Insert row".

Figure 2: Cell Background color index

30. In addition, in order to increase the user friendliness of the Digital Template, an overall table of content with respective validation for each disclosure has been included. In practice, this means that the undertaking can always check whether it has correctly filled in the disclosures it wants to report on or if something is missing. If the disclosure is completed correctly, "OK" will appear. If a disclosure is not prepared correctly "MISSING VALUE", "VALUE INCONSISTENCY", "ERROR" or "INVALID URL" will appear. In addition, compared to previous VSME Digital Template versions, an additional column has been included with checkboxes such that the undertaking can indicate which disclosures are not disclosed as they are deemed to be "CLASSIFIED OR SENSITIVE". Before uploading the Digital Template file to the XBRL converter, it is recommended that the undertaking verifies that the overall validation status is "COMPLETE". If disclosures are not filled in correctly, INCOMPLETE" will appear in the overall validation status. *Figure 3* portrays the table of contents with the validation status.

Table of Contents	Overall Validation Status	Classified or sensitive information
Contents grouping follows template's framework	INCOMPLETE	Filling the checkboxes below will fill automatically the list of omitted disclosures in B1 (from row 123 to 172 within General Information sheet)
General Information Information on the report necessary for XBRL Information on previous reporting period	Specific Content Validation Status	
Basic Module		
General Information		
B1 - Basis for Preparation	MISSING VALUE	☐
B1 - Basis for Preparation & Module	MISSING VALUE	
B1 - Other undertaking's general information	-	
B1 - List of subsidiaries	MISSING VALUE	☐
B1 - Disclosure of sustainability-related certification(s) or label(s)	MISSING VALUE	☐
B1 - List of site(s)	CLASSIFIED OR SENSITIVE INFORMATION	☒
B2 - Practices, policies and future initiatives for transitioning towards a more sustainable economy	MISSING VALUE	☐
B2 - Practices policies and future initiatives for transitioning towards a more sustainable economy	MISSING VALUE	☐
B2 - Cooperative specific disclosures	OK	☐

Figure 3: Table of contents with validation status overview

31. To complete the VSME Digital Template, preparers need to fill in the datapoints in the following four Excel sheets:
 - General information sheet which contains the information necessary for the generation of the XBRL report and the general disclosures in VSME Basic and Comprehensive Module (B1, B2 and C1 and C2). It is essential for the XBRL converter to work properly that the cells “necessary for the generation of the XBRL report” are completed properly. Failure to complete those cells will trigger fatal errors when using the XRBL converter.
 - Environmental Disclosures sheet which contains the environmental metrics from both the Basic and Comprehensive Modules;
 - Social Disclosures sheet which contains the social metrics from both the Basic and Comprehensive Modules;
 - Governance Disclosures sheet which contains the governance metrics from both the Basic and Comprehensive Modules.
32. Following paragraph 10 and 11 of the VSME Standard, if the undertaking wishes to provide additional information (metrics and/or narrative disclosures) not covered by the VSME Standard, it may do so using the dedicated “Other additional or entity specific disclosure” cell found at the end of each sheet.
33. Paragraph references to both VSME text and guidance have been included on top of each disclosure. In practical terms, this means that the undertaking may click on the hyperlinks found on top of each disclosure, which will open on the browser the exact paragraph of the VSME disclosure or guidance. Please note that the VSME Digital Template is a reporting template and does not include the full text of the VSME standard itself.
34. It is important to mention that the modularity of the VSME has been kept by ensuring that when Option A (i.e. Basic Module only) or Option B (i.e. Basic and Comprehensive Modules) is selected, different validations are triggered. As certain disclosures belonging to the different modules could be seen together visually, they have been inserted one after the

other. This is the case of B2 and C2, where C2 is the continuation of B2 in case the undertaking opts for Option B.

35. In addition, the “If applicable” principle has been kept through yellow checkboxes that enable the disclosure to become visible. It is important to mention that these cells are yellow, which indicates that the disclosure - often a condition - will not be included in the VSME human readable report and digital XBRL report. These cells are provided to facilitate the completion of the disclosure as they trigger the applicability of the disclosure. In some cases, yellow cells guide the undertaking in the calculation of the disclosure. If the undertaking does not wish to use the yellow cells to calculate a value, the undertaking can enter the final value manually by overwriting the formula.
36. To further increase the user-friendliness of the VSME Digital Template, automatic calculations have been enabled where possible. These are purple cells in which, unless specified, the formula in the automatic calculation cannot be changed. In case the preparers would like to enter the values directly for those automatic calculations that are triggered when filling the yellow cells, they can do so by overwriting the formulas and inserting the values directly in the purple cell. The list of cells that can be overwritten are:
- in the General Information sheet from cell H404 to H503;
 - in the Environmental Disclosures sheet the cells G14, H14 and I14 (that actually are a unique merged cell) and the cell J14;
 - in the Social Disclosures sheet the cells D141 and D142.
37. In addition, EFRAG Secretariat, at the request of preparers at the first SME Forum meeting, has worked on a fuel converter in order to facilitate the conversion to megawatt hours (MWh) when undertakings want to report the energy consumption breakdown (if available) of fuels. This is found in the “Fuel Converter” sheet of the VSME Digital Template. It is important to mention that the Fuel Converter received overwhelming support during the testing period that EFRAG Secretariat conducted in the month of April 2025 with the SME Forum and Digital Reporting Consultative Forum. The purpose of the converter is to illustrate how energy consumption in MWh can be calculated for various fuel types. The fuel converter has been updated to increase the user friendliness and give the possibility to the undertaking to choose if the data can be transferred directly to the energy consumption breakdown in the Environmental disclosure sheet. EFRAG assumes no responsibility or liability whatsoever for the content or any consequences or direct, indirect or incidental damage arising from using this fuel converter. Please note that the source of the typical values (Net Calorific Value and Density) is provided for each fuel in the “Fuel Converter parameters” sheet. However, those parameters might vary in different countries, due to national specificities for example. As such, the undertaking is supposed to manually add or change the parameters of the Net Calorific Value (NCV) and Density in the "Fuel conversion parameters" sheet in order to reflect its local circumstances and jurisdictions. In addition, please note the renewability status provided is the typical one. All the undertakings should provide their specific status of renewability, which can be checked on their specific Guarantees of Origin, as outlined in

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Article 19 of the European Directive 2018/2001/EC on the promotion of the use of energy from renewable sources. The default renewability status provided for each fuel is a typical assumption and should be adjusted, if necessary, based on jurisdictional or individual circumstances.

38. During the testing period that occurred in April 2025, one SME Forum member suggested adding a GHG calculator within the VSME Digital Template. The EFRAG Secretariat recognizes the need for a GHG calculator, however, as already mentioned in the [cover letter sent to the European Commission](#) in December 2024, it recommends the EC to develop it. As part of the VSME Ecosystem work, the EFRAG Secretariat has [identified a number of national or international tools that can help SMEs calculate their GHG emissions](#). This identification and selection of tools has been based on a Call for Expression of Interest issued in [February 2025](#) as mentioned in the [report](#) that was published in September 2025. The selection of tools therefore remains preliminary. As the analysis is based on the input received from the call for expression of interest, EFRAG cannot guarantee the exhaustive nature of the list of tools identified. It is also important to note that these are typically free tools, either developed, managed or recognised by a national government. The tools are operational, and their accessibility has been tested by the EFRAG Secretariat. Please note, that EFRAG disclaims any responsibility for the technical quality of these tools, as they have neither been prepared nor reviewed by EFRAG. In addition, EFRAG will update this list as it is in the process of running a second phase of the mapping. To note that emission factors are typically national, hence SMEs are expected to use GHG calculators in accordance with their country(ies) of operation(s).
39. Moreover, concerning the GPS coordinates for geolocation, an automatic calculation has been enabled when the undertaking fills the address information of the site and checks the box agreeing with the privacy terms and conditions of the software used. In practical terms, the generation of coordinates is automatically performed (among accepting the Privacy terms) when an address is entered via a web service. However, this webservice might trigger a security warning when opening the workbook. Web services should be enabled if the automatic GPS calculation is supposed to be used.

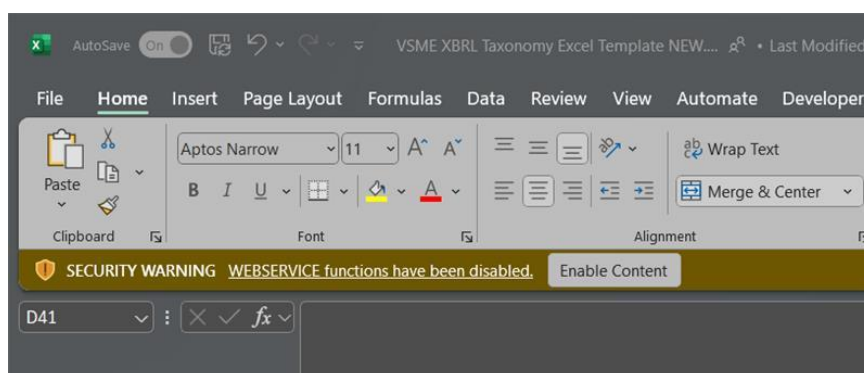


Figure 4: In order to enable automatic calculation of GPS coordinates from entities addresses, webservices must be enabled in the Workbook.

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In addition, in order to verify that the GPS coordinates automatically calculated are correct, EFRAG Secretariat has inserted a link that, if clicked, opens the coordinates on Open Street Map.

B1 - List of site(s) from 01/01/2024 to 31/12/2024 [Always to be reported]					
ID	Address	Postal code	City	Country	GPS Coordinates (Geolocation)
					Automatic geolocation: enabling the OpenStreetMap's automatic geolocation with the checkbox below the undertaking is declaring to be fully aware and in acceptance of the OpenStreetMap Usage Policy and Privacy Policy. OpenStreetMap® is open data, licensed under the Open Data Commons Open Database License (ODbL) by the OpenStreetMap Foundation (OSMF). All data belong and are owned by OpenStreetMap®. OpenStreetMap Usage Policy (Geocoding Policy) Privacy Policy
	Duomo Square	20122	Milan	Italy	☒ 45.4639102; 9.1906436
					OpenStreetMap Link

Figure 5: In order to enable automatic calculation of GPS coordinates from entities addresses, the undertaking should tick the check box. The undertaking should verify the coordinates by clicking on the "Open Street Map Location" link on the right.

40. It is also important to note that in terms of monetary units, the undertaking can select any currency from a drop-down menu, based on the ISO 4217 Standard, for monetary values to be disclosed when using the VSME Digital Template.
41. In order to enable flexible reporting and achieve a high comparability of the data, a list of pollutants and waste types has been implemented based on the corresponding EU legislation. EFRAG Secretariat is aware that having the possibility of adding a new type of pollutant could be useful and for this reason it may consider including this function in one of the next releases of the template and XBRL taxonomy.
42. Moreover, in order to give more flexibility in the units used to report certain Environmental disclosures, the VSME Digital Template gives the possibility to provide the figures for the area in different units depending on the preference of the undertaking. This reflects flexibility within the guidance of the VSME. Please note that when only a single unit of measurement is required by the VSME (e.g. no flexibility given), the respective unit of measurement is found in the title of the disclosure (e.g. *B3 - Estimated Greenhouse Gas Emissions considering the GHG Protocol Version 2004 (in tCO2e) [Always to be reported]*).
43. In order to simplify the reporting on social metrics (breakdown of the number of employees), the VSME Digital Template supports only one counting methodology for all related metrics (i.e. either at the end of the reporting period or as an average across the reporting period). It needs to be first selected in B1, it is the same for all numerical disclosures that involve employees. Concerning social metrics, the VSME Digital Template enables the completion of certain disclosures depending on the number of employees that is filled by the undertaking in the General information Sheet (i.e. it functions as an applicability filter as outlined in the text of the VSME Standard).
44. In order to enable the conversion into a digital XBRL report and to enable an automated data-exchange, a few essential technical master data fields have been added to the template. This includes the start and end-date reporting period, the entity name and an entity identifier, which are mandatory metadata fields required to produce a digital report⁵. While

⁵ <https://www.xbrl.org/Specification/XBRL-2.1/REC-2003-12-31/XBRL-2.1-REC-2003-12-31+corrected-errata-2013-02-20.html# 4.7.3.1>

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the VSME standard does not require the reporting of a unique entity identifier, the EFRAG secretariat recommends using an international and verifiable identifier like the Legal Entity Identifier (LEI)⁶ issued by the GLEIF foundation. While it is technically possible to use any other identifier, domestic/national identifier systems might not be sufficient for undertakings and counterparties outside of it. Following the consultation with the SME Forum members, the EFRAG Secretariat introduced a number of additional entity identifiers proposed by the members, meeting the following criteria:

- the identifier can be claimed by all companies in the EU and ideally by those outside the EU, not limiting specific types of legal entities of companies doing specific business.
- The identifier is verifiable, which means an open and free database allows researching or looking up a given ID and retrieving the basic up-to-date information of the entity (name, address, etc.), ideally verified and accessible through an API;
- The identifier should enable digital signatures associated with it.

45. The EFRAG Secretariat also decided against including ISIN, since it's for listed companies and therefore less realistic for SMEs with less than 250 employees. Identifiers like national IDs issued by tax authorities in countries were considered by the EFRAG Secretariat, however, they were not deemed ideal for an international reporting system, since those often lack a public possibility to look up the company information for a given ID. Therefore, the EU VAT ID was not included in the Digital Template. Following the testing period with the SME Forum and DRCF members, the following IDs have been included by the Secretariat in the Digital Template. Technically it is still possible to use any other ID for the XBRL reporting, but the EFRAG Secretariat would like to discourage the use of an identifier not meeting the criteria above.

Name of Entity identifier	Link to register entity	Public lookup	Link to look up ID	Digital Signatures
LEI and vLEI	https://www.gleif.org/en/organizational-identity/get-an-lei-find-lei-issuing-organizations	Yes	https://search.gleif.org	Yes
DUNS	https://www.dnb.co.uk/duns-number/lookup/request-a-duns-number.html	Yes	https://www.dnb.co.uk/duns-number/lookup.html	No
EU ID	https://euid.eu/	Partially	https://e-justice.europa.eu/topics/registers-business-insolvency-land/business-registers-search-company-eu_en	No

⁶ This is in line with the ESMA survey on legal entity identifiers, https://www.esma.europa.eu/sites/default/files/2025-02/ESMA12-766636679-484_LEI_survey_results_aggregates.pdf

PermID	https://permid.org/	Yes	https://permid.org/	No
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46. It is important to note that the Digital Template can be easily broken, making it impossible to convert it to XBRL by removing/rename the named ranges in the workbook. The same is true for the formulae, implementing the validation rules. The Digital Template is protected with a password⁷, in order to avoid users breaking it, only enabling the values cells to be changed (values inserted). If market participants intend to change the template, they must be aware of the fact that it will no longer be convertible.
47. However, going forward, the EFRAG secretariat intends to provide specific guidance on how to extend the Digital Template together with the XBRL taxonomy, in order to enable adding jurisdictional or bank-specific disclosures.
48. EFRAG considered allowing adding file attachments to the VSME report, as this might be helpful if the undertaking would like to include documents like certificates it gained. However, it also means that the data comes most likely in an unstructured format (PDF, image) and needs to be processed manually by the users. Additionally, it might come with security implications, because it could enable spreading viruses, trojans and other malicious code. Therefore, the EFRAG Secretariat decided not to implement it at this stage.
49. Suggestions for improvements of the Digital Template should be raised through issue tickets at Github⁸ or by sending an e-mail to digital-reporting@efrag.org.
50. Please note that a [technical FAQ](#) (including short videos) to clarify the most frequently asked **technical aspects** that were asked by users of the VSME Digital Template in the last months is available on Github and is constantly updated by EFRAG Secretariat. This FAQ covers **only the technical aspects and functions** of the VSME Digital Template and Converter. This FAQ does not cover any content related questions regarding the VSME.

4. Main changes of VSME Digital Template (Version 1.2.0) compared to previous November 2025 (Version 1.1.1)

51. EFRAG Secretariat has added two additional translations (Dutch and Irish) within the Digital Template such that users can access the template in 11 languages. This allows changing the display language of the VSME template on the fly and will enable to create Inline XBRL reports in other languages than English.
 - Doing this exercise, EFRAG Secretariat developed a dedicated AI translation tool based on ChatGPT. The primary focus was, to enable ChatGPT to use the existing VSME translation from the Official Journal, instead of inventing/using other terms. **Despite extensive effort and money invested in the AI translation, the quality**

⁷ Password: T3mpl4t3EFRAGlock

⁸ <https://github.com/EFRAG-EU/Digital-Template-to-XBRL-Converter/issues>

varies significantly. Therefore, the EFRAG Secretariat concludes that relying on the AI-based translations only is not possible and a review is needed. As such it has invited National Standard Setters to either review the AI based translation and amend if needed or ignore the AI based translation and start from scratch.

- **Currently, the template supports 10 additional languages (Danish, Dutch, French, German, Irish, Italian, Lithuanian, Polish, Portuguese, and Spanish) other than English.** EFRAG Secretariat thanks the following National Standard Setters for their review:
 - (i) Danish Standard Setter
 - (ii) Dutch Standard Setter
 - (iii) French Standard Setter
 - (iv) Irish Standard Setter
 - (v) Italian Standard Setter
 - (vi) Lithuanian Standard Setter
 - (vii) Polish Standard Setter
 - (viii) Portuguese Standard Setter
 - (ix) Spanish Standard Setter
- EFRAG Secretariat encourages users of the VSME Digital Template, in case they spot any issues in the translations present in the VSME Digital Template or Inline XBRL Report, to reach to the respective Standard Setter.
- Once other National Standard setters review the translations, EFRAG Secretariat will include them in future release batches that may occur in 2026.
- Please note that at this stage NACE Codes, Pollutants, Countries and Waste Types are excluded from translation.

52. In addition to these additional translations, the following changes have been made to the Digital Template:

- In order to allow for the omission of disclosures deemed to be sensitive by the undertaking it has been added a new column within the template in the "Table of Contents & Validation" sheet dedicated to Classified or Sensitive Information (column D). Within the column, next to the various sections of the template, there is the possibility to check the box when the undertaking would omit the disclosure because it is deemed to be classified or sensitive. Checking the box will not only affect the Table of Contents, but also the validation rules in each sheet, switching off the respective missing value validation. In addition, by checking the box in the "Table of Contents & Validation" sheet will allow an automatic filling in the "General Information"

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Sheet rows 123 to 174 for the list of omitted disclosures deemed to be classified or sensitive information. Moreover, please note that if the undertaking selects the “Classified and Sensitive information” checkbox in the “Table of Contents & Validation Sheet” but fills in the information of the respective disclosure, a Warning message will appear in the “Table of Contents & Validation Sheet”. In this case, it is important to mention that if the undertaking converts the Digital Template using the Converter, the information of the disclosure (even if in the Digital Template was selected as classified or sensitive information) will appear in the Inline XBRL report.

- Few NACE codes were characterised by a wrong code, as such they have been corrected. The same change has been done parallelly to the XBRL Digital Taxonomy for VSME. The NACE codes affected are contained in column A of the sheet named Enumeration List and are the following:
 - (i) NACE B - 05 Mining of coal and lignite [old code number was 04]
 - (ii) NACE B - 06 Extraction of crude petroleum and natural gas [old code number was 05]
 - (iii) NACE B - 07 Mining of metal ores [old code number was 06]
 - (iv) NACE B - 08 Other mining and quarrying [old code number was 07]
 - (v) NACE B - 09 Mining support service activities [old code number was 08]
- The formulas in the Fuel Converter used to compute the overall calculation and to retrieve the Total Energy Consumption have been changed, due to some computational improvements.
- The paragraph links to the VSME Recommendation (Annex I and Annex II) have been changed to redirect undertakings to the text of Annex I and Annex displayed in an interactive format on EFRAG Knowledge Hub.
- EFRAG Secretariat inserted the links of the Supporting Guides on C2 – Description of practices, policies and future initiatives for transitioning towards a more sustainable economy, C3 – GHG reduction targets and climate transition and C7– Severe Negative Human Right Incidents (paragraph 62 (c)), which have been released on 12 December 2025. The links have been inserted in the cells that are in the top left corner of the corresponding disclosure.
- Disclosure C1 – Strategy: Business Model and Sustainability – Related Initiatives in the “General Information Sheet” while it was two different tables in the previous Digital Template, it has now been grouped in one single table to increase the user-friendliness of the template.
- Disclosure B1 – Basis for preparation & other undertaking’s general information, while it was a single table in the previous Digital Template versions, it has now been split into two tables (B1 – Basis for preparation & Module; B1 – other undertaking’s general

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information. This change was due to the fact that B1 – Basis for preparation & Module cannot be deemed as Classified or Sensitive Information, else the validations within the Digital Template will not appear.

- Checkboxes in Cell N510 and O510 within B2 - Practices, Policies, and future initiatives towards a more sustainable economy in the “General Information” sheet as well as checkbox in G75 within B4 – Pollution of air, water and soil in the “Environmental Disclosures” sheet have been changed to a TRUE/FALSE dropdown as the checkbox feature, which enables to report no fact (omission of the disclosure) when neither “true” or “false” is selected.
- A “MISSING VALUE” validation has been added to the table in B7 – Waste Generated in cell M323.

5. Description of the VSME XBRL Taxonomy

53. The VSME XBRL Taxonomy plays a crucial role in simplifying sustainability reporting for very small and micro-enterprises. By enabling the digitisation of VSME disclosures, it offers a range of benefits that make reporting more accessible, efficient, and consistent across tools and platforms.
54. At its core, the XBRL taxonomy provides a tool-independent data model of the VSME standard by providing dedicated data elements (concepts) for each VSME datapoint. This ensures that data can be exchanged and imported into databases in a structured, free, and open format, eliminating the need for various custom questionnaires and proprietary data formats many companies struggle with today (as confirmed during the VSME Field Test⁹).
55. The XBRL taxonomy is compliant with the license-free and open XBRL specifications available at <https://specifications.xbrl.org>. It should be used with appropriate XBRL software that implements the specifications¹⁰. For convenience purposes, EFRAG has prepared a visualization of the XBRL taxonomy in Excel (Annex II), which provides a human-readable illustration of the XBRL taxonomy, supporting undertakings in understanding the relationship between the VSME Digital Template and the XBRL taxonomy.
56. Unlike ESRS Set 1, which often requires manual "tagging" of human-readable disclosures, the VSME XBRL Taxonomy serves as an invisible datapoint definition. It mainly acts as a template that makes digital tagging obsolete, significantly reducing the complexity of the reporting process.
57. The taxonomy also supports the conversion of human-readable disclosures, such as those in the VSME Digital Template provided by EFRAG into the Inline XBRL, which is a standardized human- and machine-readable format, using HTML combined with XBRL

⁹ <https://www.efrag.org/system/files/sites/webpublishing/Meeting%20Documents/2311031511250179/05-07%20-%20VSME%20ED%20Field%20Test%20-%20Key%20findings.pdf>

¹⁰ <https://software.xbrl.org/>

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tagging information. Inline XBRL reports can be converted into XBRL-XML, XBRL-JSON, and XBRL-CSV, ensuring compatibility across systems and tools.

58. The goal of the VSME XBRL Taxonomy in combination with the Digital Template to XBRL Converter is to enable automatic conversion of a prefilled template into XBRL by clicking a button. No additional effort (reporting burden) is associated with it.
59. Importantly, the VSME XBRL Taxonomy guarantees that a common and tool-independent data exchange format is used. This standardization promotes interoperability and simplifies data sharing among stakeholders. This includes reporting from SMEs to counterparties to financial institutions and reporting from the value chain to larger groups preparing sustainability statements.
60. To promote accessibility, an online Digital Template to XBRL Converter is offered free of charge for individual users (subject to simple terms-of-use, such as solving captchas), and the corresponding software code has been released as open source. This empowers developers and stakeholders to build upon and integrate the tools into commercial solutions.
61. Maintained by EFRAG, the digital taxonomy ensures that all data structures and datapoint definitions remain aligned with the standard. The XBRL taxonomy is not intended to be extended by reporting entities themselves. Instead, EFRAG also plans to offer illustrations on how the taxonomy can be extended to support additional disclosures—such as those required by banks or specific jurisdictions.
62. The XBRL taxonomy has been designed based on the VSME standard and is aligned to the VSME Digital Template. This ensures producing compliant digital reports with a simple template-based data entry tool. It is available on the EFRAG webpage as an [XBRL Taxonomy Package](#) and using the following entry point:
 - All: Defines all core elements and has a presentation, definition and calculation linkbases, to be used for reporting:
<https://xbml.efrag.org/taxonomy/vsme/2025-07-30/vsme-all.xsd>
63. Additionally, the EFRAG Secretariat intends to add a technical entry point in a new version, which has the element definitions, labels and references only, for taxonomy extension purpose by jurisdictions or other users of VSME reporting:
64. The architecture and methodology of the VSME XBRL Taxonomy follow mostly the one approved by the SRB in April 2024¹¹, except for the narrative tagging hierarchy and an aggregation of the of disclosures as described in paragraph 27 above, where the VSME deviates from the Digital Template and XBRL taxonomy. In relation to the narrative tagging

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<https://www.efrag.org/system/files/sites/webpublishing/Meeting%20Documents/2302240950097339/04.02%20-%20%20ESRS%20XBRL%20Taxonomy%20Architecture%20and%20Methodology%20%28final%29.pdf>

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hierarchy, this is not needed since narrative disclosures are presented with a single cell in the VSME Digital Template and correspondingly reflected with a single XBRL element in the taxonomy. With regard to XBRL dimensions, the EFRAG secretariat has implemented the XBRL taxonomy as simple as possible, e.g. by using not more than one dimension or avoiding dimensions altogether.

65. In order to enable reporting of other and entity specific information according to paragraph 10 and 11 of the VSME, four dedicated narrative elements have been provided in the XBRL taxonomy.
66. While the XBRL converter renders the XBRL taxonomy into tables similar to the ones defined in the VSME Digital Template, the EFRAG Secretariat is considering adding a Table Linkbase, which could enable a unified rendering of the information and might be used for data entry without using the VSME Digital Template. It is important to note that the yellow cells of the VSME Digital Template (as explained in paragraph 35 above) are not implemented as XBRL elements, since those support the preparation but are not disclosures themselves.
67. Going forward, the EFRAG Secretariat will introduce a specific XBRL element type for the GPS Location from the XBRL Data Type Registry.
68. In the VSME Digital Template, in table “C3 - GHG reduction targets (in tCO2e)”, there is a column dedicated to paragraph 54(d) of the VSME guidance. This column is related to the “Percentage reduction (of greenhouse gas emissions) from base year”. In the template these cells are useful visualize the undertaking’s capability of reducing greenhouse gas emissions from base year to target year, but inside of the taxonomy this percentage difference is an information already embedded in the greenhouse gas emissions provided for the base and the target year. For this reason, the datapoints related to this column do not have a dedicated item inside of the XBRL taxonomy.
69. Another temporary difference between the VSME Digital Template and the XBRL taxonomy is referred to table “B4 – Pollution of air, water and soil” (paragraph 32). At the moment, this excel table does not allow to add a pollutant that is not included in the drop-down list of pollutants. EFRAG Secretariat is aware that having the possibility of adding a new type of pollutant could be useful and for this reason it may consider including this function in one of the next release of the template and XBRL taxonomy.
70. Some datapoints can have a different type of period based on the employee counting methodology, as pointed out in paragraph 43. The template provides the possibility of choosing the period type (at the end of the reporting period or as an average across the reporting period), while in the XBRL taxonomy EFRAG secretariat has set a specific period type for each XBRL element, because it’s a mandatory attribute. The following XBRL elements have an “instant” period type for simplicity, while the actual counting methodology is determined by an enumeration element in B1:
 - NumberOfEmployees;

- NumberOfPermanentContactEmployees;
 - NumberOfTemporaryContractEmployees;
 - NumberOfMaleEmployees;
 - NumberOfFemaleEmployees;
 - NumberOfOtherGenderEmployees;
 - NumberOfNonReportedGenderEmployees;
 - NumberOfEmployeesForCountryOfEmploymentContract;
 - TotalNumberOfSelfEmployedWorkersWithoutPersonnelThatAreWorkingExclusivelyForTheUndertaking;
 - TotalNumberOfTemporaryWorkersProvidedByUndertakingsPrimarilyEngagedInEmploymentActivities.
71. The list of pollutants and waste types (implemented as XBRL explicit dimension in the XBRL taxonomy) is implemented in a similar way to the open tables, in order to cope with the fact that they use very long lists of predefined pollutants and waste types. The columns with “Row ID” are only provided to help navigate the disclosures in the Digital Template and are not implemented in the XBRL taxonomy itself.
72. All possible mathematical relations between XBRL elements have been modelled in the Calculation Linkbase, in particular XBRL elements related to the total number of employees, waste, the total GHG emissions and the revenues.
73. For the XBRL element “Link to the previous report” reflecting paragraph 16 of the VSME, the EFRAG Secretariat decide to implement it as a string in order to allow for laxer validation. It might consider changing the type to “URI” in a new XBRL taxonomy release, which makes XBRL reports invalid not providing a full qualified URI.
74. For every data-point that has specific unit of measurement the XBRL taxonomy provides corresponding measurement labels. While in the template the unit of measurement is inside the headlines and in the names of the data-points, in the XBRL taxonomy it is sufficient to include it in the label Linkbase, supporting XBRL software to display the correct units from the Unit Registry (UTR) ¹². The unit ID from the UTR is reflected in curly brackets.
75. Moreover, calculations for ratios are provided as additional documentation labels.

6. Main updates to XBRL Taxonomy February 2026 compared to previous version November 2025 (Version 1.1.1)

76. The taxonomy date has been changed from 2025-07-30 to 2026-02-01 to reflect the backwards incompatible changes introduced. The date change applies to all (VSME, NACE and WASTE) components of the taxonomy.
77. Non-English labels have been added for both concepts and extended link roles for specified languages (i.e. Dutch and Irish).
78. The NACE codes and labels for section “B: Mining and Quarrying” have been updated to correct label and structure errors.

¹² <https://www.xbrl.org/utr/utr.xml>

79. The List of Disclosures domain has been updated to include additional members (and there have been label updates to existing members). This affects the enumerated domains of the following concepts:
- `vsme:ListOfOmittedDisclosuresDeemedToBeClassifiedOrSensitiveInformation`
 - `vsme:ListOfDisclosuresForWhichNoChangesAreReportedComparedToThePreviousPeriodReporting`

7. Description of the Digital Template to XBRL Converter

80. The tool enables converting data from the Digital Template in Excel into XBRL (eXtensible Business Reporting Language) format by leveraging Excel named ranges. Each named range in the Excel file must correspond exactly to the local name of the relevant element in the VSME XBRL taxonomy. This ensures accurate and standards-compliant digital tagging of sustainability disclosures.
81. A free instance of this tool is running on the EFRAG Webpage: <https://xbrl.efrag.org/convert/>
82. It comes with the following key-features, streamlining the digital sustainability reporting:
- Maps Excel data to an XBRL reports using named ranges.
 - Compatible with the VSME Digital Template and XBRL Taxonomy developed by EFRAG.
 - Produces a human-readable Inline XBRL file (including viewer) based on the Presentation Linkbase of the XBRL taxonomy (optionally with a logo of the undertaking on the first page).
 - Converts the Inline XBRL report to an XBRL Report Package and XBRL-JSON report.
 - Comes with full certified XBRL validation powered by Arelle.
 - Can be deployed as a webserver using Flask, or as a command-line tool.
83. While the Digital Template to XBRL Converter is optimized and tested with the VSME Digital Template and XBRL Taxonomy, in general it might be possible to re-use it for other XBRL taxonomies as well, given its generic implementation.
84. In order to enable market-participants that wish to enable their own and/or existing reporting solutions to produce digital XBRL reports, they can either:
- Make their own Excel template compatible with the XBRL converter by introducing the named ranges matching the XBRL taxonomy element local names.
 - Use the API of the converter to provide the reporting values to it, instead of reading those from an Excel spreadsheet.

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85. The converter requires a number of basic technicals to be provided, namely the cells in the “Information on the report necessary for XBRL [Always to be reported]”. If those values are not provided, the XBRL converter will fatally abort the conversion.
86. The XBRL converter provides various validation messages, including type and severity. Errors and warnings must be carefully solved before further processing. If the error message is not self-explanatory, it can be raised as a Github issue, with a description on how the issue can be reproduced.

Message Type	Description
Excel Parsing	The converter detected an issue while reading the value from the Excel file. In order to resolve the issues, please make sure to use the official template from EFRAG and pay attention to the validations in the Excel workbook.
Conversion	Conversion messages might indicate an issue with the application itself, i.e. an unexpected error occurred.
XBRL Validation	The XBRL validations are performed on XBRL files that could successfully be generated. Depending on the type of messages, those can be either calculation inconsistencies or critical errors with respect to the XBRL specifications that can be found on XBRL.org . Usually, an error code is provided in square brackets as a prefix to the message, indicating which XBRL specification and which chapter is related to the error.
Progress Status	Provides timers for each step of the conversion (for software debugging purposes only)
Dev Info	Provides extensive logging for each step of the conversion (for software debugging purposes only)

87. It must be noted that a Digital Report is only considered valid according to the XBRL specifications, if no error is detected by the XBRL validation. Invalid XBRL reports should not be sent to users of the data.
88. The converter produces different files for download, each serving a different purpose but all containing the same disclosures and fact values:
- **Inline XBRL Report (incl. Viewer):** Review and inspect the human-readable XHTML XBRL report with a Java-Script based viewer that shows you the underlying machine-readable XBRL tagging when opening in the web-browser.
 - **Inline XBRL Report Package:** Final report package. Including the Inline XBRL file that could be submitted/published (without viewer).
 - **XBRL-JSON:** Machine-readable dataset without human-readable report (for illustration purpose), that is generated from the Inline XBRL Report using Arelle.

89. The taxonomy does not yet contain any business rules (XBRL formula) to validate the completeness of the digital report in relation to the mandatory VSME disclosure. The converter will provide a warning if it detects that the digital template's built-in checks regard the report as incomplete.

8. Main updates to Digital Template - XBRL Converter October 2025 compared to previous version (November 2025)

90. Converter now supports the updated version of the VSME taxonomy (in addition to the previous versions), including support for two additional report languages, Dutch and Irish.
91. The converter web application has been updated to automatically call the data migration tool when it detects an out-of-date template is in use.
92. Several smaller features and bugs have also been resolved. The full change log is available on Github¹³.

9. Description of Data Migration Tool

93. The new VSME Digital Template Migration Tool automates the migration of data filled in older versions of the VSME Digital Template into the latest template version. The tool does not alter the old VSME Digital Template version inputted — it creates a new workbook based on the latest VSME Digital Template version and copies the values if possible using the Excel named ranges.
94. The migration tool answers the need for preparers to keep their data in the same Template versions, to make use of new functionalities (e.g. language translations) for data filled out in the past, and to minimize the risk of errors compared to manually transferring data to newer VSME Digital Template versions. It also improves conversions of older data with the Digital Template to XBRL Converter.
95. The Migration Tool has been embedded within the Digital Template to XBRL Converter web application. The implemented workflow is the following:
- If the provided VSME Template is of an older *major* version (e.g. 1.0.X or 1.1.X for this release), upon clicking on the button for “Converting” the user gets redirected to a new dedicated webpage. There, below a description of the new functionalities achieved with the latest version, a button triggers migration and automatically downloads the latest version of the VSME Digital Template (e.g. 1.2.0 for this release) filled out with the old data. A list of migration issues is displayed if there are any¹⁴;

¹³ <https://github.com/EFRAG-EU/Digital-Template-to-XBRL-Converter/releases>

¹⁴ One instance of migration issues arises when in older versions, the Enumeration Lists were based on Regulations which were updated and thus introduced changes compared to previous versions. An example

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- If the provided VSME Digital Template is of an older *minor* version (e.g. 1.1.0 for a current 1.1.1 release), the program runs the conversion in the background but optionally provides the user with the possibility to redirect to the dedicated migration webpage.
96. If some migration issues are returned after having migrated in the dedicated webpage, the user is expected to open the new file and manually go through the highlighted issues that the tool was not able to migrate. This case should happen only in specific circumstances¹⁵.
97. The tool's output does not retain some formatting features (like checkboxes and arrows to navigate tabs), as the Python package used in the background is not able to process them. In place of checkboxes, which are data containers, TRUE or FALSE values are found in the migrated files.
98. Any additional content (e.g. addition worksheets) added to the Digital Template, that is outside the value cells with named ranges, is not migrated.
99. If an INCOMPLETE message is shown in the VSME Digital Template, the migration will still work, migrating only the data it finds. However, a flag within the list of migration issues will be provided, as for proper digital conversion, the user is expected to compile all the required cells in the Template.
100. The source code for the Migration Tool, maintained by EFRAG's Digital Team, is open-source and available in GitHub at [EFRAG-EU/Digital-Template-Data-Migration-Tool](https://github.com/EFRAG-EU/Digital-Template-Data-Migration-Tool). The repository also contains detailed documentation on installation and usage.

is the dropdown present in B7- Waste, as the list of waste has been updated to the latest version of the EU Waste Directive. As such, in the migration there will be no matches for certain waste categories which were either deleted or are new, and the user would be flagged about the issue and prompted to open the file and manually correct the cells concerned.

¹⁵ See the footnote above. Another example occurs when name range references have been inadvertently modified between versions.

10. Annex I: Summary of versions of VSME Digital Template and XBRL Taxonomy

101. The following table portrays the past versions of the VSME Digital Template and XBRL Taxonomy:

Version Number	Release Date	Major/Minor release	Link/Entry point
VSME Digital Template Version 1.0.0	27 May 2025	Major release (Initial Version)	https://xbrl.efrag.org/downloads/vsme/VSME-Digital-Template-1.0.0.xlsx
VSME XBRL Taxonomy Package	27 May 2025	Major release	https://xbrl.efrag.org/downloads/vsme/VSME-XBRL-Taxonomy-May-2025.zip Entry point: https://xbrl.efrag.org/taxonomy/vsme/2024-12-17/vsme-all.xsd
VSME Digital Template Version 1.0.1	16 June 2025	Minor release (Bugfix)	https://xbrl.efrag.org/downloads/vsme/VSME-Digital-Template-1.0.1.xlsx
VSME Digital Template Version 1.1.0	3 October 2025	Major release (Update EC Recommendation and translation feature)	https://xbrl.efrag.org/downloads/vsme/VSME-Digital-Template-1.1.0.xlsx
VSME XBRL Taxonomy Package	3 October 2025	Major release (Update EC Recommendation and translation feature)	https://xbrl.efrag.org/downloads/vsme/VSME-XBRL-Taxonomy-October-2025-v1.1.0.zip Entry point: https://xbrl.efrag.org/taxonomy/vsme/2025-07-30/vsme-all.xsd
VSME Digital Template Version 1.1.1	27 November 2025	Minor release	https://xbrl.efrag.org/downloads/vsme/VSME-

VSME Digital Template and VSME XBRL Taxonomy – Explanatory Note

		(Bugfix and additional translations)	Digital-Template-1.1.1.xlsx
VSME XBRL Taxonomy Package	27 November 2025	Minor release (additional translations)	https://xbrl.efrag.org/downloads/vsme/VSME-XBRL-Taxonomy-November-2025-v1.1.1.zip Entry point: https://xbrl.efrag.org/taxonomy/vsme/2025-07-30/vsme-all.xsd

102. The corresponding converting releases and previous versions of the Digital Template are available on Github, including a [change log in each release description](#). Please note that outdated versions should not be used.

11. Annex II: Summary of the consultation with SME Forum and DRCF members on first version released in May 2025 (Version 1.0.0)

103. In April 2025, the EFRAG Secretariat shared a draft version of the Digital Template and XBRL taxonomy with the members of the SME and Digital Reporting Consultative Forum (DRCF) members, together with an online survey. The purpose of the consultation was to receive feedback and comments on both materials. In total 28 responses were provided, of which 5 were from DRCF members and 23 from SME Forum members.

104. The survey to SME Forum members included the following questions:

- Do the SME Forum members find the cell background color index clear?
- Do you agree with the way how the EFRAG Secretariat has modelled the VSME disclosure requirements in an Excel workbook?
- Do you agree with the additional fuel converter (provided as a supporting tool) and the list with parameters provided in the “Fuel converter parameters” sheet? Should EFRAG Secretariat provide average net calorific values (density, etc.) or just leave it to the undertaking to provide the parameters based on their local circumstances and jurisdictions?
- The digital reporting in XBRL requires an entity identifier to correctly identify the company. The EFRAG secretariat recommends using an international and verifiable entity identifier like the LEI, which is also used by EBA, EIOPA and ESMA to identify digital reports. Which other identifier types should be supported by the Digital Template?

VSME Digital Template and VSME XBRL Taxonomy – Explanatory Note

- Do you have any comment or suggestion on the Draft VSME Digital Template?
 - Do you think the Digital Template is a useful support guide for the SME ecosystem?
105. The survey to DRCF members included the following questions:
- The digital reporting in XBRL requires an entity identifier to correctly identify the company. The EFRAG secretariat recommends using an international and verifiable entity identifier like the LEI, which is also used by EBA, EIOPA and ESMA to identify digital reports. Which other identifier types should be supported by the Digital Template?
 - Can you confirm the validity of the VSME Draft XBRL Taxonomy with respect to the XBRL specifications? (For those with the capability of running a technical XBRL validation)
 - Do you have any comment or suggestion on the Draft VSME XBRL Taxonomy?
106. All of the SME Forum members responding to the question “Do you think the Digital Template is a useful support guide for the SME ecosystem?” confirmed the usefulness and the need of a VSME Digital Template.
107. Concerning the question if the EFRAG Secretariat has modelled correctly the VSME disclosure requirements in an Excel workbook, this was positively confirmed by the members. However, many useful suggestions for smaller improvements and changes (e.g. colors and visuals) which were mostly implemented. One respondent raised concerns about the complexity of the workbook in general (having many formulas) and the question of long-term continuity.
108. The answers related to the question on the Fuel Converter confirmed that it is a useful tool, with a few members questioning whether EFRAG should specify the parameters (e.g. Net Calorific Value and Density) needed for the conversion.
109. A vast majority of respondents agreed that the Legal Entity Identifier (LEI) should be recommended by the EFRAG Secretariat. However, a few additional identifiers have been proposed as well. Those that satisfied the criteria mentioned in paragraph 44 and 45 of this document have been added.
110. The DRCF members confirmed that the draft XBRL taxonomy is compliant with the XBRL specifications and can be processed with various XBRL software tools.



2025/1710

5.8.2025

COMMISSION RECOMMENDATION (EU) 2025/1710

of 30 July 2025

on a voluntary sustainability reporting standard for small and medium-sized undertakings

THE EUROPEAN COMMISSION,

Having regard to the Treaty on the Functioning of the European Union, and in particular Article 292 thereof,

Whereas:

- (1) Directive (EU) 2022/2464 of the European Parliament and of the Council ⁽¹⁾ entered into force on 5 January 2023. That Directive strengthens and modernises corporate sustainability reporting requirements through modifications to Directive 2013/34/EU of the European Parliament and of the Council ⁽²⁾, Directive 2004/109/EC of the European Parliament and of the Council ⁽³⁾, Directive 2014/56/EU of the European Parliament and of the Council ⁽⁴⁾ and Regulation (EU) No 537/2014 of the European Parliament and of the Council ⁽⁵⁾.
- (2) Directive (EU) 2022/2464 is an important element of the European Green Deal ⁽⁶⁾ and of the Sustainable Finance Action Plan ⁽⁷⁾. That Directive aims to ensure that investors have the information they need to understand and manage the risks to which investee undertakings are exposed from climate change and other sustainability issues. That Directive also aims to ensure that investors and other stakeholders have the information they need about the impacts of undertakings on people and the environment.
- (3) Directive (EU) 2022/2464 requires large undertakings, parent undertakings of a large group and undertakings with securities admitted to trading on a regulated market in the Union (except micro-undertakings) to report sustainability information according to sustainability reporting standards. Article 29b of that Directive requires the Commission to adopt such standards through delegated acts, taking account of the technical advice of EFRAG. On 31 July 2023, the Commission adopted the first set of European Sustainability Reporting Standards (ESRS) by means of Commission Delegated Regulation (EU) 2023/2772 ⁽⁸⁾.

⁽¹⁾ Directive (EU) 2022/2464 of the European Parliament and of the Council of 14 December 2022 amending Regulation (EU) No 537/2014, Directive 2004/109/EC, Directive 2006/43/EC and Directive 2013/34/EU, as regards corporate sustainability reporting (OJ L 322, 16.12.2022, p. 15, ELI: <http://data.europa.eu/eli/dir/2022/2464/oj>).

⁽²⁾ Directive 2013/34/EU of the European Parliament and of the Council of 26 June 2013 on the annual financial statements, consolidated financial statements and related reports of certain types of undertakings, amending Directive 2006/43/EC of the European Parliament and of the Council and repealing Council Directives 78/660/EEC and 83/349/EEC (OJ L 182, 29.6.2013, p. 19, ELI: <http://data.europa.eu/eli/dir/2013/34/oj>).

⁽³⁾ Directive 2004/109/EC of the European Parliament and of the Council of 15 December 2004 on the harmonisation of transparency requirements in relation to information about issuers whose securities are admitted to trading on a regulated market and amending Directive 2001/34/EC (OJ L 390, 31.12.2004, p. 38, ELI: <http://data.europa.eu/eli/dir/2004/109/oj>).

⁽⁴⁾ Directive 2014/56/EU of the European Parliament and of the Council of 16 April 2014 amending Directive 2006/43/EC on statutory audits of annual accounts and consolidated accounts (OJ L 158, 27.5.2014, p. 196, ELI: <http://data.europa.eu/eli/dir/2014/56/oj>).

⁽⁵⁾ Regulation (EU) No 537/2014 of the European Parliament and of the Council of 16 April 2014 on specific requirements regarding statutory audit of public-interest entities and repealing Commission Decision 2005/909/EC (OJ L 158, 27.5.2014, p. 77, ELI: <http://data.europa.eu/eli/reg/2014/537/oj>).

⁽⁶⁾ Communication from the Commission to the European Parliament, the European Council, the Council, the European Economic and Social Committee and the Committee of the Regions, The European Green Deal, Brussels, 11.12.2019 COM(2019) 640 final.

⁽⁷⁾ Communication from the Commission to the European Parliament, the European Council, the Council, the European Economic and Social Committee and the Committee of the Regions, Action Plan: Financing Sustainable Growth, Brussels, 8.3.2018 COM(2018) 97 final.

⁽⁸⁾ Commission Delegated Regulation (EU) 2023/2772 of 31 July 2023 supplementing Directive 2013/34/EU of the European Parliament and of the Council as regards sustainability reporting standards (OJ L, 2023/2772, 22.12.2023, ELI: http://data.europa.eu/eli/reg_del/2023/2772/oj).

- (4) Directive (EU) 2022/2464 allows small and medium-sized undertakings whose securities are admitted to trading on a regulated market in the Union (listed SMEs) to report using a separate and lighter, proportionate set of standards instead of the full set of ESRS. That Directive does not impose any mandatory sustainability reporting requirements on small and medium-sized undertakings whose securities are not admitted to trading on a regulated market in the Union (non-listed SMEs).
- (5) Directive (EU) 2022/2464 requires undertakings subject to sustainability reporting requirements to report value-chain information to the extent necessary for an understanding of their sustainability-related impacts, risks and opportunities. The requirement to report value-chain information can create a so-called trickle-down effect, whereby undertakings subject to the reporting requirements request sustainability information from undertakings in their value chain. That can lead to additional burden on SMEs in the value chain of larger undertakings, even if, as is the case for non-listed SMEs, they are not themselves subject to the sustainability reporting requirements. Other factors besides Directive (EU) 2022/2464 itself may cause the trickle-down effect. For example, many undertakings seek sustainability information from undertakings in their value chains to better understand and manage their sustainability-related risks, impacts or opportunities, or to meet legal requirements other than those established in Directive (EU) 2022/2464, including as regards corporate sustainability due diligence under Directive (EU) 2024/1760 of the European Parliament and of the Council ⁽⁹⁾.
- (6) To limit the trickle-down effect on SMEs, Directive (EU) 2022/2464 established a so-called value-chain cap, which states that the ESRS may not contain reporting requirements that would require undertakings to obtain information from SMEs in their value chain that exceeds the information to be disclosed under the proportionate standard for listed SMEs (LSME).
- (7) Separately from the LSME standard provided for by Directive (EU) 2022/2464, the Commission requested EFRAG to develop a separate, simpler standard for voluntary use by non-listed SMEs. On 12 September 2023, the Commission published the SME Relief Package ⁽¹⁰⁾. Under Action 14 of that package, the Commission committed to ensuring that SMEs have a simple and standardised framework to report on ESG issues, thereby creating better opportunities for SMEs to obtain green financing and thus facilitating the transition to a sustainable economy. That standardised framework for SMEs would also limit the risk of disclosure requirements trickling down on non-listed SMEs in the value chain of undertakings in the scope of Directive (EU) 2022/2464.
- (8) The primary aim of this voluntary standard is to help undertakings not in scope of Directive (EU) 2022/2464 to respond to information requests that they receive from financial institutions, large undertakings and other stakeholders. This voluntary standard aims to reduce the need for SMEs to respond to separate requests for information from individual counterparties for their reporting, due diligence and risk management or other uses of sustainability information. In addition, voluntary reporting of sustainability information can facilitate access to sustainable finance and help SMEs to better understand and monitor their own sustainability performance, thereby improving resilience and competitiveness.
- (9) A fundamental aspect of a voluntary sustainability reporting standard for SMEs is its market acceptance both from the users' side (i.e. acceptance by business partners and financial partners to replace their own questionnaires and instead use the standard to gather sustainability data from SMEs) and the SME side (i.e. SMEs accepting the standard as a reporting tool).
- (10) EFRAG developed its draft technical advice on a voluntary sustainability reporting standard for non-listed SMEs (or 'VSME') following a rigorous due process which included a public consultation and a field-testing of the draft standard. SMEs themselves and the intended users of the reported information have expressed support for the VSME standard as a simplified reporting tool that is a credible replacement for a substantial portion of information requests that banks and large undertakings often send to SMEs in their value chains. EFRAG delivered the VSME standard to the Commission in December 2024.

⁽⁹⁾ Directive (EU) 2024/1760 of the European Parliament and of the Council of 13 June 2024 on corporate sustainability due diligence and amending Directive (EU) 2019/1937 and Regulation (EU) 2023/2859 (OJ L, 2024/1760, 5.7.2024, ELI: <http://data.europa.eu/eli/dir/2024/1760/oj>).

⁽¹⁰⁾ Communication from the Commission to the European Parliament, the Council, the European Economic and Social Committee and the Committee of the Regions, SME Relief Package, Strasbourg, 12.9.2023 COM(2023) 535 final.

- (11) The VSME standard developed by EFRAG comprises a basic module and a comprehensive module. Reporting against the basic module is a pre-requisite for reporting against the comprehensive module. The basic module is described as the 'target approach' for micro-undertakings. This means that micro-undertakings do not need to apply the basic module in its entirety and are welcome to use only certain parts of it. For small and medium-sized undertakings, the basic module is described as the 'minimum requirement' for reporting against the standard. In addition to the basic module and the comprehensive module, EFRAG also developed complementary practical guidance to help SMEs implement the provisions of the standard itself. The basic and comprehensive modules are included in Annex I to this Recommendation, whereas the complementary practical guidance is included in Annex II.
- (12) On 26 February 2025, the Commission adopted the proposal for a Directive of the European Parliament and of the Council amending Directives 2006/43/EC, 2013/34/EU, (EU) 2022/2464 and (EU) 2024/1760 as regards certain corporate sustainability reporting and due diligence requirements (omnibus simplification package⁽¹⁾) which proposes inter alia a number of amendments to the sustainability reporting requirements introduced by Directive (EU) 2022/2464 and to the sustainability due diligence requirements in Directive (EU) 2024/1760.
- (13) Regarding Directive (EU) 2022/2464, the Commission proposes, inter alia, to reduce the number of undertakings subject to the sustainability reporting requirements. According to the Commission's proposal, only large undertakings with more than 1 000 employees would remain subject to the requirement to report sustainability information. For undertakings with up to 1 000 employees, the Commission proposes to adopt a voluntary standard by means of a delegated act. Such voluntary standard would be based on the VSME standard developed by EFRAG.
- (14) The omnibus simplification proposal as regards Directive (EU) 2022/2464 also extends and strengthens the value-chain cap. According to that proposal, the value chain cap would apply directly to the reporting undertaking instead of being only a limit on what the ESRS can specify. It would protect all undertakings that would no longer be in scope of Articles 19a and 29a of Directive 2013/34/EU according to the omnibus simplification proposals (i.e. undertakings with up to 1 000 employees) rather than just SMEs as is currently the case. And the limit would be defined by the voluntary reporting standard for use by undertakings with up to 1 000 employees, to be adopted by the Commission by means of a delegated act and based on the VSME standard developed by EFRAG, which is the subject of this Recommendation. Furthermore, the omnibus simplification proposal also introduces a value chain cap linked to the VSME standard into Directive (EU) 2024/1760 on Corporate Sustainability Due Diligence, albeit subject to necessary exceptions, concerning information requests regarding the mapping of the value chain. Therefore, the content of the future voluntary reporting standard for use by undertakings with up to 1 000 employees, might differ from the current Recommendation. The empowerment of the Commission to adopt that standard by means of a delegated act, and the timing of any such adoption, depends on the conclusion of negotiations between co-legislators on the omnibus simplification proposal.
- (15) This Recommendation is adopted as a deliverable of the 2023 SME Relief Package and the 2025 Single Market Strategy. It constitutes an intermediary solution to address market demand until a voluntary standard based on the VSME standard developed by EFRAG is adopted by means of a delegated act under the omnibus simplification proposal, the timing of which will depend on the pace and conclusion of negotiations between the co-legislators. In the meantime, it remains urgent and necessary to help SMEs to respond to the information requests that they already receive from financial institutions, large companies and other stakeholders. The Commission can provide guidance to the market and thereby reduce the administrative burden for SMEs and other stakeholders by encouraging SMEs to publish sustainability information using the VSME standard developed by EFRAG and by encouraging those requesting sustainability information from SMEs to use this standard to the extent possible.
- (16) Through this Recommendation, the Commission recommends that non-listed SMEs and micro-undertakings that wish to voluntarily report sustainability information should do so in accordance with the VSME standard developed by EFRAG. To this end, the use of self-declarations by non-listed SMEs and micro-undertakings is deemed proportionate. This means that there is no obligation to provide assurance to the information reported by non-listed SMEs and that a self-declaration by the SME is sufficient. Non-listed SMEs and micro-undertakings may also refer to the practical guidance developed by EFRAG which accompanies the voluntary standard and facilitates the practical application of the voluntary standard.

⁽¹⁾ Proposal for a Directive of the European Parliament and of the Council amending Directives 2006/43/EC, 2013/34/EU, (EU) 2022/2464 and (EU) 2024/1760 as regards certain corporate sustainability reporting and due diligence requirements, Brussels, 26.2.2025 COM(2025) 81 final.

- (17) The Commission has encouraged large corporates and financial intermediaries to apply the principle of proportionality when engaging with SMEs and to exercise restraint when requesting information from SME value chain partners.⁽¹²⁾ Following the adoption of this Recommendation, large corporates and financial intermediaries should limit, as far as possible, such requests to information that is coherent with the disclosures included in the VSME.
- (18) Member States also play an important role in raising awareness and supporting the uptake of the VSME, in order to facilitate burden reduction and streamline the information which SMEs have to provide for the different requests they receive. In line with the objective of a green and digital transition of SMEs, it is important to use digital solutions and tools to facilitate sustainability reporting for SMEs. To this end, the Commission is exploring the use of eInvoicing to automatically extract relevant data for sustainability reporting, in compliance with the VSME set out in Annex I. The Commission has also launched the 2025 Technical Support Instrument (TSI) Flagship project 'Improving sustainability reporting for businesses', which aims to provide technical assistance to Member States to develop digital support and capacity-building at national level for undertakings' sustainability reporting.
- (19) In the future, small businesses may want to make their sustainability information publicly accessible on the European Single Access Point (ESAP) in order to become more visible to potential investors, thereby increasing and diversifying funding opportunities. To this end, small businesses would need to provide certain metadata and use a certain format for submitting such information.
- (20) For the purposes of providing sustainable lending or making sustainable investments, lenders or investors might ask SMEs for other types of sustainability information than what is covered in the VSME standard. The Commission will follow up separately on the commitment made in the SME Relief Package to scale up sustainable finance to SMEs, based also on the report of the Platform on Sustainable Finance on Streamlining Sustainable Finance to SMEs and building on existing frameworks, such as the InvestEU Sustainability guarantee use case document and the European Investment Bank Green Checker.
- (21) The voluntary sustainability reporting standard set out in Annex I operates without prejudice to the reporting obligations of undertakings deriving from other Union legislation,

HAS ADOPTED THIS RECOMMENDATION:

Definitions:

For the purposes of this Recommendation, the following definitions apply:

- (1) 'small and medium-sized undertakings (SMEs)' means undertakings as referred to in Article 3(2) and Article 3(3) of Directive 2013/34/EU;
- (2) 'micro-undertaking' means an undertaking as referred to in Article 3(1) of Directive 2013/34/EU;
- (3) 'financial market participant' means:
 - (a) an insurance undertaking which makes available an insurance-based investment product (IBIP);
 - (b) an investment firm which provides portfolio management;
 - (c) an institution for occupational retirement provision (IORP);
 - (d) a manufacturer of a pension product;
 - (e) an alternative investment fund manager (AIFM);
 - (f) a pan-European personal pension product (PEPP) provider;

⁽¹²⁾ Commission Recommendation (EU) 2023/1425 of 27 June 2023 on facilitating finance for the transition to a sustainable economy (OJ L 174, 7.7.2023, p. 19, ELI: <http://data.europa.eu/eli/reco/2023/1425/oj>).

- (g) a manager of a qualifying venture capital fund registered in accordance with Article 14 of Regulation (EU) No 345/2013 of the European Parliament and of the Council ⁽¹³⁾;
- (h) a manager of a qualifying social entrepreneurship fund registered in accordance with Article 15 of Regulation (EU) No 346/2013 of the European Parliament and of the Council ⁽¹⁴⁾;
- (i) a management company of an undertaking for collective investment in transferable securities (UCITS management company);
- (4) 'insurance undertaking' means an insurance undertaking authorised in accordance with Article 18 of Directive 2009/138/EC of the European Parliament and of the Council ⁽¹⁵⁾;
- (5) 'financial institution' means financial institution as defined in Article 4(1), point (26) of Regulation (EU) No 575/2013 of the European Parliament and of the Council ⁽¹⁶⁾.

Recommendations to SMEs:

1. The Commission recommends that non-listed SMEs and micro-undertakings that wish to voluntarily report sustainability information do so in accordance with the voluntary sustainability reporting standard set out in Annex I.
2. The voluntary sustainability reporting standard set out in Annex I may also be used by SMEs and micro-undertakings in third countries which wish to provide sustainability information on a voluntary basis.
3. Undertakings applying the standard set out in Annex I to report sustainability information voluntarily may also use the practical guidance included in Annex II.

Recommendations to financial institutions, financial market participants, insurance undertakings, credit institutions and other undertakings seeking sustainability information from SMEs:

4. The Commission recommends that undertakings subject to the requirements laid down in Articles 19a and 29a of Directive 2013/34/EU, where they need sustainability information from SMEs in their value chains for the purposes of sustainability reporting, should limit as far as possible their requests for such information to the information provided pursuant to the voluntary sustainability reporting standard set out in Annex I to this Recommendation.
5. The Commission recommends that financial institutions, financial market participants, insurance undertakings and credit institutions, where they need sustainability information from SMEs, should limit as far as possible their requests for such information to the information provided pursuant to the voluntary sustainability reporting standard set out in Annex I.

Recommendations to Member States:

6. The Commission recommends that Member States raise awareness among SMEs of the benefits of voluntarily reporting sustainability information in accordance with the standard set out in Annex I.

⁽¹³⁾ Regulation (EU) No 345/2013 of the European Parliament and of the Council of 17 April 2013 on European venture capital funds (OJ L 115, 25.4.2013, p. 1, ELI: <http://data.europa.eu/eli/reg/2013/345/oj>).

⁽¹⁴⁾ Regulation (EU) No 346/2013 of the European Parliament and of the Council of 17 April 2013 on European social entrepreneurship funds (OJ L 115, 25.4.2013, p. 18, ELI: <http://data.europa.eu/eli/reg/2013/346/oj>).

⁽¹⁵⁾ Directive 2009/138/EC of the European Parliament and of the Council of 25 November 2009 on the taking-up and pursuit of the business of Insurance and Reinsurance (Solvency II) (recast) (OJ L 335, 17.12.2009, p. 1, ELI: <http://data.europa.eu/eli/dir/2009/138/oj>).

⁽¹⁶⁾ Regulation (EU) No 575/2013 of the European Parliament and of the Council of 26 June 2013 on prudential requirements for credit institutions and investment firms and amending Regulation (EU) No 648/2012 (OJ L 176, 27.6.2013, p. 1, ELI: <http://data.europa.eu/eli/reg/2013/575/oj>).

7. The Commission recommends that Member States take appropriate measures at national level to foster the implementation and acceptance of the voluntary sustainability reporting standard for SMEs set out in Annex I.
8. The Commission recommends that Member States also take appropriate measures at national level to encourage the entities referred to in paragraphs 4 and 5 to limit as far as possible their requests to SMEs and micro-undertakings for sustainability information to be used for the purposes of sustainability reporting to the information provided pursuant to the voluntary sustainability reporting standard set out in Annex I.
9. The Commission recommends that Member States take appropriate measures to support the automatic digitalisation of SME sustainability reporting based on the standard set out in Annex I, to enable an efficient exchange of data that respects SMEs data ownership.

Done at Brussels, 30 July 2025.

For the Commission
Maria Luis ALBUQUERQUE
Member of the Commission

ANNEX I

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Objective of this Standard and to which undertakings it applies

1. The objective of this voluntary Standard is to support micro-, small- and medium-sized undertakings in:
 - (a) providing information that will help satisfy the data needs of large undertakings requesting sustainability information from their suppliers;
 - (b) providing information that will help satisfy data needs from banks and investors, therefore helping undertakings in their access to finance;
 - (c) improving the management of the sustainability issues they face, i.e. environmental and social challenges such as pollution, workforce health and safety. This will support their competitive growth and enhance their resilience in the short-, medium- and long-term; and
 - (d) contributing to a more sustainable and inclusive economy.
2. This Standard is voluntary. It applies to undertakings ⁽¹⁾ whose securities are not admitted to trading on a regulated market in the European Union (not listed). [Article 3 of Directive 2013/34/EU] defines three categories of small- and medium-sized undertakings based on their balance sheet total, their net turnover and their average number of **employees** during the financial year.
 - (a) An undertaking is micro if it does not exceed two of the following thresholds:
 - (i) €450 000 in balance sheet total;
 - (ii) €900 000 in net turnover; and
 - (iii) an average of 10 employees.
 - (b) An undertaking is small if it does not exceed two of the following thresholds:
 - (i) €5 million in balance sheet total;
 - (ii) €10 million in net turnover; and
 - (iii) an average of 50 employees.
 - (c) An undertaking is medium if it does not exceed two of the following thresholds:
 - (i) €25 million in balance sheet total;
 - (ii) €50 million in net turnover; and
 - (iii) an average of 250 employees.
3. These undertakings fall outside the scope of the Corporate Sustainability Reporting Directive (CSRD) but are encouraged to use this Standard. This Standard covers the same sustainability issues as the European Sustainability Reporting Standards (ESRS) for large undertakings. However, it is proportionate and therefore takes into account micro-, small- and medium-sized undertakings' fundamental characteristics. Micro-undertakings are welcome to use only certain parts of this Standard as highlighted in paragraph 5(a).
4. Consistency with ESRS for large undertakings has been carefully considered in the preparation of this Standard while defining proportionate requirements. This Standard has no legal authority unlike the ESRS for large undertakings.

Structure of this Standard

5. This Standard has two modules that the undertaking can use to prepare its sustainability report:
 - (a) **Basic Module:** Disclosures B1 and B2 and Basic Metrics (B3 to B11). This module is the target approach for micro-undertakings and constitutes a minimum requirement for other undertakings; and

⁽¹⁾ This includes self-employed, non-incorporated undertakings and listed micro undertakings.

- (b) **Comprehensive Module:** this module sets datapoints in addition to disclosures B1-B11, which are likely to be requested by banks, investors and corporate clients of the undertaking on top of the Basic Module.

Paragraph 24 below illustrates the available options for the preparation of a sustainability report using this Standard by adopting one or more of these modules. Once chosen, a module shall be complied with in its entirety (with flexibility allowed under paragraph 22); however, each item of disclosure shall be provided only when it is applicable to the undertaking's specific circumstances.

6. Applying the Basic Module is a prerequisite for applying the Comprehensive Module.
7. Appendix A *Defined terms* include the definitions of the terms used in this Standard. Throughout the VSME Standard, the terms defined in the glossary of definitions (Appendix A) are set in ***bold italics***, except when a defined term is used more than once in the same paragraph.

Principles for the preparation of the sustainability report (Basic and Comprehensive Module)

Complying with this Standard

8. This Standard sets requirements that allow the undertaking to provide relevant information on:
 - (a) how it has had and is likely to have a positive or negative ***impact*** on people or on the environment in the short-, medium- or long-term; and
 - (b) how environmental and social issues have affected or are likely to affect its financial position, performance and cash flows in the short-, medium- or long-term.
9. The undertaking shall report information that is relevant, faithful, comparable, understandable and verifiable.
10. Depending on the type of activities carried out by the undertaking, the inclusion of additional information (metrics and/or narrative disclosures) not covered in this Standard is appropriate in order to disclose sustainability issues that are common in the undertaking's sector (i.e. typically encountered by businesses or entities operating within a specific industry or field) or that are specific to the undertaking, as this supports the preparation of relevant, faithful, comparable, understandable and verifiable information. This includes the consideration of information on Scope 3 GHG emissions (see paragraphs 50 to 53 of this Standard). Appendix B provides a list of possible sustainability issues.
11. The undertaking may complement the metrics from the Basic and Comprehensive modules with additional qualitative and/or quantitative information where appropriate in accordance with paragraph 10 above.

Comparative information

12. The undertaking shall report comparative information in respect of the previous year except for metrics disclosed for the first time. The undertaking shall report comparative information from the second year of reporting.

If applicable principle

13. Certain disclosures only apply to specific circumstances ^(?). In particular, the instructions provided in each disclosure specify such circumstances and the information that is to be reported only if considered 'applicable' by the undertaking. When one of these disclosures is omitted, it is assumed to not be applicable.

^(?) For example, the legal requirement to disclose specific information, or already voluntarily disclosing specific information through an Environmental Management System.

Inclusion of subsidiaries in the reported data

14. If the undertaking is a parent company of a group, it is recommended that it prepares its sustainability report on a consolidated basis, including information from its subsidiaries.
15. If the parent undertaking has prepared its sustainability report on a consolidated basis, including information from its subsidiaries, the subsidiary undertakings are exempted from reporting.

Timing and location of the sustainability report

16. If a sustainability report is prepared to meet the needs of large undertakings or banks that require an update annually, it shall be prepared annually. If the undertaking prepares financial statements, the sustainability report shall be prepared with a period of time that is consistent with the preparation of the financial statement. If specific datapoints did not change from the previous reporting year, the undertaking may indicate that no changes occurred and refer to the information provided for that specific datapoint in the previous year's report.
17. The primary function of this report is to inform actual or potential business counterparties. The undertaking may decide to make its sustainability report available to the public. In this case, the undertaking may present its sustainability report in a separate section of the management report if it has one. Otherwise, the undertaking may present its sustainability report as a separate document.
18. To avoid publishing the same information twice, the undertaking may refer in its sustainability report to disclosures published in other documents that can be accessed at the same time as the sustainability report ⁽³⁾.

Classified and sensitive information

19. When the provision of the disclosures in this Standard requires disclosing **classified** or **sensitive information**, the undertaking may omit such information. If the undertaking decides to omit such information, it shall state that this is the case under disclosure B1 (see paragraph 24).

Coherence and linkages with disclosures in financial statements

20. If the undertaking also prepares financial statements, the information provided in its sustainability report following this Standard shall:
 - (a) be coherent with what is reported in the financial statements for the same period; and
 - (b) be presented in a way that facilitates the understanding of the linkages that exist with the information reported in financial statements, for example by using appropriate cross-references.

Basic Module

21. The undertaking shall report on its environmental, social and **business conduct** issues (together 'sustainability issues') using the B1 to B11 disclosures below.
22. If the undertaking wants to provide more comprehensive information, it may also integrate the metrics required from B1 to B11 with disclosures, selecting them from the Comprehensive Module.

⁽³⁾ In a future online tool version of the VSME Standard, when appropriate, the undertaking may refer to disclosures published in other documents rather than the sustainability report using incorporation by reference. Such reference is made by including the page number of the relevant source, provided that the PDF format of the source document is also made available in the online tool version.

23. Additional guidance on disclosures B1 to B11 is available in paragraphs 1 to 144 of Annex II of this Recommendation.

BASIC MODULE – GENERAL INFORMATION

B1 – **Basis for preparation**

24. The undertaking shall disclose:
- (a) which of the following options it has selected:
 - (i) OPTION A: Basic Module (only); or
 - (ii) OPTION B: Basic Module and Comprehensive Module;
 - (b) if the undertaking has omitted a disclosure as it is deemed **classified** or **sensitive information** (see paragraph 19), the undertaking shall indicate the disclosure that has omitted.
 - (c) whether the sustainability report has been prepared on an individual basis (i.e. the report is limited to the undertaking's information only) or on a consolidated basis (i.e. the report includes information about the undertaking and its subsidiaries);
 - (d) in case of a consolidated sustainability report, the list of the subsidiaries, including their registered address (*), covered in the report; and
 - (e) the following information:
 - (i) the undertaking's legal form;
 - (ii) NACE sector classification code(s);
 - (iii) size of the balance sheet (total assets in monetary units);
 - (iv) turnover (in monetary units);
 - (v) number of **employees** in headcount or full-time equivalents;
 - (vi) country of primary operations and location of significant asset(s); and
 - (vii) geolocation of **sites** owned, leased or managed.
25. If the undertaking has obtained any sustainability-related certification or label, it shall provide a brief description of those (including, where relevant, the issuers of the certification or label, date and rating score).

B2 – **Practices, policies and future initiatives for transitioning towards a more sustainable economy**

26. If the undertaking has put in place specific practices, policies or future initiatives for transitioning towards a more sustainable economy, it shall state so. The undertaking shall state whether it has:
- (a) **practices**. Practices in this context may include, for instance, efforts to reduce the undertaking's water and electricity consumption, to reduce GHG emissions or to prevent pollution, and initiatives to improve product safety as well as current initiatives to improve working conditions and equal treatment in the workplace, sustainability **training** for the undertaking's workforce and partnerships related to sustainability projects;
 - (b) **policies** on sustainability issues, whether they are publicly available, and any separate environmental, social or governance policies for addressing sustainability issues;
 - (c) any future initiatives or forward-looking plans that are being implemented on sustainability issues; and
 - (d) **targets** to monitor the implementation of the **policies** and the progress achieved towards meeting such targets.

(*) The registered address is the official address of the undertaking.

27. Such practices, policies and future initiatives include what the undertaking does to reduce its negative **impacts** and to enhance its positive impacts on people and the environment, in order to contribute to a more sustainable economy. Appendix B provides a list of possible sustainability issues that could be covered in this disclosure. The undertaking may use the template found in paragraph 14 of Annex II of this Recommendation to report this information.
28. If the undertaking also reports on the Comprehensive module, it shall complement the information provided under B2 with the datapoints found in C2.

BASIC MODULE – ENVIRONMENT METRICS

B3 – Energy and greenhouse gas emissions

29. The undertaking shall disclose its total energy consumption in MWh, with a breakdown as per the table below, if it can obtain the necessary information to provide such a breakdown:

	Renewable	Non-renewable	Total
Electricity (as reflected in utility billings)			
Fuels			

30. The undertaking shall disclose its estimated **gross greenhouse gas (GHG) emissions** in tons of CO₂ equivalent (tCO₂eq) considering the content of the GHG Protocol Corporate Standard (version 2004), including:
- (a) the Scope 1 GHG emissions in tCO₂eq (from owned or controlled sources); and
 - (b) the **location-based Scope 2 emissions** in tCO₂eq (i.e. emissions from the generation of purchased energy, such as electricity, heat, steam or cooling).
31. The undertaking shall disclose its GHG intensity calculated by dividing '**gross greenhouse gas (GHG) emissions**' disclosed under paragraph 30 by 'turnover (in monetary units)' disclosed under paragraph 24(e)(iv) ⁽³⁾.

B4 – Pollution of air, water and soil

32. If the undertaking is already required by law or other national regulations to report to competent authorities its emissions of pollutants, or if it voluntarily reports on them according to an Environmental Management System, it shall disclose the pollutants it emits to air, water and soil in its own operations, with the respective amount for each pollutant. If this information is already publicly available, the undertaking may alternatively refer to the document where it is reported, for example, by providing the relevant URL link or embedding a hyperlink.

B5 – Biodiversity

33. The undertaking shall disclose the number and area (in hectares or m²) of **sites** that it owns, has leased, or manages in or **near a biodiversity sensitive area**.
34. The undertaking may disclose metrics related to **land-use** (in hectares or m²):
- (a) total use of land ;
 - (b) total sealed area;
 - (c) total **nature-oriented area** on-site; and
 - (d) total **nature-oriented area** off-site.

⁽³⁾ In a future online tool version of the VSME Standard, this will be automatically calculated.

B6 – **Water**

35. The undertaking shall disclose its total **water withdrawal**, i.e. the amount of water drawn into the boundaries of the organisation (or facility); in addition, the undertaking shall separately present the amount of water withdrawn at **sites** located in areas of high water-stress.
36. If the undertaking has production processes in place which significantly consume water (e.g. thermal energy processes like drying or power production, production of goods, agricultural irrigation, etc.), it shall disclose its **water consumption** calculated as the difference between its **water withdrawal** and water discharge from its production processes.

B7 – **Resource use, circular economy and waste management**

37. The undertaking shall disclose whether it applies **circular economy principles** and, if so, how it applies these principles.
38. The undertaking shall disclose:
- (a) the total annual generation of waste broken down by type (non-hazardous and hazardous);
 - (b) the total annual waste diverted to **recycling** or reuse; and
 - (c) if the undertaking operates in a sector using significant material flows (for example manufacturing, construction, packaging or others), the annual mass-flow of relevant materials used.

BASIC MODULE – SOCIAL METRICS

B8 – **Workforce – General characteristics**

39. The undertaking shall disclose the number of **employees** in headcount or full-time equivalent for the following metrics:
- (a) type of employment contract (temporary or permanent);
 - (b) gender; and
 - (c) country of the employment contract, if the undertaking operates in more than one country.
40. If the undertaking employs 50 or more **employees**, it shall disclose the employee turnover rate for the reporting period.

B9 – **Workforce – Health and safety**

41. The undertaking shall disclose the following information regarding its **employees**:
- (a) the number and rate of **recordable work-related** accidents; and
 - (b) the number of fatalities as a result of work-related injuries and work-related ill health.

B10 – **Workforce – Remuneration, collective bargaining and training**

42. The undertaking shall disclose:
- (a) whether the **employees** receive **pay** that is equal or above applicable minimum **wage** for the country it reports on, determined directly by the national minimum wage law or through a **collective bargaining** agreement;
 - (b) the percentage gap in **pay** between its female and male **employees**. The undertaking may omit this disclosure when its headcount is below 150 employees noting that this threshold will be reduced to 100 employees from 7 June 2031;
 - (c) the percentage of **employees** covered by **collective bargaining** agreements; and
 - (d) the average number of annual **training** hours per **employee**, broken down by gender.

BASIC MODULE – GOVERNANCE METRICS

B11 – **Convictions and fines for corruption and bribery**

43. In case of convictions and fines in the reporting period, the undertaking shall disclose the number of convictions, and the total amount of fines incurred for the violation of anti-**corruption** and anti-**bribery** laws.

Comprehensive Module

44. This module provides disclosures to address in a comprehensive way the information needs of the undertaking's business partners, such as investors, banks and corporate clients in addition to the ones included in the Basic Module. The disclosures in this module reflect the financial market participants and corporate clients' respective obligations under relevant laws and regulations. They also reflect the information needed by the business partners, to assess the sustainability risk profile of the undertaking, e.g. as a (potential) supplier or a (potential) borrower.
45. The text below provides the list of disclosures from C1 to C9 to be considered and reported upon, if they are applicable to the undertaking's business and organisation. When one of these disclosures is omitted, it is assumed to not be applicable.
46. Additional guidance on disclosures C1 to C9 is available in paragraphs 145 to 180 of Annex II of this Recommendation.

COMPREHENSIVE MODULE – GENERAL INFORMATION

C1 – **Strategy: Business Model and Sustainability – Related Initiatives**

47. The undertaking shall disclose the key elements of its business model and strategy, including:
- (a) a description of significant groups of products and/or services offered;
 - (b) a description of significant market(s) the undertaking operates in (such as B2B, wholesale, retail, countries);
 - (c) a description of main business relationships (such as key suppliers, customers, distribution channels); and
 - (d) if the strategy has key elements that relate to or affect sustainability issues, a brief description of those key elements.

C2 – **Description of practices, policies and future initiatives for transitioning towards a more sustainable economy**

48. If the undertaking has put in place specific practices, **policies** or future initiatives for transitioning towards a more sustainable economy, which it has already reported under disclosure B2 in the Basic Module, it shall briefly describe them. The undertaking may use the template found in paragraph 149 of Annex II of this Recommendation for this purpose.
49. The undertaking may indicate the most senior level within its employees that is accountable for implementing the policies when this has been determined by the undertaking.

COMPREHENSIVE MODULE - ENVIRONMENTAL METRICS

Consideration when reporting on GHG emissions under B3 (Basic Module)

50. Depending on the type of activities carried out by the undertaking, disclosing a quantification of its Scope 3 GHG emissions can be appropriate (see paragraph 10 of this Standard) to yield relevant information on the undertaking's **value chain impacts** on climate change.

51. Scope 3 emissions are **indirect GHG emissions** (other than Scope 2) that derive from an undertaking's **value chain**. They include the activities that are upstream of the undertaking's operations (e.g. purchased goods and services, purchased capital goods, transportation of purchased goods, etc.) and activities that are downstream of the undertaking's operations (e.g. transport and distribution of the undertaking's products, use of sold products, investments, etc.).
52. If the undertaking decides to provide this metric, it should refer to the 15 types of Scope 3 GHG emissions identified by the GHG Protocol Corporate Standard and detailed by the GHG Protocol Corporate Value Chain (Scope 3) Accounting and Reporting Standard. When it reports on Scope 3 GHG emissions, the undertaking shall include significant Scope 3 categories (as per the *Corporate Value Chain (Scope 3) Accounting and Reporting Standard*) based on its own assessment of relevant Scope 3 categories. Undertakings can find further guidance on specific calculation methods for each category in the GHG Protocol's Technical guidance for Calculating Scope 3 Emissions.
53. When reporting its Scope 1 and Scope 2 emissions, if the undertaking discloses entity-specific information on its Scope 3 emissions, it shall present it together with the information required under B3 – Energy and greenhouse gas emissions.

C3 – GHG reduction targets and climate transition

54. If the undertaking has established GHG emission reduction **targets**, it shall disclose its targets in absolute values for Scope 1 and Scope 2 emissions. In line with paragraphs 50 to 53 above and if it has set Scope 3 reduction targets, the undertaking shall also provide targets for significant Scope 3 emissions. In particular, it shall provide:
 - (a) the target year and target year value;
 - (b) the base year and base year value;
 - (c) the units used for **targets**;
 - (d) the share of Scope 1, Scope 2 and, if disclosed, Scope 3 that the target concerns; and
 - (e) a list of main actions it seeks to implement to achieve its **targets**.
55. If the undertaking that operates in high climate impact sectors ⁽⁹⁾ has adopted a transition plan for climate change mitigation, it may provide information about it, including an explanation of how it is contributing to reduce GHG emissions.
56. In case the undertaking operates in high-climate impact sectors and does not have a transition plan for climate change mitigation in place, it shall indicate whether and, if so, when it will adopt such a transition plan.

C4 – Climate risks

57. If the undertaking has identified climate-related hazards and climate-related transition events, creating gross climate-related risks for the undertaking, it shall:
 - (a) briefly describe such climate-related hazards and climate-related transition events;
 - (b) disclose how it has assessed the exposure and sensitivity of its assets, activities and **value chain** to these hazards and transition events;
 - (c) disclose the **time horizons** of any climate-related hazards and transition events identified; and
 - (d) disclose whether it has undertaken **climate change adaptation** actions for any climate-related hazards and transition events.

⁽⁹⁾ High climate impact sectors are those listed in NACE Sections A to H and Section M as defined in Annex I to Delegated Regulation (EU) 2023/137.

58. The undertaking may disclose the potential adverse effects of climate risks that may affect its financial performance or business operations in the short-, medium- or long-term, indicating whether it assesses the risks to be high, medium, low.

COMPREHENSIVE MODULE – SOCIAL METRICS

C5 – Additional (general) workforce characteristics

59. If the undertaking employs 50 or more **employees**, it may disclose the female-to-male ratio at management level for the reporting period.
60. If the undertaking employs 50 or more **employees**, it may disclose the number of those self-employed without personnel who are working exclusively for the undertaking, and temporary workers provided by undertakings primarily engaged in 'employment activities'.

C6 – Additional own workforce information - Human rights policies and processes

61. The undertaking shall disclose an answer to the following questions.
- (a) Does the undertaking have a code of conduct or human rights **policy** for its **own workforce**? (YES/NO)
 - (b) If yes, does this cover:
 - (i) child labour (YES/ NO);
 - (ii) forced labour (YES/ NO);
 - (iii) human trafficking (YES/NO);
 - (iv) discrimination (YES/NO);
 - (v) accident prevention (YES/NO); or
 - (vi) other? (YES/NO – if yes, specify).
 - (c) Does the undertaking have a complaints-handling mechanism for its **own workforce**? (YES/ NO)

C7 – Severe negative human rights incidents

62. The undertaking shall disclose an answer to the following questions:
- (a) Does the undertaking have confirmed incidents in its **own workforce** related to:
 - (i) child labour (YES/ NO);
 - (ii) forced labour (YES/ NO);
 - (iii) human trafficking (YES/ NO);
 - (iv) discrimination (YES/ NO); or
 - (v) other? (YES/NO – if yes, specify).
 - (b) If yes, the undertaking may describe the **actions** being taken to address the **incidents** described above.
 - (c) Is the undertaking aware of any confirmed **incidents** involving **workers in the value chain, affected communities, consumers** and **end-users**? If yes, specify.

COMPREHENSIVE MODULE – GOVERNANCE METRICS

C8 – Revenues from certain activities and exclusion from EU reference benchmarks

63. If the undertaking is active in one or more of the following sectors, it shall disclose related revenues derived from activities in:
- (a) controversial weapons (anti-personnel mines, cluster munitions, chemical weapons and biological weapons);
 - (b) the cultivation and production of tobacco;

- (c) fossil fuel (coal, oil and gas) sector (i.e. the undertaking derives revenues from exploration, mining, extraction, production, processing, storage, refining or distribution, including transportation, storage and trade, of fossil fuels as defined in Article 2, point (62), of Regulation (EU) 2018/1999 of the European Parliament and the Council ⁽⁷⁾), including a disaggregation of revenues derived from coal, oil and gas; or
 - (d) chemicals production if the undertaking is a manufacturer of pesticides and other agrochemical products.
64. The undertaking shall disclose whether it is excluded from any EU reference benchmarks that are aligned with the Paris Agreement as described in paragraph 177 of Annex II of this Recommendation.

C9 – Gender diversity ratio in the governance body

65. If the undertaking has a governance body in place, the undertaking shall disclose the related gender diversity ratio.

⁽⁷⁾ Regulation (EU) 2018/1999 of the European Parliament and of the Council of 11 December 2018 on the Governance of the Energy Union and Climate Action, amending Regulations (EC) No 663/2009 and (EC) No 715/2009 of the European Parliament and of the Council, Directives 94/22/EC, 98/70/EC, 2009/31/EC, 2009/73/EC, 2010/31/EU, 2012/27/EU and 2013/30/EU of the European Parliament and of the Council, Council Directives 2009/119/EC and (EU) 2015/652 and repealing Regulation (EU) No 525/2013 of the European Parliament and of the Council (OJ L 328, 21.12.2018, p. 1).

Appendix A

Defined terms

This appendix is an integral part of this Standard.

Defined term	Definition
Accident prevention	Accident prevention refers to the policies and initiatives to prevent workplace accidents and ensure the safety and well-being of employees. This not only includes measures to reduce physical risks but also involves fostering a safe and inclusive work environment free from discrimination and harassment.
Actions	Actions refer to (i) actions and actions plans (including transition plans) that are undertaken to ensure that the undertaking delivers against targets set and through which the undertaking seeks to address material impacts, risks and opportunities; and (ii) decisions to support these with financial, human or technological resources.
Affected communities	People or group(s) living or working in the same geographical area that have been or may be affected by a reporting undertaking's operations or through its upstream and downstream value chain. Affected communities can range from those living adjacent to the undertaking's operations (local communities) to those living at a distance. Affected communities include actually and potentially affected indigenous peoples.
Biodiversity sensitive Area	Biodiversity sensitive areas include: Natura 2000 network of protected areas, UNESCO World Heritage sites and Key Biodiversity Areas ('KBAs'), as well as other protected areas, as referred to in Appendix D of Annex II to Commission Delegated Regulation (EU) 2021/2139.
Bribery	Dishonestly persuading someone to act in your favour by giving them a gift of money or another inducement.
Business Conduct	The following matters are collectively referred to as 'business conduct or business conduct matters': (a) business ethics and corporate culture, including anti-corruption and anti-bribery, the protection of whistleblowers, and animal welfare; (b) the management of relationships with suppliers, including payment practices, especially with regard to late payment to small and medium-sized undertakings. (c) activities and commitments of the undertaking related to exerting its political influence, including its lobbying activities.
Child Labour	Work that deprives children of their childhood, potential, and dignity and harms their physical and mental development. It includes work that is mentally, physically, socially, or morally dangerous and/or interferes with their schooling (by preventing them from the opportunity to attend school).
Collective bargaining	All negotiations which take place between an employer, a group of employers or one or more employers' organisations, on the one hand, and one or more trade unions or, in their absence, the representatives of the workers duly elected and authorised by them in accordance with national laws and regulations, on the other, for: i) determining working conditions and terms of employment; and/or ii) regulating relations between employers and workers; and/or regulating relations between employers or their organisations and a workers' organisation or workers' organisations.

Defined term	Definition
Corruption	Abuse of entrusted power for private gain, which can be instigated by individuals or organisations. It includes practices such as facilitation payments, fraud, extortion, collusion, and money laundering. It also includes an offer or receipt of any gift, loan, fee, reward, or other advantage to or from any person as an inducement to do something that is dishonest, illegal, or a breach of trust in the conduct of the undertaking's business. This can include cash or in-kind benefits, such as free goods, gifts, and holidays, or special personal services provided for the purpose of an improper advantage, or that can result in moral pressure to receive such an advantage.
Consumers	Individuals who acquire, consume or use goods and services for personal use, either for themselves or for others, and not for resale, commercial or trade, business, craft or profession purposes.
Classified information	EU classified information as defined in Council Decision of 23 September 2013 on the security rules for protecting EU classified information (2013/488/EU) or classified by one of the Member States and marked as per Appendix B of that Council decision. EU classified information means any information designated by a EU security classification, of which the unauthorised disclosure could cause varying degrees of prejudice to the interests of the European Union or of one or more of the Member States. Classified information may be classified according to four levels: top secret, secret, confidential, restricted (based on the definition from the Council Decision).
Circular economy principles	The European circular economy principles are usability; reusability; repairability; disassembly; remanufacturing or refurbishment; recycling; recirculation by the biological cycle; other potential optimisation of product and material use.
Climate change adaptation	The process of adjustment to actual and expected climate change and its impacts.
Climate-related physical risks	Risks resulting from climate change that can be event-driven (acute) or from longer-term shifts (chronic) in climate patterns. Acute physical risks arise from particular hazards, especially weather-related events such as storms, floods, fires or heatwaves. Chronic physical risks arise from longer-term changes in the climate, such as temperature changes, and their effects on rising sea levels, reduced water availability, biodiversity loss and changes in land and soil productivity.
Direct GHG emissions (Scope 1)	Direct GHG emissions from sources that are owned or controlled by the undertaking.
Discrimination	Discrimination can occur directly or indirectly. Direct discrimination occurs when an individual is treated less favourably by comparison to how others, who are in a similar situation. Indirect discrimination occurs when an apparently neutral rule disadvantages a person or a group sharing the same characteristics.
Employee	An individual who is in an employment relationship with the undertaking according to national law or practice.
End-users	Individuals who ultimately use or are intended to ultimately use a particular product or service.
Forced Labour	All work or service which is exacted from any person under the threat of penalty and for which the person has not offered himself or herself voluntarily according to the ILO Forced Labour Convention, 1930 (No.29). The term encompasses all situations in which persons are coerced by any means to perform work.

Defined term	Definition
Grievance mechanism	Any routinized, state-based or non-state-based, judicial or non-judicial processes through which stakeholders can raise grievances and seek remedy. Examples of state-based judicial and non-judicial grievance mechanisms include courts, labour tribunals, national human rights institutions, National Contact Points under the OECD Guidelines for Multinational Enterprises, ombudsperson offices, consumer protection agencies, regulatory oversight bodies, and government-run complaints offices. Non-state-based grievance mechanisms include those administered by the undertaking, either alone or together with stakeholders, such as operational-level grievance mechanisms and collective bargaining, including the mechanisms established by collective bargaining. They also include mechanisms administered by industry associations, international organisations, civil society organisations, or multi-stakeholder groups. Operational-level grievance mechanisms are administered by the organisation either alone or in collaboration with other parties and are directly accessible by the organisation's stakeholders. They allow for grievances to be identified and addressed early and directly, thereby preventing both harm and grievances from escalating. They also provide important feedback on the effectiveness of the organisation's due diligence from those who are directly affected. According to UN Guiding Principle 31, effective grievance mechanisms are legitimate, accessible, predictable, equitable, transparent, rights-compatible, and a source of continuous learning. In addition to these criteria, effective operational-level grievance mechanisms are also based on engagement and dialogue. It can be more difficult for the organisation to assess the effectiveness of grievance mechanisms that it participates in compared to those it has established itself.
Greenhouse Gases (GHG)	For the purposes of this Standard, GHGs are the six gases listed in the Kyoto Protocol: carbon dioxide (CO ₂); methane (CH ₄); nitrous oxide (N ₂ O); Nitrogen trifluoride (NF ₃); hydrofluorocarbons (HFCs); perfluorocarbons (PFCs); and sulphur hexafluoride (SF ₆).
Governance	The governance is the system of rules, practices and processes by which a company is directed and controlled.
Gross greenhouse gas (GHG) emissions	Gross greenhouse gas (GHG) emissions are total GHG emissions released by the undertaking into the atmosphere, without considering any deductions for carbon removals or other adjustments.
Hazardous waste	Waste which displays one or more of the hazardous properties listed in Annex III of Directive 2008/98/EC of the European Parliament and of the Council on waste.
Human trafficking	The recruitment, transportation, transfer, harbouring or reception of persons, including the exchange or transfer of control over those persons, by means of the threat or use of force or other forms of coercion, of abduction, of fraud, of deception, of the abuse of power or of a position of vulnerability or of the giving or receiving of payments or benefits to achieve the consent of a person having control over another person, for the purpose of exploitation.
Incident	A legal action or complaint registered with the undertaking or competent authorities through a formal process, or an instance of non-compliance identified by the undertaking through established procedures. Established procedures to identify instances of non-compliance can include management system audits, formal monitoring programs, or grievance mechanisms.
Indirect GHG emissions (Scope 2)	Indirect emissions are a consequence of the operations of the undertaking but occur at sources owned or controlled by another company. Scope 2 GHG emissions are indirect emissions from the generation of purchased or acquired electricity, steam and heat, or cooling consumed by the undertaking.

Defined term	Definition
Impact	Impact refers to the effect an organisation has or could have on the economy, environment, and people, including effects on their human rights, as a result of the organization's activities or business relationships. The impacts can be actual or potential, negative or positive, short-term or long-term, intended or unintended, direct or indirect, and reversible or irreversible. These impacts indicate the organization's contribution, negative or positive, to sustainable development. The impacts on the economy, environment, and people are interrelated. The organization's impacts on the environment refer to the impacts on living organisms and non-living elements, including air, land, water, and ecosystems. An organization can have an impact on the environment through, for example, its use of energy, land, water, and other natural resources. The organization's impacts on people refer to the impacts on individuals and groups, such as communities, vulnerable groups, or society. This includes the impacts the organization has on people's human rights. An organization can have an impact on people through, for example, its employment practices (e.g. the wages it pays to employees), its supply chain (e.g. the working conditions of workers of suppliers), and its products and services (e.g. their safety or accessibility).
Land-use (change)	The human use of a specific area for a certain purpose (such as residential; agriculture; recreation; industrial, etc.). Influenced by land cover (grass, asphalt, trees, bare ground, water, etc). Land-use change refers to a change in the use or management of land by humans, which may lead to a change in land cover.
Location-based Scope 2 emissions	Emissions from electricity, heat, steam and cooling purchased or acquired and consumed by the reporting company, calculated using the location-based 'allocating' method, which allocates generator emissions to end-users. They reflect the average emissions intensity of grids on which the energy consumption occurs and uses mostly grid-average emission factor data. Typical sources of Scope 2 emissions relate to any equipment that consumes electricity (electrical engines, lights, buildings, etc.), heat (heating in industrial processes, buildings, etc.), steam (industrial processes) and cooling (industrial processes, buildings, etc.).
Nature-oriented area	A "nature-oriented area" is an area dedicated primarily to nature preservation or restoration. They can be located on-site and include elements like roof, façade, water drainages designed, to promote biodiversity. Nature-oriented areas can also be located outside the organisation site provided that the area is owned or (co-)managed by the organisation and is primarily dedicated to promoting biodiversity.
Near (Biodiversity Sensitive Area)	Near, in the context of B5 – Biodiversity, shall refer to an area that is (partially) overlapping or adjacent to a biodiversity sensitive area.
Own workforce/own workers	Employees who are in an employment relationship with the undertaking ('employees') and non-employees who are either individual contractors supplying labour to the undertaking ('self-employed people') or people provided by undertakings primarily engaged in 'employment activities' (NACE Code O78).
Pay	The ordinary basic or minimum wage or salary and any other remuneration, whether in cash or in kind which the worker receives directly or indirectly ('complementary or variable components'), in respect of his/her employment from his/her employer. 'Pay level' means gross annual pay and the corresponding gross hourly pay. 'Median pay level' means the pay of the employee that would have half of the employees earn more and half less than they do.

Defined term	Definition
Policy	A set or framework of general objectives and management principles that the undertaking uses for decision-making. A policy implements the undertaking's strategy or management decisions related to a sustainability issue. Each policy is under the responsibility of defined person(s), specifies its perimeter of application, and includes one or more objectives (linked when applicable to measurable targets). A policy is implemented through actions or action plans. For example, undertakings with less resources may have few (or no) policies formalised in written documents, but this does not necessarily mean they do not have policies. If the undertaking has not yet formalised a policy but has implemented actions or defined targets through which the undertaking seeks to address sustainability issues, it shall disclose them.
Radioactive waste	Any radioactive material in gaseous, liquid, or solid form, for which no further use is foreseen, as per Article 3(7) of Council Directive 2011/70/Euratom (?).
Recordable work-related accident / Recordable work-related injury or ill health	A work-related accident is an event that leads to physical or mental harm therefore to injury or ill health. It happens whilst engaged in an occupational activity or during the time spent at work. Recordable means diagnosed by a physician or other licensed health care professionals. Work-related injury or ill health can result in any of the following: death, days away from work, restricted work or transfer to another job, medical treatment beyond first aid or loss of consciousness. Injuries that do not require medical treatment beyond first aid are generally not recordable.
Recycling	Any recovery operation by which waste materials are reprocessed into products, materials or substances whether for the original or other purposes. It includes the reprocessing of organic material but does not include energy recovery and the reprocessing into materials that are to be used as fuels or for backfilling operations.
Renewable Energy	Energy from renewable non-fossil sources, namely wind, solar (solar thermal and solar photovoltaic) and geothermal energy, ambient energy, tide, wave and other ocean energy, hydropower, biomass, landfill gas, sewage treatment plant gas, and biogas (?).
Sealed area	A sealed area means any area where the original soil has been covered (such as roads) making it impermeable. This non-permeability can create environmental impacts.
Sensitive information	Sensitive information as defined in Regulation (EU) 2021/697 of the European Parliament and of the Council of 29 April 2021 establishing the European Defence Fund. Sensitive information means information and data, including classified information, that is to be protected from unauthorised access or disclosure because of obligations laid down in Union or national law or in order to safeguard the privacy or security of a natural or legal person.
Site	The location of one or more physical installations. If there is more than one physical installation from the same or different owners or operators and certain infrastructure and facilities are shared, the entire area where the physical installation are located may constitute a site.
Targets	Measurable, outcome-oriented and time-bound goals that the SME aims to achieve in relation to sustainability issues. They may be set voluntarily by the SME or derive from legal requirements on the undertaking.

Defined term	Definition
Time horizons	When preparing its sustainability report, the undertaking shall adopt the following time horizons: (a) for the short-term time horizon, one year; (b) for the medium-term time horizon, from two to five years; and (c) for the long-term time horizon, more than five years.
Training	Initiatives put in place by the undertaking aimed at the maintenance and/or improvement of skills and knowledge of its own workers. It can include different methodologies, such as on-site training, and online training.
Value Chain	The full range of activities, resources and relationships related to the undertaking's business model and the external environment in which it operates. A value chain encompasses the activities, resources and relationships the undertaking uses and relies on to create its products or services from conception to delivery, consumption and end-of-life. Relevant activities, resources and relationships include: a) those in the undertaking's own operations, such as human resources; b) those along its supply, marketing and distribution channels, such as materials and service sourcing and product and service sale and delivery; and c) the financing, geographical, geopolitical and regulatory environments in which the undertaking operates. Value chain includes actors upstream and downstream from the undertaking. Actors upstream from the undertaking (e.g. suppliers) provide products or services that are used in the development of the undertaking's products or services. Entities downstream from the undertaking (e.g. distributors, customers) receive products or services from the undertaking.
Wage	Gross wage, excluding variable components such as overtime and incentive pay, and excluding allowances unless they are guaranteed.
Water consumption	The amount of water drawn into the boundaries of the undertaking (or facility) and not discharged back to the water environment or a third party over the course of the reporting period.
Water withdrawal	The sum of all water drawn into the boundaries of the undertaking from all sources for any use over the course of the reporting period.
Worker in the value chain	An individual performing work in the value chain of the undertaking, regardless of the existence or nature of any contractual relationship with the undertaking. In the ESRS, the scope of workers in the value chain include all workers in the undertaking's upstream and downstream value chain who are or can be materially impacted by the undertaking. This includes impacts that are connected to the undertaking's own operations, and value chain, including through its products or services, as well as through its business relationships. This includes all workers who are not in the scope of 'Own Workforce' ('Own Workforce' includes people who are in an employment relationship with the undertaking ('employees') and non-employees who are either individual contractors supplying labour to the undertaking ('self-employed people') or people provided by undertakings primarily engaged in employment activities (NACE Code O78).

(¹) Council Directive 2011/70/Euratom of 19 July 2011 establishing a Community framework for the responsible and safe management of spent fuel and radioactive waste.

(²) Article 2(1) Directive (EU) 2018/2001 of the European Parliament and of the Council of 11 December 2018 on the promotion of the use of energy from renewable sources Directive (EU) 2018/2001 of the European Parliament and of the Council of 11 December 2018 on the promotion of the use of energy from renewable sources (OJ L 328, 21.12.2018, p. 82).

Appendix B

List of possible sustainability issues

The appendix below is an integral part of this Standard and provides a list of possible sustainability issues.

Topic	Sustainability issue: Sub-topic	Sustainability issue: sub-sub topic
Climate change	— Climate change adaptation — Climate change mitigation — Energy	
Pollution	— Pollution of air — Pollution of water — Pollution of soil — Pollution of living organisms and food resources — Substances of concern — Substances of very high concern — Microplastics	
Water and marine resources	— Water — Marine resources	— Water consumption — Water withdrawals — Water discharges — Water discharges in the oceans — Extraction and use of marine resources
Biodiversity and ecosystems	— Direct impact drivers of biodiversity loss	— Climate Change — Land-use change, fresh water-use change and sea-use change — Direct exploitation — Invasive alien species — Pollution — Others
	— Impacts on the state of species	— Examples: — Species population size — Species global extinction risk
	— Impacts on the extent and condition of ecosystems	— Examples: — Land degradation — Desertification — Soil sealing
	— Impacts and dependencies on ecosystem services	
Circular economy	— Resources inflows, including resource use — Resource outflows related to products and services — Waste	
Own workforce	— Working conditions	— Secure employment — Working time — Adequate wages — Social dialogue — Freedom of association, the existence of works councils and the information, consultation and participation rights of workers — Collective bargaining, including rate of workers covered by collective agreements

Topic	Sustainability issue: Sub-topic	Sustainability issue: sub-sub topic
		— Work-life balance — Health and safety
	— Equal treatment and opportunities for all	— Gender equality and equal pay for work of equal value — Training and skills development — Employment and inclusion of persons with disabilities — Measures against violence and harassment in the workplace — Diversity
	— Other work-related rights	— Child labour — Forced labour — Adequate housing — Privacy
Workers in the value chain	— Working conditions	— Secure employment — Working time — Adequate wages — Social dialogue — Freedom of association, including the existence of work councils — Collective bargaining — Work-life balance — Health and safety
	— Equal treatment and opportunities for all	— Gender equality and equal pay for work of equal value — Training and skills development — The employment and inclusion of persons with disabilities — Measures against violence and harassment in the workplace — Diversity
	— Other work-related rights	— Child labour — Forced labour — Adequate housing — Water and sanitation — Privacy
Affected communities	— Communities' economic, social and cultural rights	— Adequate housing — Adequate food — Water and sanitation — Land-related impacts — Security-related impacts
	— Communities' civil and political rights	— Freedom of expression — Freedom of assembly — Impacts on human rights defenders
	— Rights of indigenous communities	— Free, prior and informed consent — Self-determination — Cultural rights

Topic	Sustainability issue: Sub-topic	Sustainability issue: sub-sub topic
Consumers and end-users	— Information-related impacts for consumers and/or end-users	— Privacy — Freedom of expression — Access to (quality) information
	— Personal safety of consumers and/or end-users	— Health and safety — Security of a person — Protection of children
	— Social inclusion of consumers and/or end-users	— Non-discrimination — Access to products and services — Responsible marketing practices
Business conduct	— Corporate culture — Protection of whistle-blowers — Animal welfare — Political engagement — Management of relationships with suppliers including payment practices	
	— Corruption and bribery	— Prevention and detection including training — Incidents

Appendix C:

Background information for financial market participants that are users of the information produced using this Standard (reconciliation with other EU regulations)

66. This appendix is relevant for users of the sustainability report. The table below illustrates the Sustainable Finance Datapoints that are present in different modules of this Standard that satisfy the requests of multiple user types (banks, investors, large undertakings).
67. The column 'DR number and Title' identifies the disclosures present in the different modules (i.e. Basic Module, and Comprehensive Module) that are Sustainable Finance datapoints. The column SFDR Table 1 and/or EBA Pillar 3 and/or Benchmark Regulation illustrates how these disclosures relate to these regulations that are relevant for users of the sustainability report (banks, other investors).

Topic: Environment / Social / Governance	DR number and Title	SFDR Table 1 and/or EBA Pillar 3 and/or Benchmark Regulation												
Basic Module														
General information	B1 – Basis for preparation The undertaking shall disclose: vii. geolocation of sites owned, leased or managed.	EBA Pillar 3 ⁽¹⁾												
Environment	B3 – Energy and greenhouse gas emissions The undertaking shall disclose its total energy consumption in MWh, with a breakdown as per the table below, if it can obtain the necessary information to provide such a breakdown:	SFDR ⁽²⁾												
	<table><tr><td></td><td>Renewable</td><td>Non-renewable</td><td>Total</td></tr><tr><td>Electricity (as reflected in utility billings)</td><td></td><td></td><td></td></tr><tr><td>Fuels</td><td></td><td></td><td></td></tr></table>			Renewable	Non-renewable	Total	Electricity (as reflected in utility billings)				Fuels			
			Renewable	Non-renewable	Total									
	Electricity (as reflected in utility billings)													
Fuels														
Environment	B3 – Energy and greenhouse gas emissions The undertaking shall disclose its estimated gross greenhouse gas (GHG) emissions in tons of CO ₂ equivalent (tCO ₂ eq) considering the content of the GHG Protocol Corporate Standard (version 2004), including: (a) the Scope 1 GHG emissions in tCO₂eq (from owned or controlled sources); and (b) the location-based Scope 2 emissions in tCO₂eq (i.e. emissions from the generation of purchased energy, such as electricity, heat, steam or cooling).	SFDR ⁽³⁾ Benchmark ⁽⁴⁾												
Environment	B3 – Energy and greenhouse gas emissions The undertaking shall disclose its GHG intensity calculated by dividing ‘total GHG emissions’ disclosed under paragraph 30 by ‘turnover (in monetary units)’ disclosed under paragraph 24(e)(iv).	SFDR ⁽⁵⁾ Benchmark ⁽⁶⁾												

Topic: Environment / Social / Governance	DR number and Title	SFDR Table 1 and/or EBA Pillar 3 and/or Benchmark Regulation
Environment	B4 – Pollution of air, water and soil If the undertaking is already required by law or other national regulations to report to competent authorities its emissions of pollutants, or if it voluntarily reports on them according to an Environmental Management System, it shall disclose the pollutants it emits to air, water and soil in its own operations, with the respective amount for each pollutant. If this information is already publicly available, the undertaking may alternatively refer to the document where it is reported, for example, by providing the relevant URL link or embedding a hyperlink.	SFDR ⁽⁷⁾
Environment	B5 – Biodiversity The undertaking shall disclose the number and area (in hectares) of sites that it owns, has leased, or manages in or near a biodiversity sensitive area.	SFDR ⁽⁸⁾
Environment	B7 – Resource use, circular economy and waste management The undertaking shall disclose: (a) the total annual generation of waste broken down by type (non-hazardous and hazardous);	SFDR ⁽⁹⁾
Social	B9 – Workforce – Health and safety The undertaking shall disclose the following information regarding its employees : (a) the number and rate of recordable work-related accidents; and (b) the number of fatalities as a result of work-related injuries and work-related ill health.	SFDR ⁽¹⁰⁾ Benchmark ⁽¹¹⁾
Social	B10 – Workforce – Remuneration, collective bargaining and training The undertaking shall disclose: (b) the percentage gap in pay between its female and male employees . The undertaking may omit this disclosure when its headcount is below 150 employees noting that this threshold will be reduced to 100 employees from 7 June 2031;	SFDR ⁽¹²⁾
Governance	B11 – Convictions and fines for corruption and bribery In case of convictions and fines in the reporting period, the undertaking shall disclose the number of convictions, and the total amount of fines incurred for the violation of anti-corruption and anti-bribery laws.	Benchmark ⁽¹³⁾
Comprehensive Module		
Environment	Consideration when reporting on GHG emissions under B3 (Basic Module) When reporting its Scope 1 and Scope 2 emissions, if the undertaking discloses entity-specific information on its Scope 3 emissions, it shall present it together with the information required under B3 – Energy and greenhouse gas emissions.	SFDR ⁽¹⁴⁾ Benchmark ⁽¹⁵⁾

Topic: Environment / Social / Governance	DR number and Title	SFDR Table 1 and/or EBA Pillar 3 and/or Benchmark Regulation
Environment	C3 – GHG emissions reduction target If the undertaking has established GHG emission reduction targets, it shall disclose its targets in absolute values for Scope 1 and Scope 2 emissions. In line with paragraphs 50 to 53 above and if it has set Scope 3 reduction targets, the undertaking shall also provide targets for significant Scope 3 emissions. In particular, it shall provide: (a) the target year and target year value; (b) the base year and base year value; (c) the units used for targets; (d) the share of Scope 1, Scope 2 and, if disclosed, Scope 3 that the target concerns; and (e) a list of main actions it seeks to implement to achieve its targets. If the undertaking that operates in high climate impact sectors ⁽¹⁶⁾ has adopted a transition plan for climate change mitigation, it may provide information about it, including an explanation of how it is contributing to reduce GHG emissions. In case the undertaking operates in high-climate impact sectors and does not have a transition plan for climate change mitigation in place, it shall indicate whether and, if so, when it will adopt such a transition plan.	SFDR ⁽¹⁷⁾ Benchmark ⁽¹⁸⁾ EBA Pillar 3 ⁽¹⁹⁾ Benchmark ⁽²⁰⁾
Environment	C4 – Climate risks If the undertaking has identified climate-related hazards and climate-related transition events, creating gross climate-related risks for the undertaking, it shall: (a) briefly describe such climate-related hazards and climate-related transition events; (b) disclose how it has assessed the exposure and sensitivity of its assets, activities and value chain to these hazards and transition events; (c) disclose the time horizons of any climate-related hazards and transition events identified; and (d) disclose whether it has undertaken climate change adaptation actions for any climate-related hazards and transition events. The undertaking may disclose the potential adverse effects of climate risks that may affect its financial performance or business operations in the short-, medium- or long-term, indicating whether it assesses the risks to be high, medium, low.	Benchmark ⁽²¹⁾ EBA Pillar 3 ⁽²²⁾

Topic: Environment / Social / Governance	DR number and Title	SFDR Table 1 and/or EBA Pillar 3 and/or Benchmark Regulation
Social	C6 – Additional own workforce information - Human rights policies and processes The undertaking shall disclose an answer to the following questions. (a) Does the undertaking have a code of conduct or human rights policy for its own workforce? (YES/NO) (b) If yes, does this cover: i. child labour (YES/ NO); ii. forced labour (YES/ NO); iii. human trafficking (YES/NO); iv. discrimination (YES/NO); v. accident prevention (YES/NO); or vi. other? (YES/NO – if yes, specify). Does the undertaking have a complaints-handling mechanism for its own workforce? (YES/ NO)	Benchmark ⁽²³⁾ SFDR ⁽²⁴⁾
Social	C7 – Severe human rights incidents The undertaking shall disclose an answer to the following questions: (a) Does the undertaking have confirmed incidents in its own workforce related to: i. child labour (YES/ NO); ii. forced labour (YES/ NO); iii. human trafficking (YES/ NO); iv. discrimination (YES/ NO); or v. other? (YES/NO – if yes, specify). (b) If yes, the undertaking may describe the actions being taken to address the incidents described above. Is the undertaking aware of any confirmed incidents involving workers in the value chain, affected communities, consumers and end-users? If yes, specify.	SFDR ⁽²⁵⁾ Benchmark ⁽²⁶⁾
Governance	C8 – Revenues from certain sectors and exclusion from EU reference benchmarks If the undertaking is active in one or more of the following sectors, it shall disclose its related revenues in the sector(s): (a) controversial weapons (anti-personnel mines, cluster munitions, chemical weapons and biological weapons);	SFDR ⁽²⁷⁾ Benchmark ⁽²⁸⁾

Topic: Environment / Social / Governance	DR number and Title	SFDR Table 1 and/or EBA Pillar 3 and/or Benchmark Regulation
	(b) the cultivation and production of tobacco;	EBA Pillar 3 ⁽²⁹⁾ Benchmark ⁽³⁰⁾
	(c) fossil fuel (coal, oil and gas) sector (i.e. the undertaking derives revenues from exploration, mining, extraction, production, processing, storage, refining or distribution, including transportation, storage and trade, of fossil fuels as defined in Article 2, point (62), of Regulation (EU) 2018/1999 of the European Parliament and the Council ¹⁷), including a disaggregation of revenues derived from coal, from oil and from gas); or	SFDR ⁽³¹⁾ EBA Pillar 3 ⁽³²⁾ Benchmark ⁽³³⁾
	(d) chemicals production, if the undertaking is a manufacturer of pesticides and other agrochemical products.	SFDR ⁽³⁴⁾ EBA Pillar 3 ⁽³⁵⁾
	The undertaking shall disclose whether it is excluded from any EU reference benchmarks that are aligned with the Paris Agreement as described in paragraph 177 of Annex II of this Recommendation.	EBA Pillar 3 ⁽³⁶⁾ Benchmark ⁽³⁷⁾
Governance	C9 – Gender diversity ratio in governance body If the undertaking has a governance body in place, the undertaking shall disclose the related gender diversity ratio.	SFDR ⁽³⁸⁾ Benchmark ⁽³⁹⁾

⁽¹⁾ This disclosure requirement is consistent with the requirements included in Commission Implementing Regulation (EU) 2022/2453 - Template 5: Banking book - Climate change physical risk: Exposures subject to physical risk.

⁽²⁾ Regulation (EU) 2019/2088 (SFDR), mandatory indicator #5 in Table 1 of Annex I ("Share of non-renewable energy consumption and production").

⁽³⁾ Regulation (EU) 2019/2088 (SFDR), mandatory indicators #1 and #2 in Table 1 of Annex I ("GHG emissions"; Carbon footprint")

⁽⁴⁾ Regulation (EU) 2020/1816 Benchmark Regulation, Articles 5 (1), 6 and 8 (1).

⁽⁵⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from a mandatory indicator related to principal adverse impacts as set out by indicator #3 in Table I of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments ("GHG intensity of investee companies").

⁽⁶⁾ This information is aligned with Commission Delegated Regulation (EU) 2020/1818 (Climate Benchmark Regulation), Article 8 (1).

⁽⁷⁾ Regulation (EU) 2019/2088 (SFDR) because it is derived from (a) an additional indicator related to principal adverse impacts as set out by indicator #2 in Table II of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments ("Emissions of air pollutants"); (b) indicator #8 in Table I of Annex I ("Emissions to water"); (c) indicator #1 in Table II of Annex I ("Emissions of inorganic pollutants"); and (d) indicator #3 in Table II of Annex I ("Emissions of ozone-depleting substances").

⁽⁸⁾ Regulation (EU) 2019/2088 (SFDR), mandatory indicator #7 in Table 1 of Annex I ("Activities negatively affecting biodiversity-sensitive areas")

⁽⁹⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from a mandatory indicator related to principal adverse impacts as set out by indicator #9 in Table I of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments ("Hazardous waste and radioactive waste ratio").

⁽¹⁰⁾ This information supports the information needs of financial market participants subject to **Regulation (EU) 2019/2088**, as reflecting an additional indicator related to principal adverse impacts as set out by **indicator #2 in Table 3** of Annex 1 of the related Delegated Regulation with regard to disclosure rules on sustainable investments ("Rate of accidents")

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- ⁽¹¹⁾ Benchmark administrators to disclose ESG factors subject to Regulation (EU) 2020/1816 as set out by indicator “Weighted average ratio of accidents, injuries, fatalities” in section 1 and 2 of Annex 2.
- ⁽¹²⁾ Regulation (EU) 2019/2088 (SFDR), mandatory indicator #12 in Table 1 of Annex I (“Unadjusted gender pay gap”) and (EU) 2020/1816 Benchmark Regulation (EU), indicator “Weighted average gender pay gap” in section 1 and 2 of Annex II.
- ⁽¹³⁾ Benchmark Regulation (EU) 2020/1816, indicator “Numbers of convictions and amount of fines for violations of anti-corruption and anti-bribery laws” in section 1 and 2 of Annex II.
- ⁽¹⁴⁾ Regulation (EU) 2019/2088 (SFDR), mandatory indicators #1 and #2 in Table 1 of Annex I (“GHG emissions”; Carbon footprint”).
- ⁽¹⁵⁾ Regulation (EU) 2020/1816 Benchmark Regulation, Articles 5 (1), 6 and 8 (1).
- ⁽¹⁶⁾ High climate impact sectors are those listed in NACE Sections A to H and Section M as defined in Annex I to Delegated Regulation (EU) 2023/137.
- ⁽¹⁷⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 (SFDR) because it is derived from an additional indicator related to principal adverse impacts as set out by indicator #4 in Table II of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments (“Investments in companies without carbon emission reduction initiatives”).
- ⁽¹⁸⁾ This information is aligned with the Commission Delegated Regulation (EU) 2020/1818 (Climate Benchmark Regulation), Article 6.
- ⁽¹⁹⁾ This information is aligned with Article 449a Regulation (EU) No 575/2013; Commission Implementing Regulation (EU) 2022/2453 Template 3: Banking book – Climate change transition risk: alignment metrics
- ⁽²⁰⁾ This information is aligned with the Regulation (EU) 2021/1119 of the European Parliament and of the Council (EU Climate Law), Article 2 (1); and with Commission Delegated Regulation (EU) 2020/1818 (Climate Benchmark Regulation), Article 2.
- ⁽²¹⁾ Benchmark Regulation (EU) 2020/1816 Annex II: Environmental factors to be considered by underlying assets of the benchmark.
- ⁽²²⁾ EBA Pillar 3: ITS - Template 5: Banking book - Climate change physical risk: Exposures subject to physical risk and EBA Pillar 3: ITS - Template 2: Banking book - Climate change transition risk: Loans collateralised by immovable property - Energy efficiency of the collateral.
- ⁽²³⁾ This information supports the needs of benchmark administrators to disclose ESG factors subject to Regulation (EU) 2020/1816 as set out by indicator “Exposure of the benchmark portfolio to companies without due diligence policies on issues addressed by the fundamental International Labour Organisation Conventions 1 to 8” in section 1 and 2 of Annex II.
- ⁽²⁴⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from a mandatory indicator related to principal adverse impacts as set out by indicator #11 in Table I of Annex I (“Share of investments in investee companies without policies to monitor compliance with the UNGC principles or OECD Guidelines for Multinational Enterprises or grievance /complaints handling mechanisms to address violations of the UNGC principles or OECD Guidelines for Multinational Enterprises”) and by indicator #5 in Table III of Annex I (“Share of investments in investee companies without any grievance/complaints handling mechanism related to employee matters”) and by indicator #9 in Table III of Annex I (“Share of investments in entities without a human rights policy”) of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments.
- ⁽²⁵⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from a mandatory and additional indicator related to principal adverse impacts as set out by indicator #10 in Table I of Annex I and by indicator #14 in Table III of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments (“Violations of UNGC principles and OECD Guidelines for Multinational Enterprises” and “Number of identified cases of severe human rights issues and incidents”).
- ⁽²⁶⁾ This information supports the information needs of benchmark administrators to disclose ESG factors subject to Regulation (EU) 2020/1816 as set out by indicator “Number of benchmark constituents subject to social violations (absolute number and relative divided by all benchmark constituents), as referred to in international treaties and conventions, United Nations principles and, where applicable, national law” in section 1 and 2 of Annex II.
- ⁽²⁷⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from an additional indicator related to principal adverse impacts set out by indicator #14 in Table I of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosures rules on sustainable investments (“Exposure to controversial weapons (anti-personnel mines, cluster munitions, chemical weapons and biological weapons”).
- ⁽²⁸⁾ Benchmark Regulation (EU) 2020/1818 Article 12(1): “Administrators of EU-Paris aligned Benchmarks shall exclude all of the following companies from those benchmarks: companies involved in any activities related to controversial weapons; ” and Benchmark Regulation (EU) 2020/1816 Annex II: Weighted average percentage of benchmark constituents in the controversial weapons sector.”
- ⁽²⁹⁾ EBA Pillar 3: Template 1: Banking book - Climate change transition risk: Companies in the manufacturing of tobacco products excluded from EU-Paris aligned Benchmarks in accordance with points (d) to (g) of Article 12.1 and in accordance with Article 12.2 of Climate Benchmark Standards Regulation.
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- ⁽³⁰⁾ This information supports the needs of benchmark administrators to disclose ESG factors subject to Regulation (EU) 2020/1818 as set out by paragraph b) of article 12.1. and Benchmark Regulation (EU) 2020/1816 Annex II: "Weighted average percentage of benchmark constituents in the tobacco sector."
- ⁽³¹⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from an additional indicator related to principal adverse impacts set out by indicator #4 in Table I of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosures rules on sustainable investments ("Exposure to companies active in the fossil fuel sector").
- ⁽³²⁾ EBA Pillar 3: Template 1: Banking book - Climate change transition risk: Companies in Mining and quarrying excluded from EU-Paris aligned Benchmarks in accordance with points (d) to (g) of Article 12.1 and in accordance with Article 12.2 of Climate Benchmark Standards Regulation.
- ⁽³³⁾ Benchmark Regulation (EU) 2020/1818 Article 12(1).
- ⁽³⁴⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from an additional indicator related to principal adverse impacts set out by indicator #9 in Table II of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosures rules on sustainable investments ("Investments in companies producing chemicals").
- ⁽³⁵⁾ EBA Pillar 3: Template 1: Banking book - Climate change transition risk: Companies in Mining and quarrying excluded from EU-Paris aligned Benchmarks in accordance with points (d) to (g) of Article 12.1 and in accordance with Article 12.2 of Climate Benchmark Standards Regulation.
- ⁽³⁶⁾ This disclosure requirement is consistent with the requirements in Commission Implementing Regulation (EU) 2022/2453 - template 1 climate change transition risk.
- ⁽³⁷⁾ This disclosure requirement is aligned with Commission Delegated Regulation (EU) 2020/1818 (Climate Benchmark Regulation), Article 12.1.
- ⁽³⁸⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from an additional indicator related to principal adverse impacts set out by indicator #13 in Table I of Annex I of Commission Delegated Regulation (EU) 2022/1288 of 6 April 2022 supplementing Regulation (EU) 2019/2088 of the European Parliament and of the Council with regard to disclosures rules on sustainable investments ("Board gender diversity").
- ⁽³⁹⁾ This information supports the information needs of benchmark administrators to disclose ESG factors subject to Commission Delegated Regulation (EU) 2020/1816 of 17 July 2020 supplementing Regulation (EU) 2016/1011 of the European Parliament and of the Council as set out by indicator "Weighted average ratio of female to male board members" in section 1 and 2 of Annex II.
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ANNEX II

Providing practical guidance on the application of the voluntary sustainability reporting standard for small and medium-sized undertakings contained in Annex I of this Recommendation

This Annex provides practical guidance on the application of the voluntary sustainability reporting standard for small and medium-sized undertakings (VSME) laid down in Annex I of this Recommendation.

This Annex provides guidance which clarifies the application of certain sustainability disclosure requirements contained in the voluntary sustainability reporting standard for small and medium-sized undertakings. Undertakings and other stakeholders may also wish to consult the implementation guidance on ESRS published by EFRAG.

Through the provision of the guidance contained in this Annex, the Commission intends to facilitate the application of the disclosure requirements by small and medium-sized undertakings in a cost-effective way and to ensure the usability and comparability of the reported sustainability information. By providing greater clarity and certainty to companies, this guidance will contribute to the Commission's objective of simplifying sustainability reporting requirements and reducing administrative burdens on undertakings associated with sustainability reporting.

The guidance contained in this Annex does not extend or add to in any way the provisions laid down in the Commission Recommendation nor in the voluntary sustainability reporting standard for small and medium-sized undertakings in Annex I of that Recommendation. This Annex is merely intended to assist undertakings in the practical implementation of the relevant disclosure requirements.

Basic Module: Guidance

1. The guidance contained in the sections below is intended to facilitate the application of the sustainability disclosure requirements contained in paragraphs 21 to 43 of Annex I to the Commission Recommendation on a voluntary sustainability reporting standard for small and medium-sized undertakings.
2. The guidance below is intended as part of an ecosystem that could include also the development of further support guides by EFRAG, further digital tools and implementation support (educational activities, stakeholders' engagement) that aim to facilitate the understanding of some of the technical elements in the guidance.
3. This guidance supports undertakings that wish to apply the Basic Module.

1.1. Basic Module Guidance – General information

B1 – Basis for Preparation

4. When reporting on the legal form of the undertaking according to national legislation under paragraph 24(e)(i), the undertaking can choose from one of the following undertaking structures:
 - (a) private limited liability undertaking
 - (b) sole proprietorship
 - (c) partnership
 - (d) cooperative
 - (e) other (please specify based on country specifications for legal forms).
5. When reporting on the NACE code(s) of the undertaking under paragraph 24(e)(ii), NACE codes (Nomenclature statistique des Activités économiques dans la Communauté Européenne) are classifications of economic activities used in the European Union. They provide a standardized framework for classifying economic activities into sectors, enabling comparability and a common understanding among the various EU countries.

6. The NACE code consists of a number of digits ranging from 2 to 5 depending on the level of specificity with which the economic activity is identified. The list of NACE codes can be found in the following document: Regulation (EU) 2023/137.

Level Nr	Identifier	Description
1	Section	Sections are identified by an alphabetic letter, and they define 21 general economic areas such as agriculture, manufacturing industry or commerce.
2	Division	The division is identified by a two-digit numerical code and identifies a specific sector within the general economic area. There are a total of 88 divisions.
3	Group	The group is identified by a three-digit numerical code (also considering the division's two digits) and defines a specific area within the sector. There are about 270 groups.
4	Class	The class is identified by a four-digit numerical code (considering the digits of division and group) and defines a specific activity within the group. There are about 450 classes.

7. When reporting the number of **employees** under paragraph 24(e)(v), full-time equivalent (FTE) **is the number of full-time positions in an undertaking. It can be calculated by dividing an employee's scheduled hours (total effective hours worked in a week) by the employer's hours for a full-time workweek (total hours performed by full-time employees).** For example, an employee who works 25 hours every week for a company where the full-time week is 40 hours represents a 0,625 FTE (i.e. 25/ 40 hours).
8. Headcount is the total number of people employed by the undertaking reported either at the end of the reporting period or as an average across the reporting period.
9. When reporting on the country of primary operations and the location of significant assets under paragraphs 24(e)(vi) and (vii), the undertaking shall disclose this information for each of its **sites** using the table below:

Sites	Address	Postal Code	City	Country	Coordinates (geolocation)
Registered Office (e.g.)					
Warehouse (e.g.)					
Industrial Plant (e.g.)					

10. The geolocation of an undertaking is expected to be a valuable datapoint for stakeholders for the assessment of risks and opportunities connected to the SME, particularly in relation to the sustainability issues of **climate change adaptation**, water, ecosystems and biodiversity.
11. The geolocation shall be provided in spatial points for single units or polygon points defining the boundaries of a larger, less unit-like **site**, such as a farm, mine or facility. The undertaking may also provide a cluster of points to allow for the easy identification of the concerned area. The spatial points shall be provided as coordinates, with five decimal places (e.g. 0° 00' 0.036").

12. When disclosing the geolocation of **sites** owned, leased, or managed, the undertaking shall include the coordinates of the sites in the table shown in paragraph 73. The undertaking may use web mapping tools to identify the coordinates of sites that it owns, leases or manages. The undertaking may also use any appropriate software tools or platforms to further establish the perimeter or area of larger sites.
13. In relation to paragraph 25, sustainability-related certification can include registered eco-labels from an EU, national or international labelling scheme, corresponding to the main activity of an SME. For instance, the EU Ecolabel covers specific products, such as textiles and footwear, coverings (e.g. wood floor coverings), cleaning and personal care products, electronic equipment, or furniture. The undertaking may consult the *EU Ecolabel Product Groups and Product Catalogue* for further information.

B2 – Practices, policies and future initiatives for transitioning towards a more sustainable economy

14. Undertakings may use the following template to report on B2 datapoints.

	Do you have existing sustainability practices/ policies/ future initiatives that address any of the following sustainability issues? [YES/NO]	Are they publicly available? [YES/NO]	Do the policies have any targets? [YES/NO]
Climate Change			
Pollution			
Water and Marine Resources			
Biodiversity and Ecosystems			
Circular Economy			
Own Workforce			
Workers in the Value Chain			
Affected Communities			
Consumers and end-users			
Business conduct			

15. If the undertaking is a cooperative, it may disclose:

(a) the effective participation of workers, users or other interested parties or communities in governance;

- (b) the financial investment in the capital or assets of social economy entities referred to in the Council Recommendation of 29 September 2023 (excluding donations and contributions); and
- (c) any limits to the distribution of profits connected to the mutualistic nature or to the nature of the activities consisting in services of general economic interest (SGEI).

Guidance for own workforce, workers in the value chain, affected communities and consumers and end/users

16. In order to understand the sustainability issues that relate to social and human rights, refer to Appendix B for a list of possible sustainability issues. This list could help identify if the policies, practices or future initiatives are aimed at addressing negative human rights **impacts** in a comprehensive way or if they are limited to certain groups of affected stakeholders (for example, workers in the upstream **value chain**). As part of this disclosure undertakings may also disclose whether they have a process to address human rights related complaints.

1.2. Basic Module Guidance – Environmental Metrics

B3 – Energy and greenhouse gas emissions

Impacts on climate: energy usage and greenhouse gas emissions

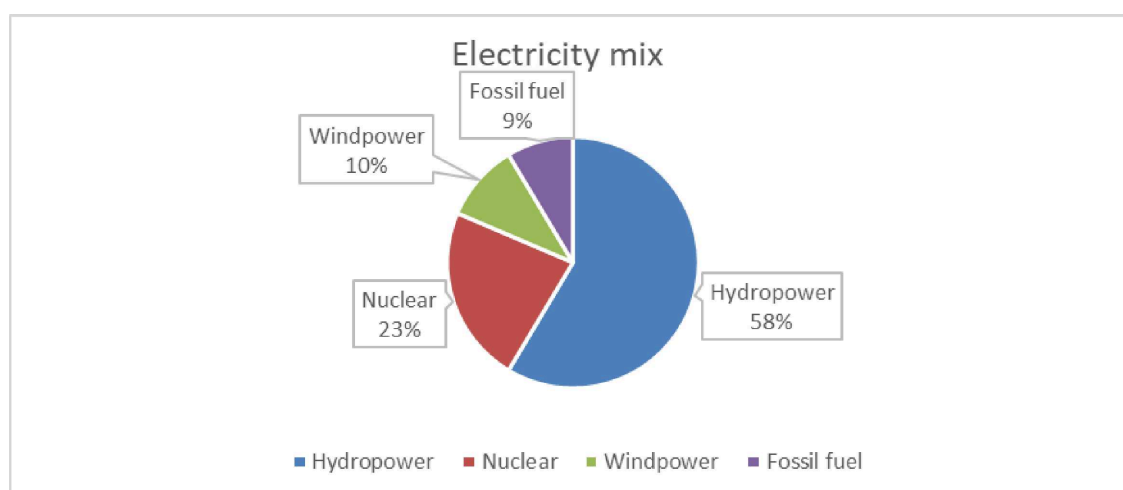
17. Under paragraphs 29 and 30, the undertaking reports on its climate **impacts**, providing information about its energy use and **greenhouse gas emissions**. This guidance for disclosure B3 does not constitute an additional datapoint to the disclosures described in paragraphs 29 (on energy consumption) and 30 (on GHG emissions) but rather reinstates an overarching objective and provides context for the Basic disclosure B3.

Energy consumption

18. Climate related **impacts** are significantly driven by energy consumption. Therefore, it is relevant to disclose both the quantity as well as the type – e.g. fossil fuels such as coal, oil and gas versus **renewable energy** – and mix of energy consumed. Examples of energy disclosures are total energy consumption broken down by fossil fuels and electricity. Other breakdowns may be reported such as consumption of purchased or self-generated electricity from renewable sources. An example of the information requested in paragraph 29 follows.

	Renewable Energy Consumption (MWh)	Non-renewable Energy Consumption (MWh)	Total 202(x) Energy consumption (MWh)
<i>Electricity (as reflected in utility billings)</i>	300	186	486
<i>Fuels</i>	3	7	10

19. In case the undertaking purchases fossil fuels (e.g. natural gas, oil) or renewable fuels (e.g. biofuels, such as biodiesel and bioethanol) to generate electricity, heat or cooling for its own consumption, it has to avoid double counting. Therefore, the undertaking accounts for the energy content of the purchased fuel only as fuel consumption, but it does not account for, or report on, its electricity and heat consumption produced from that fuel yet again. In case of electricity generation from renewable energies such as solar or wind – and where no fuel use is necessary – the undertaking accounts for the amount of electricity generated and consumed as electricity consumption.



20. The undertaking shall not offset its energy consumption by its energy production even if on **site** generated energy is sold to and used by a third party. The undertaking shall also avoid double counting fuel consumption when disclosing self-generated energy consumption. If the undertaking generates electricity from either a non-renewable or renewable fuel source and then consumes the generated electricity, the energy consumption shall be counted only once under fuel consumption. The share of **renewable energy** consumption can be calculated based on guarantees of origin, renewable energy certificates or electricity composition as stated in the electricity bill. The electricity bill may refer to electricity units consumed and specify the percentage of electricity provided coming from renewable sources and it may look like the figure below.
21. When preparing the information on energy consumption required under paragraph 29, the undertaking shall exclude feedstocks and fuels that are not combusted for energy purposes. The undertaking that consumes fuel as feedstocks can disclose information on this consumption separately from the required disclosures.

Conversion between different energy units

22. Undertakings are to report their energy consumption in terms of final energy, which is understood as the amount of energy delivered to the undertaking, for example, the Megawatt-Hours (MWh) of electricity purchased from the utility steam received from a nearby industrial plant or diesel purchased at petrol stations. Electricity explicitly refers to heat, steam and cooling. Fuels include anything burned, e.g. gas, natural gas, biomass, etc.
23. Paragraph 29 indicates MWh as the unit of choice for measuring energy consumption. In case of fuel or biomass, a conversion to MWh is necessary for data expressed in other units such as energy content (e.g. kJ, Btu), volume (e.g. litres, m³) or mass (e.g. metric tonnes, short tonnes).
24. For fuel consumption measured by mass (e.g. wood, coal), the undertaking should:
- obtain the Net Calorific Value (e.g. kJ/metric ton, TJ/Gg) of the fuel (it can be a typical value published by reliable sources, e.g. IPCC, or may be provided by the supplier or attained internally);
 - convert the Net Calorific Value to MWh/ton, for example:
 $1 \text{ TJ} = 10^{12} \text{ J} = 277.78 \text{ MWh}$; $1 \text{ Gg} = 10^9 \text{ g} = 1\,000 \text{ t}$
 $11.9 \text{ TJ/Gg} = 11.9 * 277.78 / 1\,000 \text{ t} = 3.31 \text{ MWh/ton}$; and
 - calculate the energy content of the mass, for example:
 $1\,245\,345 \text{ t} * 3.31 \text{ MWh/ton} = 4\,117\,111 \text{ MWh}$.

25. For liquid fuel, the undertakings should:

- (a) convert volume information to mass, multiplying volume by fuel density, for example,
 $\text{Diesel} = 4\,456\,000 \text{ l}; \text{ Diesel density} = 0.84 \text{ kg/l}$
 $4\,456\,000 \text{ (l)} * 0.84 \text{ (kg/l)} = 3\,743\,040 \text{ kg} = 3\,743 \text{ t};$
- (b) calculate the energy content, multiplying mass by Net Calorific Value, for example, $3\,743 \text{ [t]} * 43 \text{ [TJ/Gg]} = 3\,743 \text{ t} * 43 \text{ TJ}/(1\,000 \text{ [t]}) = 160.95 \text{ [TJ]};$ and
- (c) convert TJ to MWh, for example $1 \text{ TJ} = 10^{12} \text{ J} = 277.778 \text{ MWh}$
 $160.95 \text{ [TJ]} = 277.78 \text{ [MWh/TJ]} * 160.95 \text{ [TJ]} = 44\,708 \text{ MWh}.$

Documentation Source:

Data	Documentation Source
CDP	CDP Technical Note: Conversion of fuel data to MWh

Greenhouse gas emissions

26. As for gross **greenhouse gas emissions** (GHG) arising from the undertaking's activities, the requirement in paragraph 30 builds on the definitions and rules of the GHG Protocol, the leading accounting standard for GHG emissions. Under paragraph 30, undertakings are to report on their Scope 1 and Scope 2 emissions. Scope 1 GHG emissions cover direct emissions from owned or controlled sources. Scope 2 emissions are **indirect GHG emissions** resulting from the activities of the reporting company (as they derive from the undertaking's consumed energy) which, however, occur at sources owned or controlled by another company. Further guidance is provided in the sections below on how to calculate Scope 1 and 2 emissions.

27. Scope 1 and 2 emissions may be reported in the following format.

	202(x) GHG emissions (tCO ₂ e)
Scope 1	45
Scope 2	6
Total	51

28. The GHG Protocol is a global standard for measuring, reporting and managing GHG emissions while ensuring consistency and transparency. The corporate standard covers Scope 1, Scope 2 and Scope 3 emissions guidance for companies and other organisations (NGOs, government, etc.).

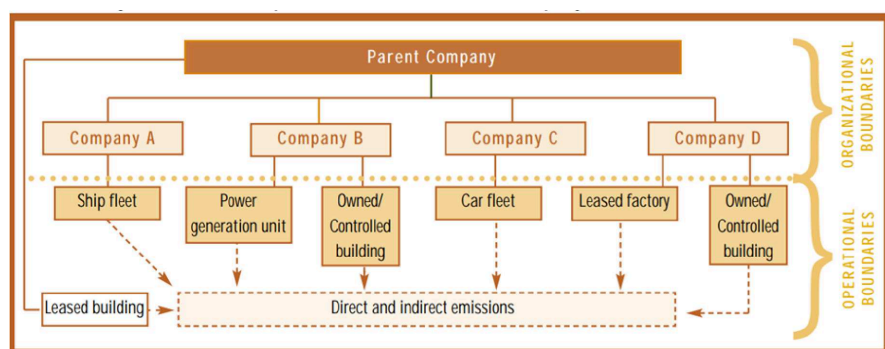
29. To ensure a fair account of the undertaking's emissions, the GHG Protocol has set a list of reporting principles:

- (a) relevance: ensuring that the GHG inventory reflects the GHG emissions of the organisation.
- (b) completeness: ensuring that the GHG inventory account for all GHG emission sources and activities within the chosen boundary;
- (c) consistency: ensuring the consistency of the methodology used to allow for comparisons over time;
- (d) transparency: disclosing the assumptions, references and methodology used when computing GHG emissions; and
- (e) accuracy: ensuring that GHG emissions data is sufficiently precise to allow users to make decisions.

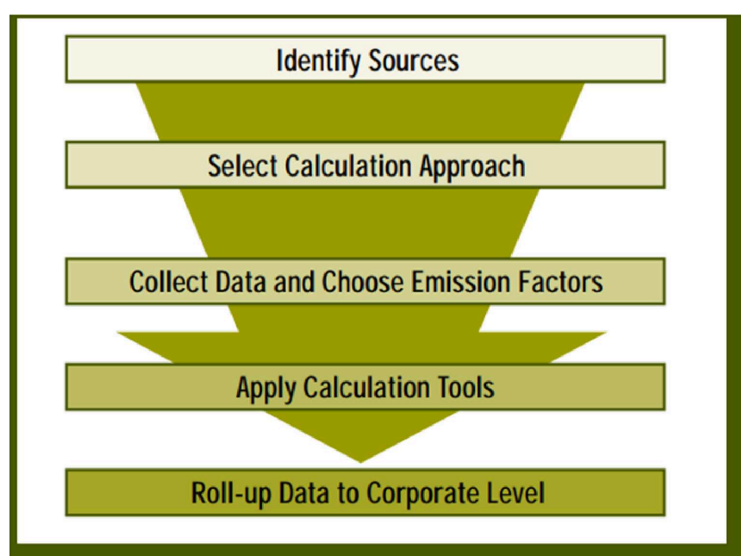
30. In alternative to the GHG Protocol, undertakings may resort to ISO 14064-1, should it be better suited to their reporting needs.

31. When reporting on GHG emissions, it is important to set the appropriate boundaries to ensure that the GHG inventory is correct and to avoid double counting emissions. The GHG Protocol defines two main types of boundaries – organisational or operational boundaries.

- (a) Organisational boundary: the GHG Protocol defines it as the boundaries that determine the operations owned or controlled by the reporting undertaking depending on the consolidation approach taken. There are two approaches to consolidation of emissions – the equity or control approach. The undertaking will choose the approach that reflects its circumstances.
- (b) The equity share approach relates to accounting for GHG emissions from operations according to its shares of equity in the operation.
- (c) When using the control approach, the undertaking accounts for GHG emissions from operations over which it has either financial or operational control. Companies will use either the operational control or financial control criteria when using this approach to consolidate and capture its emissions in the report.
 - i. Financial control means that the undertaking has financial control over the operation if the former has the ability to direct the financial and operating policies of the latter with a view to gaining economic benefits from its activities.
 - ii. Operational control means that an undertaking has operational control over an operation if the former or one of its subsidiaries has full authority to introduce and implement its operating policies at the operation.
- (d) Operational boundary: the GHG Protocol defines it as the boundaries that determine the direct and indirect emissions associated with operations owned or controlled by the reporting company. This assessment offers an undertaking the ability to establish which operations and sources cause direct (Scope 1) and indirect emissions (Scope 2 and Scope 3) and to decide which indirect emissions to include resulting from its operations.
- (e) Boundary considerations need to follow the principles detailed above (consistency over time, transparency in documenting them and completeness) and are visualised in the image below ⁽¹⁾.



⁽¹⁾ Greenhouse Gas Protocol. *GHG Protocol Corporate Accounting and Reporting Standard – Revised Edition*. World Resources Institute & World Business Council for Sustainable Development.



32. The GHG Protocol also introduces guidance as well as steps to follow to identify, calculate and track GHG emissions as visualised in the image below ⁽²⁾.
33. Different tools have been developed by private and public initiatives to help undertakings in developing their GHG emissions inventory and facilitating challenges related to its preparation. EFRAG maintains on its website a set of suggested GHG calculators.

Scope 1 and location-based Scope 2 emissions guidance

34. Typical Scope 1 emissions include CO₂ (as well as CH₄ and N₂O) emissions associated with fuel combustion (for example in boilers, furnaces, vehicles, etc.) and fugitive emissions from air conditioning and industrial processes.
35. **Location-based Scope 2** includes emissions from electricity, heat, steam and cooling purchased or acquired and consumed by the reporting company. It reflects the average emissions intensity of grids on which the energy consumption occurs and uses mostly grid-average emission factor data. Typical sources of Scope 2 emissions relate to any equipment that consumes electricity (electrical engines, lights, buildings, etc.), heat (heating in industrial processes, buildings, etc.), steam (industrial processes) and cooling (industrial processes, buildings, etc.).
36. Evaluating GHG emissions can be done in several ways, including by the calculation approach, measurement, or a combination of measurement and calculations. One common approach is based on calculating with use of emission factors (EF) – which may incorporate the global warming potential (GWP) of the GHG. Direct measurement using sensors (flow and concentration) can also be applied. The table below summarises the most common methods.

GHG evaluation method	Details	Necessary data
Measuring	Multiplying the quantities of gas directly measured by their respective global warming potential.	Direct quantity of gas emitted obtained from gas measurement (flow, concentration, volume) Global warming potential (GWP) of the gases
Calculating	Multiplying the activity data by the emission factor (EF) that integrates the global warming potential (GWP)	Activity data Emission factors (EF)

⁽²⁾ Greenhouse Gas Protocol. *GHG Protocol Corporate Accounting and Reporting Standard – Revised Edition*. World Resources Institute & World Business Council for Sustainable Development.

37. The table above introduces the following terms:
- (a) activity data, which typically corresponds to the quantity of fuel consumed. It may be expressed in energy units (e.g. MWh), volume (e.g. m³ or l) or mass (e.g. tonnes or kg.). These can be accessed by the undertaking by reviewing fuel purchase receipts or utility bills;
 - (b) global warming potential, which quantifies the **impact** of the given GHG on the climate compared to an equivalent unit of carbon dioxide; and
 - (c) emission factors (EF), quantifying how much GHG is emitted per unit of activity. The emission factors frequently take into account the GWP of the GHG, in which case the undertaking does not need to consider the latter.
38. The table below summarises non-exhaustive sources where both emission factors (EF) and global warming potential (GWP) can be easily accessed by undertakings. Undertakings may also refer to authoritative national sources that may be more relevant to their circumstances.

Emission factors (EF)	ADEME – Base Empreinte® IPCC – Emissions Factor Database IPCC – Guidelines for National Greenhouse Gas Inventories Association of Issuing Bodies (AIB) – Residual Mix Grid Emission Factors JRC – Historical GHG emissions factor for electricity consumption IEA - Annual GHG emission factors for World countries from electricity and heat generation (paid data set)
Global warming potential (GWP)	IPCC – Global Warming Potential

39. The undertakings can also find more guidance and tools on how to act and report on their GHG emissions and climate **impacts** by visiting the SME Climate Hub website.

Example of Scope 1 emission calculation

40. Company A burns Nr. 4 fuel oil in an industrial boiler. For its financial accounting, it keeps track of its costs, and for GHG accounting purposes, it keeps track of volumes (m³) as reflected in their fuel receipts. From the receipts, it determines the annual volumes of fuel oil bought, and it keeps track as well of the fuel oil inventory on the first calendar day of the year. In 2023 it purchased 100 m³ of fuel oil. Based on its records, on 1 January 2023 it had 2.5 m³ in its reservoirs, and on 1 January 2024 it had 1 m³. Thus, it determines (through purchase and measurement of inventory) that during 2023 it consumed 101.5 m³ of fuel oil.
41. Using the IPCC list of emissions factors (Table 2.3, page 2.18), it estimates its emission factor to be a fifty-fifty blend of diesel oil and residual oil as 75.75 t CO₂/TJ, and by using published statistics on energy, determines that its net calorific value of the fuel is 0.03921 TJ/m³. Given that the CO₂ GWP equals one, its CO₂ emission for this specific Scope 1 source is:

$$101.5\text{ m}^3 * 0.03921\text{ TJ/m}^3 * 75.75\text{ t CO}_2/\text{TJ} * 1 = 301.5\text{ t CO}_2$$

42. For the purpose of completeness in this example, the CH₄ and N₂O emissions are also calculated. Checking the IPCC list of emission factors shows that these are, respectively, 3 kg of CH₄/TJ and 0.6 kg of N₂O/TJ, the emissions thus being:

$$\text{CH}_4\text{ emissions} = 101.5\text{ m}^3 * 0.03921\text{ TJ/m}^3 * 3\text{ kg CO}_2/\text{TJ} * 29.8 = 0.36\text{ tCO}_2\text{e}$$

$$\text{N}_2\text{O emissions} = 101.5\text{ m}^3 * 0.03921\text{ TJ/m}^3 * 0.6\text{ kg CO}_2/\text{TJ} * 273 = 0.65\text{ tCO}_2\text{e}$$

43. As mentioned, CH₄ and N₂O emissions add around 1 tCO₂e to the CO₂ value of 301.5 tCO₂, which amounts to about 0.3% of the total. This could be considered well within an acceptable reporting error and so could not have been calculated and reported. Global Warming Potentials for CH₄ and N₂O are derived from the IPCC's *Sixth Assessment Report, Chapter 7SM*.

Example of Scope 2 emission calculation

44. Company A occupies an office building of 2 000 m² in Paris, where it pays the electricity consumed for the central heating and cooling, lighting, computers and other electric equipment such as appliances. With its utility bills, it has estimated that the building consumed 282 MWh of electricity in 2022. By using an emission factor of 73 g CO₂eq/kWh for France in 2022, it has estimated its Scope 2 emissions for its building electricity consumption to be

$$Emissions_{GHG} = 282\,000 \text{ [kWh]} * 73 \left[\frac{\text{g CO}_2\text{eq}}{\text{kWh}} \right] = 20.6 \text{ t CO}_2\text{eq}$$

45. Undertakings may also want to provide their market-based Scope 2 figures. Emission factors for market-based Scope 2 emissions reflect the contractual arrangements of the undertaking with its energy suppliers. Market-based emission factors can be provided by their electricity or heat suppliers as well as supported by their own purchase of Energy Attribute Certificates or Power Purchase Agreements (PPAs) or the use of *residual-mix emission factors* (AIB, 2024).

B4 – Pollution of air, water and soil

Guidance on which undertakings need to report on pollution and what pollutants undertakings need to report on.

46. Paragraph 32 establishes that the undertaking shall disclose the pollutants it emits to air, water and soil in its own operations if such information is already required to be reported by law to competent authorities or under an Environmental Management System. This means that the undertaking will first assess whether it already reports such information, either as a legal requirement or voluntarily. If it already reports information on pollutants emissions (or is legally required to do so), the undertaking will then provide further information on such emissions according to the requirements in paragraph 32. However, if the undertaking does not yet report such information (and is not legally required to do so), it is simply required to state this to be the case.
47. In general, this requirement is expected to apply to undertakings that are operators of an industrial installation or intensive livestock farm covered by the Industrial and Livestock Rearing Emissions Directive (IED 2.0 - Directive 2024/1785/EU), amending the Industrial Emissions Directive (IED - Directive 2010/75/EU). The IED 2.0 applies to some 75 000 installations in Europe, covering activities such as burning fuel in boilers with rated power of more than 50 MW, founding in metal foundries, processing of non-ferrous metals, production of lime, manufacturing of ceramic products by firing, production of plant protection products or biocides, rearing of any mix of pigs or poultry representing 380 livestock units or more, tanning of hides, slaughterhouses, etc. In these cases, the installation must already report to the competent authority the pollutants released to air, water and soil, and the data is publicly available at the Industrial Emissions Portal Regulation (IEPR - Regulation 2024/1244/EU), replacing the European Pollutant Release and Transfer Register (E-PRTR - Regulation 166/2006/EC). Companies that operate in more than one facility do not have to report on their consolidated company-wide emissions under the EPRTR, as they report only at facility level. This Standard requires the reporting of the total amount of pollutants of all the facilities. Similarly, companies owning but not operating in a facility do not have to report to the E-PRTR but are expected to reflect their facility-owned emissions in their sustainability report.
48. Likewise, if an undertaking has been identified as having to monitor and report on the pollutants listed in the E-PRTR under an Environmental Management System such as, for example, an Eco-Management and Audit Scheme (EMAS) or ISO 14001 certification. These are in principle relevant aspects for the undertaking to include in its sustainability report.
49. If an undertaking has only one facility or operates in only one facility, and if its pollution data is already publicly available, the undertaking may refer to the document where such information is provided instead of reporting it once again. Likewise, if the undertaking publishes an organisation-wide report such as, for example, an EMAS report that incorporates pollution data, it can include it in the sustainability report by reference.

50. To report information on pollutants in the sustainability report, the undertaking should indicate the type of pollutant material being reported alongside the amount emitted to air, water and soil in a suitable mass unit (e.g. t or kg).
51. Below can be found an example of how undertakings may present information on their emissions to air, water and soil divided by pollutant type.

Pollutant	Emissions (kg)	Medium of release (air, water, soil)
e.g. Cadmium and compounds	10	Water
Type of pollutant 2		
Type of pollutant 3		

52. As for the types of pollutants that need to be considered when reporting under paragraph 32, the undertaking may refer to the following main pollutants that are currently covered under EU law. Nevertheless, each undertaking shall consider the specific pollutants covered by the legislation in their respective jurisdictions.
53. Examples of key pollutants to air (Directive (EU) 2024/299; Regulation (EU) 2024/1244; *Air pollution from key sectors*, EC, 2024; *Sources and emissions of air pollutants in Europe*, European Environmental Agency, 2022) are: sulphur oxides (Sox/SO₂ – e.g. from energy generation and heating in manufacturing), nitrogen oxides (NO_x/NO₂ – e.g. from transport), non-methane volatile organic compounds (NMVOC – e.g. from agricultural activities), carbon monoxide (CO – e.g. from fossil fuel combustion), ammonia (NH₃ – e.g. manure application and storage), particulate matter (PM₁₀ – e.g. from combustion in manufacturing, transport, agricultural activities), heavy metals (Cd, Hg, Pb, As, Cr, Cu, Ni, Zn), POPs (total PAHs, HCB, PCBs, dioxins/furans), ozone-depleting substances or ‘ODS’ (chlorofluorocarbons ‘CFCs’, hydrochlorofluorocarbons ‘HCFCs’, halons), black carbon (BC – e.g. from energy consumption), etc.
54. The major sources of emissions of air pollutants in the private sector (that are also highly impactful for the entire **value chain**) include: (a) electricity generation from fossil fuel or biomass combustion (which may be done externally, distributed through a national grid, then consumed along the value chain activities); (b) direct stationary fossil fuel or biomass combustion within an undertaking's activities or industrial processes, or the operation of stationary machinery or other activities that require fuel combustion; (c) transport (freight, road, rail, shipping and aviation, off-road vehicles such as those used in agriculture or construction); (d) industrial processes (all other emissions that do not stem from fuel combustion and that occur during industrial processes); (e) agriculture (livestock and manure management, crop production such as crop residue burning, manure and fertiliser application); (f) waste disposal (e.g. landfilling, incineration or open burning, or composting).
55. Below is an example of a simple methodology for developing a company's air pollutant emission inventory and calculating the emissions of respective air pollutants. This methodology is divided into the following steps; excluding the mapping of the **value chain** as under the VSME Standard the information required by this Disclosure Requirement is to be reported at the level of the reporting company: (1) identifying emission sources within the value chain, (2) identifying methodologies for quantifying emissions, (3) collecting activity data, (4) identifying emissions factors, and (5) quantifying emissions. The guide provides a mapping of sources of pollution to methodologies for calculating information on emissions stemming from the main air pollutants (table below). ^(?)

Sources of pollution	Methodology for quantifying emissions (Section in the guidance)
Electricity	Section 4,1
Fuel combustion	Section 4,2

^(?) SEI and CCAC (2022). A Practical Guide for Business Air Pollutant Emission Assessment. Stockholm Environment Institute (SEI) and Climate and Clean Air Coalition (CCAC).

Sources of pollution	Methodology for quantifying emissions (Section in the guidance)
Transport	Section 4,3
Industrial processes	Section 4,4
Agriculture	Section 4,5
Waste	Section 4,6

56. Below is an example of a calculation method for air pollutant emissions using the method for manufacturing outlined above. In the example considered, M_p is the quantity of material M used in (or produced by) a company's **value chain** produced using process p (tonnes, litres); $EF_{k,p}$ is the emission factor for pollutant k for process p (g unit production⁻¹); $Em_{k,p}$ are emissions of the specific pollutant k for process p (g).

$$Em_{k,p} = M_p * EF_{k,p}$$

57. For instance, a medium-sized chocolate manufacturer producing 1 750 tonnes of chocolate in 2022 would apply the default emission factor of 2 to calculate its emissions of NMVOCs, which would result in the following calculation:

$$1\,750 \text{ tonnes of chocolate} * 2 \text{ (emission factor of NMVOCs)} = 3\,500 \text{ tonnes of emissions of NMVOCs.}$$

58. Transport may be another significant source of air pollution within own operations and at **value chain** level. In this case, to estimate the emission of a particular pollutant from road transport, for example, the entity will need to use the following formula, where $FC_{v,f}$ is the fuel consumption of vehicle type v using fuel f (kg); $EF_{k,v,f}$ is the emission factor for pollutant k for vehicle type v and fuel f (g vehicle-km⁻¹); $Em_{k,v,f}$ represents the emissions of the specific pollutant k for vehicle type v and fuel f (g).

$$Em_{k,v,f} = FC_{v,f} * EF_{k,v,f}$$

59. For example, a light commercial vehicle (LCV) running on diesel that travelled a total of 2 800 km in 2022 produced the following amount of PM10 emissions (PM10 emission factor of 1,52 g/kg):

$$2\,800 \text{ km} * 1,52 = 4\,256 \text{ grammes of emissions of PM}_{10}.$$

60. Fuel combustion is an additional critical source of air emissions. In this case an example of a formula may be the following, where FC_n is the fuel n consumed within the source category (Gj); EF_k is the emission factor for this pollutant k (g/Gj); and Em_k are emissions of the specific pollutant k (g).

$$Em_k = FC_n * EF_k;$$

61. For example, a company consuming 3 000 000 grammes of fuel in 2020 will have an EF of 0,67 for SO₂, resulting in:

$$3\,000\,000 * 0,67 = 2\,010\,000 \text{ grammes of emissions of SO}_2 \text{ from fuel combustion in 2020.}$$

62. Examples of key pollutants to water (Regulation (EU) 2024/1244; Directive 2000/60/EC; Directive 2006/118/EC; Directive 91/676/EEC; Directive 2010/75/EU; and amendment Directive 2024/1785; *Industrial pollutant releases to water in Europe*, EEA, 2024) are: nitrogen (N), phosphorus (P), heavy metals (Cd, Hg, Pb as well as As, Cr, Cu, Ni, Zn), POPs and pesticides, BTEX (benzene, toluene, ethylbenzene, xylenes) and other Volatile Organic Compounds (VOCs), substances unfavourably influencing the oxygen balance (measured using parameters such as BOD, COD, etc.), total organic carbon (TOC), etc.

63. Pesticides and nutrients (e.g. N and P) may be released through agricultural activities (*Main sources of water pollution, EEA, 2023; Introduction to Freshwater Quality Monitoring and Assessment - Technical Guidance Document, UNEP, 2023*) (e.g. manure or inorganic fertiliser application). Heavy metal concentrations may stem from mining and wastewater discharges. TOC is a generic indicator of water contamination with organic matter which indicates the presence of living material, for example in wastewater, but also surface and groundwater (usual concentration levels of less than 10 mg l⁻¹ and 2 mg l⁻¹, respectively). COD widely indicates the presence of industrial effluents or sewage, with values that are typically lower than 20 mg l⁻¹ in unpolluted waters and industrial wastewaters reaching values of up to 60 000 mg l⁻¹. BOD is normally used to determine pollution by organic matter in surface waters as well as for the efficiency of sewage treatment, and it usually features values around 2 mg l⁻¹ in unpolluted waters and 10 mg l⁻¹ and more in polluted waters. The release of VOCs can be the result of spills to water.
64. As for the methodology used to measure emissions to water, the EEA (*Calculating emissions to water – a simplified method (ETC/ICM Report 3/2022)*) recommends a simple estimation technique similar to the one used for the aforementioned air pollutants. In the formula below, AR_a is the activity rate for activity a (to be chosen based on the specific activity or process; e.g. see Mp in the air emissions calculation above); EF_{p,a} is the emission factor for pollutant p for activity a; and Emissions_{p,a} are emissions of the specific pollutant p for activity a.

$$\text{Emissions}_{p,a} = \text{AR}_a * \text{EF}_{p,a}$$

65. Examples of key pollutants emitted to soil (Regulation (EU) 2024/1244; Directive 86/278/EEC) are: N, P, heavy metals (e.g. land application of sewage sludge), BTEX and other VOCs, POPs and pesticides.
66. Overall, the private sector sources of soil pollution are mainly the products or by-products of industrial processes (e.g. production of chemicals, energy, textiles manufacturing), accidental spills of petrol-derived products, livestock and agricultural activities (e.g. irrigation with untreated wastewater, poultry rearing), production and treatment of wastewater, production and processing of metals and minerals, and transportation (*Global assessment of soil pollution: Report, FAO, 2021*).
67. Several national manuals have been developed to support companies in the calculation of their emissions to air, water and soil, for example, in Australia (*Emission Estimation Technique Manual for Soft Drink Manufacture, National Pollution Inventory*) and South Africa (*A Guide to Reporting and Estimating Emissions for the IPWIS*) entities are presented with a few estimation options to choose from, depending on their possibilities: direct measurement (e.g. sampling, continuous monitoring system), mass balance, engineering calculations, emission factors (same formula as above for air and water emissions), etc. The general approach to calculating such emissions is to: 1) identify the emission sources within the facility (combustion, manufacturing, solvent evaporation, storage, fugitive); 2) make a stock of the information available; 3) identify in the list of estimation methods the most suitable one for the specific process under evaluation, the information available, and the measuring tools that can be acquired to get the data that is needed; 4) gather the data required for each method; and 5) calculate emissions. The manuals provide several formulas and examples for each emissions' calculation method.
68. A list of emission factors for air pollutants can be found at the dedicated webpage of the European Environmental Agency. Although emission factors are more commonly used for air pollution, certain ones for surface water discharge and land disposal for specific processes were made available by the World Health Organisation. Additional emission factors for POPs may be consulted on the webpage of the *Toolkit for Identification and Quantification of Releases of Dioxins, Furans and Other Unintentional POPs*.
69. It is to be noted that the requirements under paragraph 32 are only applicable to SMEs operating in specific sectors. Undertakings that are involved in the provision of services (e.g. operating in co-working or shared facilities or remotely), for instance, are typically not included in the scope of this disclosure. By contrast undertakings carrying out production activities (e.g. chemicals) generally have **impacts** in terms of pollution and are, therefore, expected to report under this disclosure. The table below (adapted from the *EMAS User Guide*) provides examples of sectoral impacts, including for office services, for which pollution-related aspects may not be significant.

Activity	Environmental aspect	Environmental impact
Transport	— consumed machine oils, fuel consumption — vehicle emissions — tyre abrasion (fine dust)	— soil, water, air pollution — greenhouse effect, noise
Construction	— primary raw material (resource) consumption — air emissions, noise, vibrations, etc. From construction machinery — land consumption	— raw material availability — noise, soil, water, air pollution — destruction of ground cover — biodiversity loss
Office services	— consumption of materials, (e.g. paper, toner) — electricity consumption (leads to indirect CO₂ emissions)	— generation of mixed municipal waste — greenhouse effect
Chemical industry	— primary raw material (resource) consumption — wastewater — emissions of volatile organic compounds — emissions of ozone-depleting substances	— raw material availability — water pollution — photochemical ozone — destruction of the ozone layer

B5 – Biodiversity

Guidance on how to identify sites in or near biodiversity sensitive areas

70. Paragraph 33 stipulates that the undertaking shall disclose the **sites** it operates in that are located in or **near biodiversity-sensitive areas**. Biodiversity sensitive areas are defined as such by special nature protection regulation at European or international level. These comprise areas belonging to the Natura 2000 network of protected areas, UNESCO World Heritage sites and Key Biodiversity Areas ('KBAs') as well as other protected areas designated as requiring special protection by governmental authorities (e.g. forest-protected areas or areas lying within river basin districts).
71. To identify protected areas and **biodiversity sensitive areas**, the undertaking may refer to databases such as the *World Database on Protected Areas (WDPA)* (a global database to help identify marine and terrestrial protected areas), the *World Database on Key Biodiversity Areas*, and the *IUCN Red List of Threatened Species*. The undertaking may also use tools such as the Integrated Biodiversity Assessment Tool (IBAT).
72. **Near**, in the context of B5 – Biodiversity, shall refer to an area that is (partially) overlapping or adjacent to a **biodiversity sensitive area**.
73. The following table shows how information on **sites** in or near **biodiversity sensitive areas** can be presented.

Location	Area (hectares)	Biodiversity sensitive Area	Specification (located in/near biodiversity sensitive areas)
Country – Site name 1			
Country – Site name 2			
Country – Site name 3			
...			

Guidance on how to calculate and report land-use

74. A **‘sealed area’** is to be understood as an area where the original soil has been covered (e.g. roads, buildings, parking lots), making it impermeable and resulting in an **impact** on the environment.
75. Green area or **‘nature-oriented area’** is an area that primarily preserves or restores nature. Near natural/green areas may be located on the organisation’s **site** and may include roofs, facades, water-drainage systems or other features designed, adapted or managed to promote biodiversity. Near-natural areas may also be located off the organisation’s site if they are owned or managed by the organisation and primarily serve to promote biodiversity.
76. The following table shows how information on how **land-use** may be presented (EMAS, 2023).

Land-use type	Area (hectares or m²)
Total sealed area	
Total nature-oriented area on-site	
Total nature-oriented area off-site	
Total use of land	

B6 – Water

Guidance on how to calculate and report on water withdrawals and water consumption

77. **Water withdrawal** relates to the amount of water an undertaking draws into its organisational boundaries from any source during the reporting period. In practice, for most undertakings this relates to the amount of water taken from the public water supply network as indicated in the utility bills. However, where applicable, water withdrawal also includes amounts of water taken from other sources such as groundwater from own wells, water taken from rivers or lakes or water received by other undertakings. In the specific case of undertakings operating in agriculture, water withdrawal would include rainwater if collected directly and stored by the undertaking.
78. **Water withdrawal** data can be retrieved from measurements using flow meters or water bills; indeed, in practice for most undertakings water withdrawal relates to the amount of water taken from the public water supply network as indicated in the utility bills. In cases in which direct measurements are not feasible or are deemed not sufficient and therefore need to be complemented, data on water withdrawal can be estimated using, for example, calculations models, and industry standards.
79. For example, in the case of a shared office or coworking space, a possible method to calculate the **water withdrawal** could be to retrieve the overall water withdrawal of the building from the water bill and calculate the water withdrawal per **employee** with the following equation:

$$\text{Water withdrawal per employee daily (L)} = \frac{\text{annual water withdrawal (L)}}{(\text{n. of employees in the whole shared building} \times \text{n. of working days})}$$

The undertaking could then multiply the water withdrawal per employee for the number of its employees and the days they worked in the reporting year to obtain the final number required in the datapoint.

To make a numerical example applying the proposed formula, the annual water withdrawal retrieved from the water bill of a coworking space is 1 296 m³ (corresponding to 1 296 000 L), coworking space where 100 employees of different companies work together for an assumed number of 240 days a year. The assumption on the average number of days worked can be based on national statistics, for example. The water withdrawal per employee daily would be in this case:

$$\text{water withdrawal per employee daily} = 1\,296\,000\text{ L} / (100 \times 240) = 54\text{ L}$$

80. Assuming now that that the **employees** of the reporting undertaking are 25 and that they use the coworking space for 220 days a year, the yearly **water withdrawal** of the undertaking in the coworking space would be the water withdrawal per employee multiplied for the number of its employees and the days worked, therefore $54 \text{ L} \times 25 \times 220 = 297\,000\text{ L}$ (corresponding to 297 m³).
81. This calculation could be useful when it is possible to access the water bill of the shared building. This simple calculation method has some limitations, as it does not consider, for example, differences in use between different parts of the building (e.g. a seven-floor building could have six floors dedicated to offices and one floor with a canteen or a restaurant), which the undertaking might be able to overcome if additional data are available, further refining the basic calculation provided above as an example.
82. An alternative way to obtain **water withdrawal** data in the example of shared offices when it is not possible to retrieve the water bill could be to calculate it using fixture flow rates and occupancy data as primary inputs. A possible formula could be:

$$\text{Total water withdrawal} = \sum (\text{Flow Rate} \times \text{Number of Uses per Day} \times \text{Number of Days per Year} \times \text{Occupancy})$$

where:

- (a) flow rates of each fixture can be retrieved from the project documentation or labels of the fixtures, for example, or estimated basing on average data publicly available if more accurate information is not retrievable;
 - (b) the number of uses per day can be estimated based on averages publicly available;
 - (c) 'number of days' stands for the number of operational days for the reporting undertaking in a year;
 - (d) 'occupancy' represents the number of **employees** of the undertaking using the office; it is often calculated as full-time equivalent (FTE); and
 - (e) the sign $\sum$ indicates that the calculations for each fixture should be summed up to obtain the total water withdrawal of the reporting undertaking operating in a shared office.
83. An additional possible source that could support the reporting of **water withdrawal** for undertakings operating in shared offices is the *JRC Level(s) indicator 3.1: Use stage water consumption user manual* as well as additional related documents and calculation sheets (see PG Section Documents | Product Bureau (europa.eu)). Furthermore, the undertaking could consult *EMAS Reference Document for the Public Administration sector* and *EMAS Reference Document for the Construction sector* as well as rating systems and certifications like, which might provide useful indications in their methodologies on how to further refine the calculation for water withdrawal in offices and shared spaces.
 84. The provided examples to obtain **water withdrawal** data in the case of shared offices can be transposed to and applied by undertakings operating in different sectors, with adjustments that might be necessary for the sectoral and entity-specific situation the undertaking operates in. *EMAS "easy" for small and medium enterprises* and *EMAS Sectoral Reference Documents (SRDs)* could be consulted for SME and sector-specific methodology and indicators on water withdrawal as well as industry standards and benchmarks.
 85. **Water consumption** is the amount of water drawn into the boundaries of the undertaking that is not discharged or planned to be discharged back into the water environment or to a third party. This typically relates to water evaporated – e.g. in thermal energy processes like drying or power production – water embedded in products – e.g. in food production – or water for irrigation purposes – e.g. used in agriculture or for watering company premises.

86. Water discharge means, for example, the amount of water transferred directly to receiving water bodies such as lakes or rivers, the public sewer or to other companies for cascading water use. It can be seen as the water output of the undertaking.
87. **Water consumption** can therefore be calculated as:

Water consumption = Water Inputs – Water Outputs

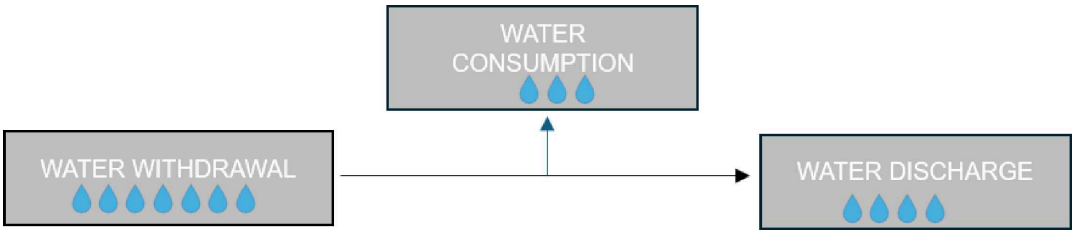
or in other words:

Water consumption = (Water withdrawal) – Water discharges.

For undertakings that solely withdraw water from the public water network and discharge it into the sewer, water consumption will be close to zero and can therefore be omitted from the report.

More broadly, the applicability of the disclosure requirement on water consumption relates to information already requested by law, already reported, and/or appropriate for the sector.

88. A schematic view of the relationship between **water withdrawal**, **water consumption** and water discharge can be seen in the image below.

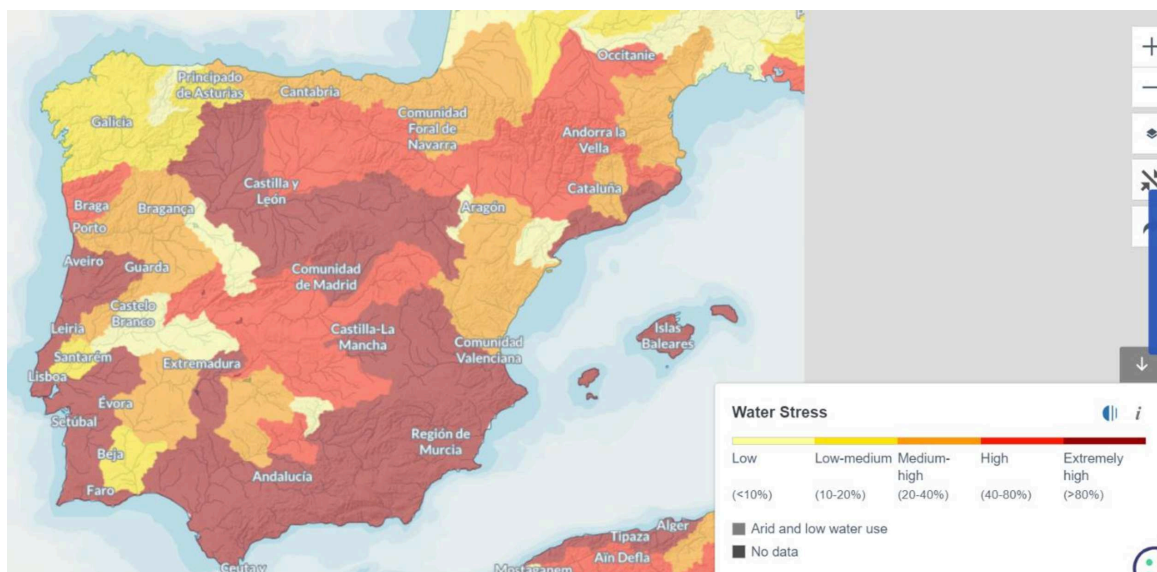


89. The undertaking may provide additional explanatory information to contextualise its **water withdrawals** or consumption. For example, the undertaking may highlight if rainwater is collected and used as a replacement for tap water or if water is discharged into other parties for cascading use.
90. Below can be found an example of how undertakings may present quantitative information on their withdrawals, discharges and consumption of water divided by **site** location.

	Water withdrawal E.g. m³	Water consumption E.g. m³ (if applicable)
All sites		
Sites in areas with water stress		

Guidance for determining whether the undertaking **operates in an area of high-water stress**

91. The undertaking can consult local (e.g. national, regional) water authorities of the place(s) it operates in to inform its assessment of water resources for the specific location(s), including the identification of areas of high-water stress. The undertaking can also consult publicly available and free tools that map out water scarcity globally. One such tool is the WRI's *Aqueduct Water Risk Atlas*, which provides an interactive map of a water stress indicator (the 'baseline water stress', which measures the ratio of total water demand to available renewable surface and groundwater supplies) at sub-basin level. With the help of this tool, undertakings can consult the water stress baseline set for different river basins globally. Values of the baseline water stress indicator above 40% indicate an area of high-water stress.
92. By way of illustration, the map below shows the main Iberian River basins and their water stress classification according to the WRI Aqueduct.



In this image several water basins in the Iberian Peninsula, along with their water stress classification, can be observed. Most of the southern part of the peninsula sits in an area of significant high-water stress – with the exception of the Guadiana basin (in yellow). Thus, if the undertaking has operations within the Guadalquivir basin (e.g. the Andalusia region, which has a significant high-water stress level), the undertaking would have to disaggregate its **water consumption** for that region/water basin. But if its operations take place within the southern part of the Guadiana river basin (where there is low water stress), then it would not be necessary to disaggregate its water consumption for that region/water basin.

93. Other possible tools that undertakings can consult to determine their location in water stressed areas are the static map (and related dataset) provided by the European Environment Agency (EEA) *Water Exploitation Index plus (WEI+)* for summer and *Urban Morphological Zones (UMZ)* and the interactive map *Water exploitation index plus (WEI+)* for river basin districts (1990-2015), both presenting the water stress indicator WEI+ that measures total **water consumption** as a percentage of the renewable freshwater resources at sub-basin level. WEI+ values equal or greater than 40% generally indicate situations of high-water stress. It is worth underlining that WRI Aqueduct bases its baseline water stress indicator on water demand, while the EEA indicator of water stress WEI+ is based on water consumption.

B7 – Resource use, circular economy and waste management

Guidance on circular economy principles

94. When disclosing information on its products, material use and waste management, the undertaking may provide information in relation to **circular economy principles**. Circular economy principles are articulated in the paragraphs below. The key circular economy principles are outlined below and the key principles considered by the European Commission are *italicised*.

Eliminate waste and pollution – this can be done through process improvements and also through design considerations at the level of *usability, reusability, repairability, disassembly and remanufacturing*.

Circulate products and materials (at their highest value) – *reusability* and **recycling** are key for product circulation, but this is enhanced if special consideration is given to circularity at the design phase for issues such as usability, reusability, repairability, remanufacturing and disassembly. Factors such as the incorporation of biomaterials and their *recirculation via the biological cycle* can also be considered, for example using biodegradable crop covers instead of plastics in agriculture.

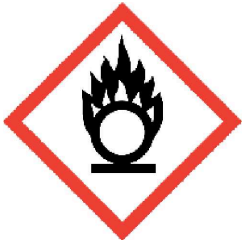
Regenerate nature – whenever possible, human activities should seek to regenerate nature and improve or restore key ecological functions (i.e. drainage, habitat provision, thermal regulation, etc.) that may have been lost due to previous human activities.

Guidance on total waste generation and waste diverted to recycling or reuse

95. The requirements in paragraph 38 may be omitted by undertakings that generate only household waste. In such cases, the undertaking will only state that it generates this type of waste.
96. When reporting on **hazardous waste** according to paragraph 38(a), the undertaking fulfils the requirements on **radioactive waste** of indicator number 9 from Table #1 of Annex 1 of the Sustainable Finance Disclosure Regulation (SFDR) ⁽⁴⁾. This SFDR indicator (ratio between tonnes of radioactive and **hazardous waste**) can be computed by using the numerator and denominator that the undertaking provides when reporting according to paragraph 38(a).
97. SMEs must disclose hazardous and **radioactive waste** if their operations involve generating such waste. Applicability depends on the presence of hazardous or radioactive materials in business processes.
98. Undertakings are recommended to classify their **hazardous waste** using the *European Waste Catalogue, or EWC in short* (Commission decision of 18 December 2014 amending Decision 2000/532/EC on the list of waste pursuant to Directive 2008/98/EC of the European Parliament and of the Council), which categorises waste by type. Any waste marked with an asterisk (*) is classified as hazardous in the EWC, normally with reference to 'containing hazardous substances'. For example:
 - (a) medical sector: contaminated sharps like needles and syringes used in medical settings ('wastes whose collection and disposal is subject to special requirements in order to prevent infection' EWC Code 18 01 03*), cytotoxic and cytostatic medicines (EWC Code 18 01 08*), spent radiopharmaceuticals, and certain diagnostic equipment containing radioactive materials;
 - (b) manufacturing sector: used lubricants and oils classified as hazardous (EWC Code 13 02 05*);
 - (c) construction sector: asbestos-containing materials (EWC Code 17 09 03*), soil and stones containing hazardous substances (EWC Code 17 05 03*), and
 - (d) batteries and accumulators: lead batteries (16 06 01*), Ni-Cd batteries (16 06 02*), batteries containing mercury (16 06 03*).
99. Nevertheless, a waste is considered hazardous if it displays one or more of the hazardous properties listed in Annex II of the Waste Framework Directive (Directive 2008/98/EC). For easier reference, these are presented below together with the respective pictograms to help identify hazardous properties such as flammability, toxicity and corrosiveness, which may lead to waste being classified as hazardous.
100. **Radioactive waste** also has or can have hazardous properties that render it hazardous, namely carcinogenic, mutagenic or toxic for reproduction. Nevertheless, radioactive substances are subject to separate regulations within the EU (Council Directive 2011/70/Euratom). Companies using radioactive materials with the ability of generating radioactive waste subject to EU regulation should be aware of it. Radioactive waste should be identified based on the presence of radionuclides at levels above regulatory clearance thresholds.
101. **Radioactive waste** can be present in a variety of items such as medical, research and industrial equipment, smoke detectors, or sludges.

⁽⁴⁾ Commission Delegated Regulation (EU) 2022/1288 of 6 April 2022 supplementing Regulation (EU) 2019/2088 of the European Parliament and of the Council with regard to regulatory technical standards specifying the details of the content and presentation of the information in relation to the principle of do no significant harm, specifying the content, methodologies and presentation of information in relation to sustainability indicators and adverse sustainability impacts, and the content and presentation of the information in relation to the promotion of environmental or social characteristics and sustainable investment objectives in precontractual documents, on websites and in periodic reports, C/2022/1931, OJ L 196, 25.7.2022, pp. 1–72.

102. Hazard Pictograms for each hazard class are presented below.

Hazard pictogram	Pictogram statement, symbol and class	What does it mean?
	'Gas under pressure' Symbol: Gas cylinder Physical Hazard	— Contains gas under pressure; may explode if heated — Contains refrigerated gas; may cause cryogenic burns or injury
	'Explosive' Symbol: Exploding bomb Physical Hazard	— Unstable explosive — Explosive; mass explosion hazard — Explosive; severe projection hazard — Explosive; fire, blast or projection hazard — May mass explode in fire
	'Oxidising' Symbol: Flame over circle Physical Hazard	— May cause or intensify fire; oxidiser. — May cause fire or explosion; strong oxidiser.
	'Flammable' Symbol: Flame Physical Hazard	— Extremely flammable gas — Flammable gas — Extremely flammable aerosol — Flammable aerosol — Highly flammable liquid and vapour — Flammable liquid and vapour — Flammable solid
	'Corrosive' Symbol: Corrosion Physical Hazard / Health Hazard	— May be corrosive to metals — Causes severe skin burns and eye damage
	'Health hazard/Hazardous to the ozone layer' Symbol: Exclamation mark Health Hazard	— May cause respiratory irritation — May cause drowsiness or dizziness — May cause an allergic skin reaction — Causes serious eye irritation — Causes skin irritation — Harmful if swallowed — Harmful in contact with skin — Harmful if inhaled — Harms public health and the environment by destroying ozone in the upper atmosphere

Hazard pictogram	Pictogram statement, symbol and class	What does it mean?
	'Acute toxicity' Symbol: Skulls and Crossbones Health Hazard	— Fatal if swallowed — Fatal in contact with skin — Fatal if inhaled — Toxic: if swallowed — Toxic in contact with skin — Toxic if inhaled
	'Serious health hazard' Symbol: Health Hazard Health Hazard	— May be fatal if swallowed and enters airways — Causes damage to organs — May cause damage to organs — May damage fertility or the unborn child — Suspected of damaging fertility or the unborn child — May cause cancer — Suspected of causing cancer — May cause genetic defects — Suspected of causing genetic defects — May cause allergy or asthma symptoms or breathing difficulties if inhaled
	'Hazardous to the environment' Symbol: Environment Environmental Hazard	— Very toxic to aquatic life with long-lasting effects — Toxic to aquatic life with long-lasting effects

Pictograms that indicate hazardous properties, Annex V, from the Classification, Labelling and Packaging (CLP) Regulation (EC) No 1272/2008.

103. When presenting information on its waste generation or diversion from disposal, the undertaking should preferably report such information in units of weight (e.g. kg or tonnes). Nevertheless, should the units of weight be considered an inappropriate unit by the undertaking, they may alternatively disclose the aforementioned metrics in volumes (e.g. m³) instead.
104. When disclosing information on the total annual waste diverted to **recycling** or reuse, the undertaking should consider the waste that is sorted and sent to recycling or reuse operators (e.g. the amount of waste put into recycling container or sorting of waste into certain categories of materials and their delivery to waste treatment facilities) rather than the waste that gets effectively recycled or reused.
105. When disclosing information on waste, the undertaking may adopt the following tables.

	Waste generated (e.g. tonnes)		
	Total waste generated, of which:		
		Waste diverted to recycle or reuse	Waste directed to disposal
Non-hazardous waste			
Type of waste1			
Type of waste2			
...			

	Waste generated (e.g. tonnes)		
	Total waste generated, of which:		
		Waste diverted to recycle or reuse	Waste directed to disposal
Hazardous waste			
Type of waste ¹			
...			

106. Examples of **hazardous wastes** that small businesses may generate include batteries, used oils, pesticides, mercury-containing equipment and fluorescent lamps.
107. The undertaking may provide further breakdowns specifying further types of non-hazardous and **hazardous wastes**. In doing so, it may consider the list of waste descriptions found in the European Waste Catalogue's social metrics.

Guidance on the annual mass-flow of relevant materials used

108. The annual mass-flow is an indicator aligned with the EMAS requirements on efficiency of material consumption, and it illustrates an undertaking's dependency on specific materials in its operations (e.g. wood and steel for the construction industry). The undertaking is here required to provide information on the materials it uses, including both the materials acquired from suppliers and those sourced internally from production. To compute the annual mass-flow of the relevant materials it has used, the undertaking will need to first identify the specific key materials on which its operations are dependent and for which material efficiency needs to be evaluated (e.g. material efficiency of wood). If different types of materials are used, the undertaking will need to provide separately the annual mass-flow (i.e. total weight for each relevant material used, e.g. tonnes of wood purchased) for each key material in an appropriate manner, for example by breaking it down by the use to which they are put (*EMAS User's Guide*). The mass flow of relevant materials used will result from the sum of the weight of all used materials, including raw materials, auxiliary materials, input materials, semi-finished products, or others (excluding energy sources and water). This indicator is to be preferably expressed in units of weight (e.g. kilograms or tonnes), volume (e.g. m³) or other metric units commonly used in the sector.

Guidance on how to identify manufacturing, constructions and /or packaging processes

109. To identify manufacturing, construction and/or packaging processes, the undertaking may refer to the activities that fall under Section C – Manufacturing, Section F – Construction as well as Class O82.92 'Packaging activities' of Annex I to Regulation (EU) 2023/137.

1.3. Basic Module Guidance – Social Metrics

B8 – Workforce – General characteristics

110. Full-time equivalent (FTE) is the number of full-time positions in an undertaking. It can be calculated by dividing an employee's scheduled hours (total effective hours worked in a week) by the employer's hours for a full-time workweek (total hours performed by full-time employees). For example, an employee who works 25 hours every week for a company where the full-time week is 40 hours represents a 0,625 FTE (i.e. 25/ 40 hours).
111. Headcount is the total number of people employed by the undertaking reported either at the end of the reporting period or as an average across the reporting period.

Guidance on how to present information about employees' contract types

112. The following table shows how information on **employees** may be presented by type of employment contract.

Type of contract	Number of employees (headcount or full-time equivalents)
Temporary contract	
Permanent contract	
Total employees	

113. The following table shows how information on **employees** may be presented by gender.

Gender	Number of employees (headcount or full-time equivalents)
Male	
Female	
Other	
Not reported	
Total employees	

114. In some European Union Member States, it is possible for people to legally register themselves as having a third gender, often neutral, which is to be categorised as 'other' in the table above. If the undertaking is disclosing data about **employees** where this is not possible, it may explain this and indicate that the 'other' category is not applicable. The 'not reported' category applies to employees who do not disclose their gender identity.

115. The following table shows how information on **employees** may be presented by countries.

Country (of employment contract)	Number of employees (headcount or full-time equivalents)
Country A	
Country B	
Country C	
Country D	
Total employees	

116. Definitions and types of employment contracts may vary depending on the country. If the undertaking has **employees** working in more than one country, it shall use the legal definitions stipulated in the national laws of the countries where the employees are based in to calculate country-level data. Such country-level data shall then be added up to calculate total numbers, disregarding differences in national legal definitions.

117. **Employee** turnover refers to employees who leave the undertaking voluntarily or due to dismissal, retirement or death in service.

118. In order to calculate the **turnover** rate, the formula below should be used.

$$\frac{\text{Number of employees who left during the reporting year}}{\text{Average number of employees during the reporting year}} \times 100$$

B9 – Workforce – Health and safety

Guidance on the rate of recordable work-related accidents

119. Based on the assumption that one full-time worker works 2 000 hours per year, the rate indicates the number of work-related accidents per 100 full-time workers over a yearly time frame. If the undertaking cannot calculate directly the number of hours worked, it may estimate this on the basis of normal or standard hours of work.
120. In order to calculate the rate of **recordable work-related** accidents of **employees**, the formula below should be used.

$$\frac{\text{Number of work related accidents in the reporting year}}{\text{Total number of hours worked in a year by all employees}} \times 200,000$$

Example

121. Company A reported three work-related accidents in the reporting year. Company A has 40 **employees**, and a total number of 80 000 hours (40 x 2 000) worked in a year.

The rate of **recordable work-related** accidents is $3/80\,000 \times 200\,000 = 7.5$.

Guidance on the number of fatalities resulting from work-related injuries and work-related ill health

122. Work-related injuries and work-related ill health arise from exposure to dangers at work.
123. In case of teleworking, injuries and ill health are work-related if the injury or ill health is directly related to the performance of work rather than the general home environment.
124. In case of injuries and ill health that occur while a person is travelling for work, these are considered work-related if the **employee** was performing work activities in the interest of the employer at the time of the injury or ill health. Accidents taking place when travelling, outside of the undertaking's responsibility (i.e. regular commuting to and from work), are subject to the applicable national legislation, which regulates their categorisation as to whether they are considered work-related or not.
125. Mental illness is considered work-related if it has been notified voluntarily by the employee and if an evaluation from a licensed healthcare professional stating that the illness in question is indeed work-related has been issued and notified, too. Health problems resulting from smoking, drug and alcohol abuse, physical inactivity, unhealthy diets and psychosocial factors not connected to work are not considered work-related.
126. The undertaking may present separately fatalities resulting from work-related injuries and those resulting from work-related ill health.

B10 – Workforce – Remuneration, collective bargaining and training

Guidance on remuneration: minimum wage

127. 'Minimum **wage**' refers to the minimum compensation of employment per hour or another unit of time. Depending on the country, the minimum wage might be set directly by law or through **collective bargaining** agreements. The undertaking shall refer to the applicable minimum wage for the country it reports on.
128. For the lowest **pay** category, excluding interns and apprentices, minimum **wage** serves as the foundation for calculating entry-level wage. Therefore, entry-level wage includes pay equal to minimum wage as well as any additional fixed payments guaranteed to **employees** in that category.

Guidance on remuneration: percentage gap between female and male employees

129. The metric for the percentage gap between female and male **employees** addresses the principle of gender equality, which stipulates equal **pay** for equal work. The pay gap is defined as the difference of average pay levels between female and male employees expressed as the percentage of the average pay level of male employees.
130. In order to compute this metric, all **employees** shall be included in the calculation. In addition, there should be two separate average **pay** calculations for female and male employees. See the formula below:

$$\frac{(\text{Average gross hourly pay level of male employees} - \text{average gross hourly pay level of female employees})}{\text{Average gross hourly pay level of male employees}} \times 100$$

131. Depending on the undertaking's remuneration policies, gross **pay** refers to all of the following elements:
- (a) base salary, which is the sum of guaranteed, short-term, non-variable cash compensation;
 - (b) benefits in cash, which constitute the sum of the base salary and cash allowances, bonuses, commissions, cash profit-sharing and other forms of variable cash payments; and
 - (c) benefits in kind ⁽⁵⁾.
132. The gross **pay** is the sum of all the applicable elements listed above.
133. The average gross hourly **pay** is the weekly/annual gross pay divided by the average hours worked per week/year.

Example

134. Company A has X male **employees** and Y female employees in total. Male employees' gross hourly **pay** is €15 and female employees' gross hourly pay is €13.
135. The average gross hourly **pay** level of male **employees** is the sum of all their gross hourly payments divided by the total number of male employees. The average gross hourly pay level of female employees is the sum of all their gross hourly payments divided by the total number of female employees.
136. The formula used to calculate the percentage **pay** gap between male and female **employees** is

$$\frac{15 - 13}{15} \times 100 = 13.3\%$$

Guidance on collective bargaining coverage

137. The **employees** covered by **collective bargaining** agreements are those individuals to whom the undertaking is obliged to apply the agreement. If an employee is covered by more than one collective bargaining agreement, it only needs to be counted once. If none of the employees are covered by a collective bargaining agreement, the percentage is zero.
138. The percentage of **employees** covered by **collective bargaining** agreements is calculated by using the following formula.

$$\frac{\text{Number of employees covered by collective bargaining agreements}}{\text{Number of employees}} \times 100$$

⁽⁵⁾ Examples could include cars, private health insurance, life insurance and wellness programs.

139. The information required by this disclosure requirement may be reported as coverage rates if the **collective bargaining** coverage is between 0-19%, 20-39%, 40-59%, 60-79% or 80-100%.
140. This requirement is not aimed at obtaining the percentage of **employees** represented by a works council or belonging to trade unions, which can be different. The percentage of employees covered by **collective bargaining** agreements can be higher than the percentage of unionised employees when the collective bargaining agreements apply to both union and non-union members.

1.4. Basic Module Guidance – Business Conduct Metrics

B11 – Convictions and fines for corruption and bribery

141. **Corruption** and **bribery** fall under the **business conduct** sustainability issue.
142. Under paragraph 43, the undertaking shall report on the total number of convictions and the total amount of fines incurred for violating anti-**corruption** and anti-**bribery** laws.

Guidance on convictions

143. Convictions for the violation of anti-**corruption** and anti-**bribery** laws refer to any verdict of a criminal court against an individual or undertaking in respect of a criminal offence related to corruption and bribery, for example where these court decisions are entered in the criminal record of the convicting European Union Member State.

Guidance on fines

144. Fines issued for the violation of anti-**corruption** and anti-**bribery** laws refer to mandatory monetary penalties resulting from violations of anti-corruption and anti-bribery laws imposed by a court, commission or other government authority, which are paid to a public treasury.

Comprehensive Module: Guidance

145. The guidance contained in the sections below is intended to facilitate the application of the sustainability disclosure requirements contained in paragraphs 44 to 65 of Annex I to the Commission Recommendation on a voluntary sustainability reporting standard for small and medium-sized undertakings.
146. The guidance below is intended as part of an ecosystem that could include also the development of further support guidance by EFRAG, further digital tools and implementation support (educational activities, stakeholders' engagement and so forth), aiming to facilitate some of the technical elements present in the guidance.
147. This guidance is intended to support the preparation of metrics in the Comprehensive Module.

1.5. Comprehensive Module Guidance – General information

C1 – Strategy: Business Model and Sustainability – Related Initiatives

148. When describing the main **consumers** and supplier relationships under paragraph 47 (c), the undertaking shall disclose the estimated number of suppliers, and their related sectors and geographies (i.e. countries).

C2 – Description of practices, policies and future initiatives for transitioning towards a more sustainable economy

149. Undertakings may use the following template to report on C2 datapoints.

	If you answered YES to existing practices/ policies/ future initiatives in disclosure B2, please briefly describe them along with their consequent actions. (In case the practice/ policy/ future initiative covers suppliers or clients, the undertaking shall mention it)	If you answered YES to targets in disclosure B2, please specify them.	The undertaking may indicate the most senior level within its employees that is accountable for implementing the policies when this has been determined by the undertaking.
Climate Change			
Pollution			
Water and Marine Resources			
Biodiversity and Ecosystems			
Circular Economy			
Own Workforce			
Workers in the Value Chain			
Affected Communities			
Consumers and end-users			
Business conduct			

1.6. Comprehensive Module Guidance – Environmental Metrics

Consideration when reporting on GHG emissions under B3 (Basic Module)

150. When determining whether disclosure of Scope 3 is appropriate following paragraph 50, the undertaking may screen its total Scope 3 GHG emissions based on the 15 Scope 3 categories identified by the GHG Protocol using appropriate estimates and report by incorporating this information by reference. This allows for the identification and disclosure of its significant Scope 3 categories based on the magnitude of their estimated GHG emissions and other criteria provided by the GHG Protocol Corporate Value Chain (Scope 3) Accounting and Reporting Standard (Version 2011, p. 61 and 65-68) or EN ISO 14064-1:2018 Annex H.3.2, such as financial spend, influence, related transition risks and opportunities or stakeholder views.

151. SMEs operating with manufacturing, agrifood, real estate construction and packaging processes are likely to have significant Scope 3 categories (*CDP Technical Note: Relevance of Scope 3 Categories by Sector, 2024*), which may be considered relevant for reporting in the undertaking's sector.

C3 – GHG reduction targets and climate transition

152. Emission reductions can prove to be both a challenge and opportunity for an undertaking, as it often requires changes to the strategic and operational reality of the business. The goal of reducing emissions may require a review of strategic and financial priorities. Decarbonisation may require important initial investment in, for example, electrifying a fleet of vehicles, implementing new technologies to reduce energy consumption or developing new product lines that are less reliant on carbon-intensive materials. On the other hand, implementing low-carbon solutions to achieve GHG emission reduction can significantly lessen the costs of purchased energy and materials. Undertakings embarking on their decarbonisation journey are often facing important adjustments to their business models or daily operations. For instance, a logistics and delivery services undertaking may need to redesign its fleet management to minimise potential service disruptions due to the need of regular vehicle charging. A consumer goods manufacturing undertaking planning to replace a component of its product with a sustainable, low-carbon alternative may need to allocate time and resources to product innovation and to searching for new suppliers. These efforts can, in turn, result in reducing costs, accessing new markets, creating new workplaces and attracting additional financing, making GHG emission reduction not only a challenge, but also a strategic business opportunity. In this context, **targets** for GHG reductions are an important measure of responding to the need for a sustainable transition, as they allow undertakings to manage the change in a systematic, controlled and organised way.
153. A GHG emission reduction target is a commitment to reduce the undertaking's GHG emissions in a future year compared to the GHG emissions measured during a chosen base year. **Actions** that may lead to emission reductions include, for instance, electrification, renewable electricity, sustainable products development, etc. Disclosure C3 requires that the undertaking discloses GHG emission reduction **targets** for its Scope 1 and Scope 2 emissions.
154. Removals and avoided emissions shall not be accounted as reduction of the undertaking's gross GHG emissions. This is due to the important distinction between accounting practices for gross GHG emissions (inventory accounting) and GHG removals and avoided emissions (project-based or intervention accounting). Gross GHG emissions of the undertaking are designed to track the actual emissions released to the environment, providing a consistent and comparable baseline to set up GHG **targets**. Avoided emissions and carbon removals, on the other hand, relate to specific project activities of the undertaking, which means that their accounting is done separately from gross GHG emissions.
155. To follow this practice, the undertaking needs to distinguish between its gross GHG emissions and other **impacts** which are not captured in it, such as GHG removals and avoided emissions. Removals refer to the withdrawal of GHG from the atmosphere as a result of deliberate human activities. Examples of such activities can include plant growth (transfer of atmospheric CO₂ through photosynthesis) and direct air capture of CO₂ and are typically linked to the subsequent storage of CO₂. Avoided GHG emissions are typically referred to as emissions that would have otherwise happened but that, as a result of the undertaking's activities, did not happen. These may include introducing new products and technologies that reduce demand for their carbon-intensive equivalents, for example insulation solutions in a building that avoid the demand for energy services therein. More information on the concepts related to carbon removals and avoided emissions can be found in the *GHG Protocol Land Sector and Removals Guidance*.
156. A base year is a preceding year against which the undertaking's current GHG emissions can be measured. In general, the base year should be a recent and representative year of the undertaking's GHG emissions in which there are verifiable data.
157. The target year is the year in the future in which the undertaking aims to achieve a certain absolute or percentage amount of GHG emission reductions. It should range over a period from one to three years from the base year to a short-term target. Longer term **targets** may also be included, for instance, for periods of twenty or thirty years (e.g. 2040 or 2050). Undertakings are encouraged to include target values for the short-term target year of 2030 at the least and, if feasible, for the long-term year of 2050. From 2030 onwards, it is recommended to update the base year and target year for GHG emission reduction targets after every five-year period.

158. To set a target, undertakings should consider the existing scientific evidence on GHG mitigation. The SBTi recommends a cross-sector target in GHG emissions reduction of -42% by the year 2030 and -90% by the year 2050 (base year 2020). SBTi also proposes a streamlined target-setting route for small- and medium-sized undertakings ⁽⁶⁾. Specific pathways also exist by sector and may be considered by undertakings when setting their GHG emission reduction **targets**.
159. To achieve a quick reduction of both direct and indirect emissions, there are some simple **actions** that the undertaking can take. Some actions may be easy but still able to deliver a notable emission reduction and support the undertaking reaching its **targets**. For instance, electrification of the vehicle fleet by replacing vehicles running on fossil fuel with electric vehicles will lead to emission reduction as soon as the previous fleet is replaced. This can mean notable emission reduction especially for a business that is reliant on transportation. Similarly, replacing commutes and business travels by car with low carbon alternatives such as bicycles or public transport is an effective, simple and achievable decarbonisation action. Another area of low-hanging fruit is to review the internal energy management and update it to energy-efficient equipment and integrate maintenance into routine business operations. By regularly maintaining equipment and machinery and replacing these with more energy-efficient alternatives when and where possible, the undertaking can reduce its energy consumption. Such equipment can include, for example, boilers, telecommunication systems, heat pumps, air-conditioning etc. Through regular maintenance their efficient operation can be ensured, wear and tear minimised and waste minimised. By also automating systems and using timers to define periods of use, the undertaking is able to lower the emissions of such equipment even further.
160. A climate transition plan for climate change mitigation is a set of present and future **actions** meant to align the undertaking's business model, strategy and operations with the key overarching global goal of limiting global warming to 1.5°C. Underpinned by a GHG reduction target compatible with that goal, the importance of having a transition plan in place lies in the ability of understanding the means by which the undertaking will move towards a low-carbon economy while keeping track of the progress made. A transition plan serves as a mechanism for accountability and transparency, prompting undertakings to develop credible pathways for mitigating climate change through their actions.
161. Establishing a credible transition plan for the undertaking is something that should be supported by elements such as (a) identifying clear responsibilities and roles; (b) integrating the plan into the undertaking's business strategy and financial planning; (c) including information on decarbonisation levers and pathways as well as quantifiable indicators that can be monitored throughout predefined timeframes; (d) allowing for regular reviewing and updating after stakeholder consultations when appropriate; and (e) covering the entirety of its own operations and, to the largest possible extent, the **value chain** or else providing an explanation as to any limitation.
162. Undertakings that are disclosing **targets** according to the EMAS Regulation Annex IV B (d) may use its GHG reduction targets to fulfil the VSME requirement if it has set such targets. The undertaking may also support this disclosure through its implementation of the EMAS environmental management system and link to EN ISO 14001:2015 as set out by EMAS Regulation Annex II B A.6.2.1 and B.5 (environmental objectives).

Guidance on how to identify manufacturing, constructions and /or packaging processes

163. To identify manufacturing, construction and/or packaging processes, the undertaking may refer to these activities that fall under Section C – Manufacturing, Section F Construction as well as Class O82.92 'Packaging activities' of Annex I to Regulation (EU) 2023/137.

C4 – Climate risks

164. **Climate-related hazards** are drivers of climate-related physical risks that arise from the effects that climate change has on the undertaking. They can be classified into acute hazards, which arise from particular events (such as droughts, floods, extreme precipitations and wildfires), and chronic hazards (such as changing temperatures, sea level rise and soil erosion), which arise from longer-term changes in the climate (Commission delegated regulation (EU) 2021/2139). Physical risks are a function of climate-related hazards, the exposure of the undertaking's assets and activities to these hazards, and how sensitive the undertaking is to these hazards. Examples of climate-related hazards are heat waves, increased frequency of extreme weather events, sea level rise, glacial lake outburst flood and change in precipitation and wind patterns. Climate-related physical risks can be identified and modelled by using climate scenarios that consider high emissions trajectories such as IPCC SSP5-8.5.

⁽⁶⁾ SBTi also offers resources for SMEs to set science-based targets.

165. **Climate-related transition events** may be (according to the *Recommendations of the Task Force on Climate-related Financial Disclosures*, (TCFD), 2017) policy- and legal-based (e.g. enhanced emission-reporting obligations), technology-based (e.g. costs of transition to lower emissions technology), market-based (e.g. increased cost of raw materials) and reputation-based (e.g. increased stakeholder concern).
166. **Gross climate-related risks** refer to gross physical risks and gross transition risks that may result from exposure of the undertaking's assets and business activities to climate-related hazards.

1.7. Comprehensive Module Guidance – Social Metrics

C5 – Additional (general) workforce characteristics

167. To determine the female-to-male ratio, divide the number of female **employees** by the number of male employees at management level. This will yield the proportion of women to men in your company.

$$\text{female-to-male ratio} = \frac{\text{number of female employees at management level}}{\text{number of male employees at management level}}$$

168. Management level is considered the level below the board of directors unless the undertaking has a specific definition to use.
169. For example, if there are 28 female **employees** and 84 male employees at management level, the female-to-male ratio would be 1:3, meaning that for every woman at management level, there are three men.
170. Relevant factors for an undertaking to consider in deciding whether or not to disclose the number of self-employed workers and temporary workers under paragraph 60 would be: (1) the ratio of **employees** to self-employed and temporary workers, especially in case of significant and/or increasing reliance or (2) when the risk of negative social **impacts** on self-employed or temporary workers is greater compared to the undertaking's own employees.
171. The following table shows how information on self-employed people without personnel that are working exclusively for the undertaking and temporary workers provided by undertakings primarily engaged in employment activities may be presented.

Types of workers	Number of self-employed people and temporary workers engaged in employment activities
Total self-employed without personnel that are working exclusively for the undertaking	
Total temporary workers provided by undertakings primarily engaged in employment activities	

172. Undertakings can refer to NACE Code O78 for temporary workers provided by undertakings primarily engaged in 'employment activities'.

C6 – **Additional own workforce information - Human rights policies and processes**

173. Undertakings that have a due diligence process for human rights in place can answer positively (YES) and could clarify the contents of the policies and/or processes using the drop-down menu.

C7 – **Severe negative human rights incidents**

174. A “confirmed **incident**” refers to a legal action or complaint registered with the undertaking or competent authorities through a formal process, or an instance of non-compliance identified by the undertaking through established procedures. Established procedures to identify instances of non-compliance can include management system audits, formal monitoring programs, or **grievance mechanisms**.

1.8. **Comprehensive Module Guidance – Business Conduct Metrics**

C8 – **Revenues from certain sectors and exclusion from EU reference benchmarks**

175. **Fossil fuels**, as defined in Article 2(62), of Regulation (EU) 2018/1999 of the European Parliament and the Council, are non-renewable carbon-based energy sources such as solid fuels, natural gas and oil.
176. The **production of chemicals** refers to the activities listed under Section C Division 20.2 of Annex I to Regulation (EU) 2023/137, i.e. the manufacturing of pesticides and other agrochemical products.
177. As defined by Article 12.1 of the Commission Delegated Regulation (EU) 2020/1818, the companies excluded from EU Paris-aligned Benchmarks are the following:
- companies that derive 1% or more of their revenues from exploration, mining, extraction, distribution or refining of hard coal and lignite;
 - companies that derive 10% or more of their revenues from the exploration, extraction, distribution or refining of oil fuels;
 - companies that derive 50% or more of their revenues from the exploration, extraction, manufacturing or distribution of gaseous fuels; and
 - companies that derive 50% or more of their revenues from electricity generation with a GHG intensity of more than 100 g CO₂ e/kWh.

C9 – **Gender diversity ratio in governance body**

178. The **governance** body refers to the highest decision-making authority in a company. Depending on the jurisdiction the company is in and its legal entity classification, the governance body can vary in format.
179. Based on the requirements in the SFDR, the gender diversity ratio of the **governance** body is calculated as an average ratio of female to male board members.

$$\text{Gender diversity ratio} = \frac{\text{the number of female members}}{\text{the number of male members}}$$

Example

180. The **governance** body of a certain SME is composed of six members, including three women. The gender diversity ratio is one – for every female member there is one male member.